Contentious Chamber
Decision on the merits 79/2025 of April 24, 2025

File number: DOS-2021-00068
Subject: Complaint regarding the transfer by the Federal Public Service (FPS) Finance of personal data to the American tax authorities (IRS) in execution of the "FATCA" agreement

The Contentious Chamber of the Data Protection Authority, composed of Mr. Yves Poullet, president, and Messrs. Christophe Boeraeve and Jelle Stassijns, members, resuming the case in this composition following the ruling of the Market Court on December 20, 2023 (2023/AR/801)1;
Considering the ruling of the Market Court of December 20, 2023 (2023/AR/801);
Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), hereinafter "GDPR";
Considering the Law of December 3, 2017, establishing the Data Protection Authority (hereinafter "LCA");
Considering the internal regulations (hereinafter "RoI") of the Data Protection Authority as approved by the House of Representatives on December 20, 2018, and published in the Belgian Official Gazette on January 15, 20192;
Considering the documents in the file;

1 The ruling of the Market Court is published here https://www.autoriteprotectiondonnees.be/publications/arret-du-20-decembre-2023-de-la-cour-des-marches-ar-801.pdf
2 The new internal regulations of the DPA, following the amendments made by the Law of December 25, 2023, amending the Law of December 3, 2017, establishing the Data Protection Authority (LCA), came into effect on 01/06/2024. In accordance with Article 56 of the Law of December 25, 2023, it applies only to complaints, mediation files, requests, inspections, and procedures before the Contentious Chamber initiated from that date: https://www.autoriteprotectiondonnees.be/publications/reglement-d-ordre-interieur-de-l-autorite-de-protection-des-donnees.pdf Files initiated before 01/06/2024, as in this case, are subject to the provisions of the unamended LCA and the internal regulations as they existed before that date.

Has made the following decision regarding:
The complainants:
Mr. X, hereinafter referred to as "the first complainant";

The non-profit organization Accidental Americans Association of Belgium (AAAB), whose registered office is located at Clos Albert Crommelynck, 4 bte 7, 1160 Brussels,
Hereinafter referred to as "the second complainant";

Hereinafter collectively referred to as "the complainants";

Both represented by Counsel Master Vincent Wellens and Master Maxime Vanderstraeten, lawyers, whose office is located at Chaussée de la Hulpe, 120, 1000 Brussels.

The defendant:
The Federal Public Service Finance (FPS Finance), whose headquarters is located at Boulevard du Roi Albert II, 33, 1030 Brussels,
Hereinafter referred to as "the defendant";

Represented by Counsel Master Jean-Marc Van Gyseghem, lawyer, whose office is located at Boulevard de Waterloo, 34, 1000 Brussels.

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I. Facts and Procedural Background

1.
On December 22, 2020, the complainants filed a complaint with the Data Protection Authority (DPA) against the defendant. The complaint denounces the illegality of the transfer of personal data concerning the first complainant as well as concerning accidental American Belgians (whose interests are defended by the second complainant) by the defendant to the U.S. tax authorities in the context of the application of the intergovernmental agreement "FATCA" concluded between the Belgian State and the United States, as well as other breaches of the GDPR attributable to the defendant in this context.

2. The facts underlying the complaint are detailed below in points 3 to 19 (title I.1.). They are followed by the procedural background that led to Decision 61/2023 of the Litigation Chamber, annulled by the Market Court on December 20, 2023, in points 20 to 59 (title I.2.), and subsequently, the background

relating to the resumption of the case leading to the present decision in points 60 to 94 (titles I.3 to I.6).
I.1.
Relevant Facts
3. The first complainant resides in Belgium and holds dual Belgian and American nationality. Regarding the latter nationality, the first complainant describes himself as what is commonly referred to as an "accidental American" because he holds American nationality solely due to his birth in Stanford on U.S. territory without having maintained any significant ties to that country. The Litigation Chamber specifies here at the outset that the notion of "accidental American" is not defined in law, as highlighted by the Market Court in its interlocutory ruling of June 28, 2023. The complainants state that for the purposes of the proceedings, this notion encompasses members of the AAAB.
4. The second complainant is a non-profit association under Belgian law (ASBL) composed of accidental Americans whose purpose is to defend and represent the interests of individuals of Belgian-American nationality—such as the first complainant—who reside outside the United States and do not maintain any significant ties with that country. The purpose of the association is described in Article 4 of its founding act dated September 28, 2019:
"The association aims to defend the interests of individuals of American nationality residing outside the United States, against the harmful effects of the extraterritorial nature of American legislation.
The association pursues the realization of its purpose by all means of action, including:
- actions for interest representation before the Belgian and American public authorities and European institutions
- the creation of communication materials
- the organization of events
- collaboration with law professors to provide legal information for the use of members
- legal action to defend the interests of individuals of Belgian-American nationality
The means listed above are indicative and not exhaustive."
5. Due to his American nationality, the first complainant is subject to the scrutiny of the U.S. tax authorities regarding the American tax legal regime. This system is indeed based on the principle of nationality-based taxation and targets accidental Americans just like any other taxpayer residing on U.S. soil or having activities related to that country, the fact that his residence is not established in the United States being irrelevant. Only certain exceptions apply to non-residents on U.S. soil.
6. In order to facilitate the collection of relevant information by the U.S. tax authorities (Internal Revenue Service – hereinafter IRS) for the potential taxation of Americans residing abroad (including accidental Americans such as the first complainant) and to mitigate the risk of tax evasion, the U.S. government has entered into intergovernmental agreements with various states around the world. These agreements provide for the communication of data concerning these Americans residing abroad by national financial institutions (hereinafter "financial institutions" or "banks") to the national tax administration (such as the defendant), which is then required to transfer this data to the IRS.
7. It is in this context that the "Agreement between the Government of the Kingdom of Belgium and the Government of the United States of America to improve International tax compliance and to implement FATCA" was signed by representatives of the governments of the Kingdom of Belgium and the United States of America on April 23, 2014. This agreement is commonly referred to hereinafter as the "FATCA Agreement." It indeed implements the U.S. Foreign Account Tax Compliance Act, from which the acronym "FATCA" is derived. A comparable bilateral intergovernmental agreement (IGA) has also been signed with various states around the world, including the member states of the European Union (hereinafter EU).
4 This intergovernmental agreement "FATCA" signed with Belgium was subject to a law of assent dated December 22, 2016.

8. The Belgian Law of December 16, 2015, regulating the communication of information relating to financial accounts by Belgian financial institutions and the Federal Public Service (FPS) Finance, within the framework of an automatic exchange of information at the international level and for tax purposes (hereinafter referred to as "the Law of December 16, 2015") invoked by the defendants in several respects, is part of the broader context of the exchange of tax data between states, including

but not limited to exchanges with the U.S. IRS in execution of the aforementioned "FATCA" agreement.

9. The purpose of this legislation, as defined in its Article 1, is to regulate the obligations of Belgian financial institutions and the defendant regarding the information that must be communicated to a competent authority of another jurisdiction within the framework of an automatic exchange of information relating to financial accounts, an exchange organized in accordance with the commitments made by the Belgian State and resulting from the following texts:

- The Directive 2014/107/EU of the Council of December 9, 2014, amending Directive 2011/16/EU regarding the automatic and mandatory exchange of information in the field of taxation;
- The Joint OECD/Council of Europe Convention of January 25, 1988, concerning mutual assistance in tax matters (the Multilateral Convention or "the OECD Convention");
- A bilateral convention to prevent double taxation in the field of income taxes;
- A bilateral treaty on the exchange of tax information (such as the "FATCA" agreement).

10. The Law of December 16, 2015, came into force on January 10, 2016, regarding information intended for the United States (Article 20).

11. On April 22, 2020, the first complainant received a letter from Bank Z, where he holds bank accounts. This letter states in the subject: "Confirmation of your US person status under the FATCA agreement and for other regulatory purposes." The complainant is asked to confirm that he neither has American nationality nor is a resident in the United States for the purposes of the obligations that Z has under the applicable regulations regarding the automatic exchange of data. The complainant is invited to complete a specific form issued by the American authorities for this purpose. The letter explains that the objectives pursued by the American legislation are, on the one hand...

5 Directive 2014/107/EU of the Council of December 9, 2014, amending Directive 2011/16/EU regarding the automatic and mandatory exchange of information in the field of taxation, OJ 2014, L 359/1.

6 The Law of December 16, 2015, was published in the Belgian Official Gazette on December 31, 2015. In its Article 20, the law provides that it enters into force 10 days after its publication regarding information intended for the United States.

to identify all accounts held by American citizens and/or residents with non-American financial institutions and, on the other hand, to exercise better control over the income and assets held by Americans. The letter specifies that in the absence of the signed and completed document being returned, the law compels the bank to consider the first complainant as a "US Person" by default: consequently, their contact details as well as information regarding their assets, income, and gross proceeds will continue to be communicated to the relevant tax authorities. Finally, the letter specifies that if the first complainant holds American nationality or resides in the United States, they must visit the agency to complete the necessary formalities.

12. On May 12, 2020, the first complainant is informed by their bank Z that since they held several bank accounts in Belgium in 2019, these accounts are subject to the reporting obligation to the defendant in execution of the legal obligations incumbent upon banking institutions with respect to tax residents of a country other than Belgium who hold, as is the case here, one or more bank accounts. Z thus informs the first complainant that it is required to report the following data to the defendant: the name, address, jurisdiction of which the person is a resident, the tax identification number (TIN) or date of birth of each person to be reported, the account number(s), the account balance or its value as of December 31 (specific case: if the account is closed, a zero amount is reported), the interest, dividends, proceeds from sales, redemptions or reimbursements of financial audits, and other income generated by the financial assets held in the account. In addition to the list of the aforementioned data and information regarding the principle of the automatic exchange of financial information to which Z states it is subject, the first complainant is referred to the defendant for any questions, in these terms: "For more information on the automatic exchange of financial information, you can visit the website of the SPF Finances or the OECD. You can also call us at the number XXX." Bank Z attaches to this letter the data of the first complainant that will be concretely communicated to the defendant in

execution of this reporting obligation.
13. In a third letter dated May 18, 2020, bank Z contacts the first complainant once again and (a) explains this time in general terms the principle of the "FATCA" agreement, (b) lists the data to be communicated in this context, and (c) indicates that since the complainant held one or more accounts subject to the reporting obligation in 2019, it is required to report them to the competent tax administration. Bank Z mentions that for more information on the "FATCA" agreement, the first complainant can call their bank at the indicated phone number.
14. On December 22, 2020, the very day he files a complaint with the APD with the second complainant (complaint no. 1 - point 1), the first complainant requests from the defendant that it

erases the personal data it obtained from banks under the "FATCA" agreement and this, pursuant to Article 17.1.d) of the GDPR. The first complainant also requests that the defendant take the necessary measures to obtain this erasure from the IRS or, failing that, the limitation of their processing in execution of Article 18.1.b) of the GDPR. In any case, the first complainant demands the immediate cessation of information exchanges between the defendant and the IRS that occur annually based on the "FATCA" agreement. This transfer involving personal data concerning him indeed violates several key principles of the right to personal data protection as applicable in Belgium and more generally within the EU. The second complainant makes the same request in her name for the benefit, in accordance with her statutory purpose, of accidental American Belgians.
15. More specifically, the complainants support their request on the following grounds: the illegality of the transfer of personal data to the IRS under the "FATCA" agreement (in violation of Articles 45, 46, and 49 of the GDPR); the non-compliance with the principles of purpose limitation (Article 5.1.b) of the GDPR), proportionality or data minimization (Article 5.1.c) of the GDPR), and limited retention (Article 5.1.e) of the GDPR); the non-compliance with the principle of transparency (Articles 12 to 14 of the GDPR) and a failure to carry out a data protection impact assessment (hereinafter DPIA - Article 35 of the GDPR). The said letter details each of the alleged grievances. These are also the basis of the complaint filed with the APD, and they will be elaborated below when the Contentious Chamber discusses the respective viewpoints of the parties, including that of the complainants (point 82).
16. In its response letter dated March 30, 2021, the defendant refuses to comply with the complainants' request, arguing that the alleged illegality is not based on any foundation. The defendant states that the legal basis for the transfer it carries out lies in the "FATCA" agreement as well as in the Law of December 16, 2015. The defendant further invokes Article 96 of the GDPR and concludes in support that, failing for the complainants to demonstrate how the "FATCA" agreement would violate EU law before May 24, 2016, namely Directive 95/46/EC, their requests are unfounded. The defendant also refutes all other grievances raised against it.
17. Following this response from the defendant, only the first complainant renews his request on July 9, 2021, emphasizing that the said data transfers from the defendant to the IRS are also illegal under Directive 95/46/EC.

7 Article 96 of the GDPR: "International agreements involving the transfer of personal data to third countries or to international organizations that were concluded by the Member States before May 24, 2016, and that comply with Union law as applicable before that date, remain in force until their amendment, replacement, or repeal."
8 Directive 95/46/EC of the European Parliament and of the Council, of October 24, 1995, on the protection of individuals with regard to the processing of personal data and on the free movement of such data, OJ L 281/31.

18. By a decision dated October 4, 2021, the defendant refuses to grant the requests of the first complainant, rejecting the arguments put forward by the latter regarding the breaches reported under both the GDPR and Directive 95/46/EC. In this decision, the defendant, relying on the interpretation of Article 96 of the GDPR by the French Council of State in a ruling dated July 19, 2019 (which the Contentious Chamber will revisit in point 165), indicates that for the application of this Article 96, it is necessary to first verify the compliance of the "FATCA" agreement with the GDPR and, in the absence

of compliance, to examine whether this agreement respects EU law as of May 24, 2016. This interpretation departs from the content of its letter dated March 30, 2021, mentioned above (point 17). For a better understanding of the continuation of the decision, the Contentious Chamber specifies that the defendant also considers in its decision "that in this case, the condition of a basis relying on an important public interest reason - within the meaning of Article 49.1.d) of the GDPR or Article 26.1.d) of Directive 95/46/EC - is indeed fulfilled since the legality basis for the disputed processing relies on an international agreement [namely the "FATCA" agreement] and the law of December 16, 2015."
19. An action for annulment has been brought before the Council of State (hereinafter "CE") against this administrative decision of the defendant. At the request of the Contentious Chamber, the parties indicated in their submissions and during the hearing on January 10, 2023, that this appeal is still pending. They specified that the defendant notably argued that the CE is awaiting the outcome of the proceedings before the APD to make a ruling. The complainant, for his part, requested that preliminary questions be referred by the CE to the Court of Justice of the European Union (hereinafter "CJEU") regarding the legal basis for the transfers carried out under the "FATCA" agreement, regarding the admissibility of invoking Article 49.1.d) of the GDPR or, where applicable, its equivalent in Directive 95/46/EC in the event of the application of Article 96 of the GDPR, as well as regarding compliance with the principles of transparency, purpose, minimization, and limited retention as enshrined in the relevant articles of the GDPR or their equivalents in Directive 95/46/EC if the application of Article 96 of the GDPR were to be upheld.

9 Article 49.1.d) of the GDPR: "In the absence of an adequacy decision under Article 45(3), or of appropriate safeguards under Article 46, including binding corporate rules, a transfer or a set of transfers of personal data to a third country or to an international organization may only take place if one of the following conditions is met: (…) d) the transfer is necessary for important public interest reasons."
10 Article 26.1.d) (Derogations) of Directive 95/46/EC: "By way of derogation from Article 25 and subject to contrary provisions of their national law governing specific cases, Member States provide that a transfer of personal data to a third country not ensuring an adequate level of protection within the meaning of Article 25(2) may be carried out, provided that: (…) d) the transfer is necessary or legally required for the safeguarding of an important public interest."

I.2. Background of the procedure leading to the annulled decision 61/2023
20. As mentioned in point 1 above, the complainants filed a complaint with the APD on December 22, 2020 (complaint no. 1).
I.2.1. Admissibility of the complaint
21. On March 22, 2021, complaint no. 1 as filed by the first complainant is declared admissible by the First Line Service (hereinafter SPL) of the APD based on Articles 58 and 60 of the Law of December 3, 2017 establishing the Data Protection Authority (hereinafter LCA), and the complaint is forwarded to the Litigation Chamber pursuant to Article 62.1 of the LCA.
22. Complaint no. 1 as filed by the second complainant is declared inadmissible on February 12, 2021, by the SPL of the APD on the grounds that the second complainant does not meet the conditions set out in Article 220.2. 3° and 4° of the Law of July 30, 2018 on the protection of natural persons with regard to the processing of personal data (hereinafter "LTD").
23. The Litigation Chamber specifies here at the outset that on July 9, 2021, the second complainant will file a new complaint (complaint no. 2). This consists of a reformulation of her complaint no. 1 from December 22, 2020. The second complainant further clarifies her interest in acting. She states that she is acting in her own name, in accordance with her statutory purpose, and not on behalf of one or more accidental American Belgians. The second complainant therefore indicates that she is not acting in representation within the meaning of Article 80.1 of the GDPR. The conditions for the application of this article as executed by Article 220.2. 3° and 4° of the LTD should therefore, from her point of view, not be met. The second complainant relies, however, on Article 58 of the LCA, which states that "any person may file a complaint."

11 Article 220 of the LTD: § 1. The data subject has the right to mandate an organ, organization, or

non-profit association to file a complaint on their behalf and to exercise on their behalf the administrative or judicial remedies either with the competent supervisory authority or with the judiciary as provided by specific laws, the Judicial Code, and the Code of Criminal Procedure.
§ 2. In disputes provided for in paragraph 1, an organ, organization, or non-profit association must:
- 1° be validly constituted in accordance with Belgian law;
- 2° have legal personality;
- 3° have statutory objectives of public interest;
- 4° have been active in the field of protecting the rights and freedoms of data subjects in the context of personal data protection for at least three years.
§ 3. The organ, organization, or non-profit association provides proof, by presenting its activity reports or any other document, that its activity has been effective for at least three years, that it corresponds to its statutory purpose, and that this activity is related to the protection of personal data.
12 Article 80.1 of the GDPR "Representation of data subjects": The data subject has the right to mandate an organization, association, or non-profit association that has been validly constituted in accordance with the law of a Member State, whose statutory objectives are of public interest and is active in the field of protecting the rights and freedoms of data subjects in the context of the protection of personal data concerning them, to file a complaint on their behalf, exercise on their behalf the rights referred to in Articles 77, 78, and 79, and exercise on their behalf the right to obtain compensation referred to in Article 82 when the law of a Member State provides for it.

or a written, dated, and signed request to the Data Protection Authority." The second defendant believes it is entitled to file a complaint with the DPA on this basis, especially since the purpose of its complaint aligns with its statutory object. It also argues that in its decision-making practice, the DPA has, in support of decision 30/2020 of the Contentious Chamber for example, recognized that the interest to act is broad and that the possibility of filing a complaint is not reserved for the concerned natural persons and that a complaint can be filed by associations under their specific social purpose.
24. On October 5, 2021, this complaint no. 2 will be declared admissible by the SPL of the DPA based on Articles 58 and 60 of the LCA. This complaint will be forwarded to the Contentious Chamber pursuant to Article 62.1 of the LCA.
25. In light of the above, the Contentious Chamber specifies that for the purposes of this decision, the use of the terms "the complaint" refers to the two complaints filed (no. 1 and no. 2) which will also be joined by the Contentious Chamber (point 43).
I.2.2. The subject of the complaint
26. The complaint submitted by the complainants primarily aims to obtain, in execution of Article 58.2.f) and j) of the GDPR, the prohibition, or even the suspension of the data transfer (those relating to the first complainant and beyond, those of all accidental American Belgians whose interests the second complainant defends) by the defendant to the IRS under the "FATCA" agreement and the Law of December 16, 2015.
27. In their reply conclusions, the complainants will add that they request, in the alternative, that the Contentious Chamber orders pursuant to Article 58.2.f) and j) of the GDPR that the transfer of data relating to account balances by the defendant to the IRS in the context of the application of the "FATCA" agreement be prohibited, or even suspended, concerning both the first complainant and the accidental American Belgians whose interests the second complainant defends.
28. During the hearing held before the Contentious Chamber, the complainants will clarify that the use of the terms "prohibition, or even suspension" is based on the exact wording of Article 58.2.f) and j) of the GDPR and does not imply a request for a temporary suspension of transfers but rather their outright cessation for the future.

The Contentious Chamber refers in this regard to the note it adopted concerning the position of the complainant https://www.autoriteprotectiondonnees.be/publications/note-relative-a-la-position-du-plaignant-dans-la-procedure-au-sein-de-la-chambre-contentieuse.pdf, particularly to point B. (in fine) page 2. It also refers to its decision 24/2022 and the references cited therein.
See point B of the hearing minutes of January 10, 2023.

I.2.3. The Inspection Service (SI) Investigation
29. On April 20, 2021, the Contentious Chamber decides to request an investigation by the Inspection Service (hereinafter SI), pursuant to Articles 63, 2° and 94, 1° of the LCA. On the same date, in accordance with Article 96.1 of the LCA, the request from the Contentious Chamber to conduct an investigation is transmitted to the SI.
30. On May 26, 2021, the SI investigation is concluded, the report is attached to the file, and it is transmitted by the Inspector General to the President of the Contentious Chamber (Article 91.1-2 of the LCA).
31. According to its report, the SI concludes that there is, in its words, "no apparent violation of the GDPR" (page 5 of the report).
32. In support of Article 96 of the GDPR (point 20 of the report), the SI notes at the end of its examination of the compliance of the "FATCA" agreement and the Law of December 16, 2015, with the regulatory framework regarding data protection as applicable before May 24, 2016, namely according to its terms, to Directive 95/46/EC as transposed under the Law of December 8, 1992, on the protection of privacy in relation to the processing of personal data (hereinafter LVP), the following elements:
- On December 17, 2014, the Privacy Protection Commission15 (hereinafter "CPVP") issued a favorable opinion 61/2014 subject to strict suspensive conditions on the first draft of the future Law of December 16, 2015. The CPVP subsequently issued a favorable opinion in its opinion 28/2015 of July 1, 2015, on the second draft of the law which implemented the remarks and conditions made in its opinion 61/2014.
- By its deliberation AF 52/2016 of December 15, 2016, the Sectoral Committee for the Federal Authority16 (hereinafter "CSAF") of the CPVP authorized the defendant to transmit to the IRS the financial information of reportable accounts of American taxpayers that is provided to it by financial institutions under the "FATCA" agreement. The SI emphasizes that the CSAF, on this occasion, assessed the admissibility of the tax purposes of the processing as well as the proportionality of the data and the security of the processing. The CSAF also instructed, in execution of the principle of transparency, the defendant to inform the citizen through a text.

15 The Privacy Protection Commission (CPVP) was the Belgian data protection authority within the meaning of Article 28 of Directive 95/46/EC. The Data Protection Authority (APD) succeeded it on May 25, 2018, in execution of Article 3 of the LCA.
16 Article 36bis of the LVP provided that any electronic communication of personal data by a federal public service or by a public body with legal personality that falls under federal authority requires a principle authorization from the Sectoral Committee for the Federal Authority (CSAF) unless the communication has already been subject to a principle authorization from another sectoral committee established within the CPVP. The mission of the CSAF is to verify whether the communication complies with legal and regulatory provisions.

accessible and understandable on its website regarding the circumstances under which its personal data (including financial data) may be transmitted to the IRS. The SI notes in this regard that a dedicated web page on "FATCA" is available on the defendant's site. The SI also recalls that pursuant to Article 111 of the LCA17, the authorizations granted by the sectoral committees of the CPVP (such as the CSAF) before the entry into force of this law retain their legal validity in principle18.
33. Finally, the SI dismisses the applicability of the Schrems II19 ruling of the CJEU. It notes that this ruling invalidates the Privacy Shield, which concerned the transfer of personal data to the United States for commercial purposes (and not for tax purposes as in this case). The SI also refers to Article 1720 of the Law of December 16, 2015, which notably enshrines the obligation of confidentiality regarding the exchanged information as well as its limited use. This article refers both to the "FATCA" agreement and to the agreements to which it itself refers, namely the OECD Convention already mentioned.
34. At the conclusion of its investigation, the SI concludes that in light of the preceding considerations

and in accordance with Article 64.2 of the LCA21, it is not appropriate to continue its investigation further and that it does not find, as already mentioned (point 32), any "apparent violation of the GDPR."

17 Article 111 of the LCA: "Without prejudice to the supervisory powers of the Data Protection Authority (DPA), the authorizations granted by the sectoral committees of the Commission for the Protection of Privacy (CPVP) before the entry into force of this law retain their legal validity. After the entry into force of this law, adherence to a general authorization granted by resolution of a sectoral committee is only possible if the applicant sends a written and signed commitment to the Data Protection Authority, in which they confirm adherence to the conditions of the resolution in question, without prejudice to the supervisory powers that the Data Protection Authority may exercise after receiving this commitment. Unless otherwise provided by law, ongoing authorization requests submitted before the entry into force of the law are processed by the data protection officer of the institutions concerned by the data exchange."

18 The Contentious Chamber will not make a general ruling on the validity of these authorizations. It will examine the relevance of the one invoked by the defendant in the specific context of the complaint leading to this decision.

19 CJEU ruling of July 16, 2020, C-311/18, Facebook Ireland and Schrems (Schrems II), ECLI:EU:C:2020:559.

20 Article 17 of the Law of December 16, 2015: § 1. The information transferred to a jurisdiction subject to declaration is subject to the confidentiality obligations and other protective measures provided by the tax treaty that allows for the automatic exchange of information between Belgium and that jurisdiction and by the administrative agreement that organizes this exchange, including provisions limiting the use of the exchanged information. § 2. However, notwithstanding the provisions of a tax treaty, the competent Belgian authority: - may, generally and subject to reciprocity, authorize a jurisdiction to which the information is transferred to use it as evidence before criminal courts when this information contributes to the initiation of criminal proceedings for tax fraud; - subject to the first bullet point, may not authorize a jurisdiction to which the information is transferred to use it for purposes other than the establishment or collection of the taxes mentioned in the treaty, the procedures or proceedings concerning these taxes, decisions on appeals related to these taxes, or the oversight of the above; and - may not authorize a jurisdiction to which the information is transferred to communicate it to a third jurisdiction.

21 Article 64.2 of the LCA: In exercising the powers referred to in this chapter, the general inspector and the inspectors ensure that the means they use are appropriate and necessary.

I.2.4. The supplementary investigation by the Inspection Service (SI)

35. On June 24, 2021, the Contentious Chamber requests, pursuant to Article 96.2 of the LCA, that a supplementary investigation be conducted by the SI.

36. Upon reviewing the report dated May 26, 2021 (points 32 and following), the Contentious Chamber indeed finds a lack of information regarding certain elements raised by the complainants in support of their complaint, including:

- The existence or non-existence of appropriate safeguards implemented concerning transfers to the United States;
- The existence or non-existence of subsequent processing for other purposes and the existence or non-existence of safeguards if applicable;
- The duration of data retention taking into account any subsequent processing that may exist;
- The specific data communicated and the volume of this data per concerned individual as well as the number of concerned individuals in Belgium;
- The existence or non-existence of a reciprocity clause and, if applicable, its concrete implementation in practice;
- The question of whether a DPIA as defined in Article 35 of the GDPR has been conducted (or will be conducted), in what form and on what date;
- The question of whether the first complainant has filed other appeals with the same or a similar subject before other instances (judicial, administrative) since the filing of their complaint and, if

applicable, what the outcome was.
37. On July 9, 2021, during the investigation, the complainants request the SI to temporarily suspend the transfer of data resulting from the "FATCA" reporting for the year 2020 to the IRS as a provisional measure taken based on the LCA, until the Contentious Chamber has made a final decision and at least until September 30, 2021. The complainants argue that the reported transfers, as soon as they occur, risk causing them serious, immediate, and difficult-to-repair harm.
38. On August 10, 2021, the SI responds to the complainants that the taking of provisional measures is one of the investigative powers conferred upon it by the LCA and that it is not an obligation but rather a possibility left to its discretion in complete autonomy. The SI also recalls that pursuant to Article 64.2 of the LCA, it ensures that useful and appropriate means are used for the purposes of the investigation. It adds that it is not required to receive instructions from anyone regarding the investigative measures to be implemented, thereby rejecting the complainants' request.

39. On September 14, 2021, the supplementary investigation by the SI is concluded, the report is attached to the file, and it is transmitted by the Inspector General to the President of the Litigation Chamber (art. 91.1 and 91.2 of the LCA).
40. According to its supplementary report, the SI finds that there are no elements indicating a lack of guarantees regarding the protection of transferred data or a lack of reciprocity in exchanges. The SI indicates that it can only note the quite robust legal framework (these terms being those of the report) that governs the transfer of tax data of American nationals by the defendant to the IRS. In this regard, it refers to the description of the guarantees surrounding said transfers, a description made by the Data Protection Officer (hereinafter "DPO") of the defendant, to the parliamentary works of the law consenting to the "FATCA" agreement, as well as to articles 3.722 and 3.823 of the agreement itself. The SI also refers to the ruling of July 19, 2019, of the French Council of State already cited, seized by the French sister association of the second complainant, a ruling in which the argument based on the violation of Article 46 of the GDPR was notably rejected. The SI's report also reproduces the elements provided by the defendant to justify the absence of a DPIA.
I.2.5. Examination on the merits by the Litigation Chamber
41. On January 20, 2022, the Litigation Chamber decides, pursuant to Article 95.1 1° and Article 98 of the LCA, that complaints No. 1 and No. 2 can be addressed on the merits.
42. On the same date, the parties are informed by registered mail of the provisions as set out in Article 95.2 and Article 98 of the LCA. The Litigation Chamber decides in this letter to join complaints No. 1 and No. 2, which concern the same processing of personal data (data related to the same facts), both of which are

22 Article 3.7 of the FATCA agreement: "All information exchanged shall be subject to the confidentiality and other protections provided for in the Convention, including the provisions limiting the use of the information exchanged." "Convention" refers to the Convention on Mutual Administrative Assistance in Tax Matters of January 25, 1988.
23 Article 3.8 of the "FATCA" agreement: "Following the entry into force of this Agreement, each Competent Authority shall provide written notification to the other Competent Authority when it is satisfied that the jurisdiction of the other Competent Authority has in place (i) appropriate safeguards to ensure that the information received pursuant to this Agreement shall remain confidential and be used solely for tax purposes, and (ii) the infrastructure for an effective exchange relationship (including established processes for ensuring timely, accurate, and confidential information exchanges, effective and reliable communications and demonstrated capabilities to promptly resolve questions and concerns about exchanges or requests for exchanges and to administer the provisions of Article 5 of this Agreement). The Competent Authority shall endeavor in good faith to meet, prior to September 2015, to establish that each jurisdiction has such safeguards and infrastructure in place.
24 The French Council of State had been seized by the French Association of Accidental Americans of a request for annulment for abuse of power of the decisions by which a refusal had been opposed to its requests for the repeal of a decree and its ministerial order organizing the collection and transfer of personal data to the American authorities. In its ruling, the French Council of State concluded that in

light of the specific guarantees surrounding the disputed processing provided by the "FATCA" agreement of November 14, 2013 (agreement concluded with France) and the level of protection ensured by the applicable legislation in the United States regarding personal data allowing the establishment of the tax situation of taxpayers (the French CE refers to the U.S. Federal Data Protection Act of 1974 and the Federal Tax Code), the argument based on the violation of Article 46 of the GDPR as well as Articles 7 and 8 of the Charter of Fundamental Rights of the EU must be dismissed (points 23 and following of the ruling). French Council of State, ruling of July 19, 2019, No. 424216 ECLI:FR:CEASS:2019:424216.20190719:
https://www.legifrance.gouv.fr/ceta/id/CETATEXT000038801233?isSuggest=true

introduced against the defendant and opposing the same grievances. The Contentious Chamber considers them to be so closely linked that there is an interest in examining them and making a decision regarding them at the same time in order to ensure the consistency of its decisions.
43. In the same correspondence, the Contentious Chamber grants the parties the following deadlines to conclude: March 17 and May 16, 2022, for the defendant, and April 15, 2022, for the complainants.
44. In support of the complaint and the reports from the SI, the Contentious Chamber also identifies the grievances on which it invites the parties to present their arguments:
- The unlawfulness of data transfers to the IRS by the defendant in light of Articles 45 and 49 of the GDPR and the absence of a legal basis;
- The failure to comply with the principles of purpose limitation, proportionality, and data minimization (Article 5.1 b) and c) of the GDPR) as well as a breach of the principle of data retention limitation (Article 5.1 e) of the GDPR);
- The failure to comply with the principle of transparency and the obligation to inform (Articles 5.1 a), 12, and 14 of the GDPR);
- The breach of Article 16 of the GDPR (right to rectification) in that the defendant's procedures do not provide for a possibility for the data subjects to obtain a correction of their status under the "FATCA" legislation;
- The failure to carry out a DPIA as defined in Article 35 of the GDPR;
- The failure to comply with Articles 5.2 and 24 of the GDPR coupled with the aforementioned breaches;
- The failure to comply with Article 20 of the Law of July 30, 2018 (LTD).
45. The Contentious Chamber also invites the parties to conclude on Article 96 of the GDPR invoked by the defendant in its letter of October 4, 2021 (point 19).
46. On January 31 and February 8, 2022, the defendant requests a copy of the file (Art. 95.2, 3° LCA), which is transmitted to it on February 9, 2022.
47. On March 16, 2022, the Contentious Chamber receives the defendant's response conclusions.
48. On March 30, 2022, the Contentious Chamber sends a supplementary request to the parties regarding the appeal lodged by the second complainant with the CE (Belgian) concerning the issue of data transfers of accidental Americans to the United States (point 19). Without prejudice to the respective competencies of the CE and the APD, the Contentious Chamber requests the second complainant to clarify in its future reply conclusions or in a separate document of its choice, the subject of this appeal to the CE and, if possible, the timeline related to it. The Contentious Chamber specifies that this information aims to allow it to assess whether (the outcome of) this appeal is likely to have an impact on the ongoing procedure before the APD and/or on its future decision.
49. On April 15, 2022, the Contentious Chamber receives the reply conclusions from the complainants.
50. On May 16, 2022, the Contentious Chamber receives the summary conclusions from the defendant.
51. On August 17, 2022, exceptionally, the Contentious Chamber allows the parties to conclude additionally on the reference to the judgment of March 9, 2017, of the Constitutional Court made by the defendant in its aforementioned summary conclusions.
52. On August 17, 2022, the parties are informed that the hearing will take place on September 13 following. This hearing was subsequently postponed to November 7, 2022, and then to January 10, 2023.

53. On August 31, 2022, the Contentious Chamber receives the additional conclusions from the complainants regarding the aforementioned judgment of the Constitutional Court of March 9, 2017.
54. On September 21, 2022, the Contentious Chamber receives the additional conclusions from the defendant on the same judgment.
55. On September 23, 2022, the complainants transmit to the Contentious Chamber 2 documents that they qualify as "new pieces" of the file. These specifically include an opinion dated August 23, 2022, from the Slovak data protection authority (and its unofficial translation into French) regarding the "FATCA" agreement concluding the non-compliance of the "FATCA" agreement with the GDPR, on the one hand, and the updated report "FATCA legislation and its application at international and EU level – an update" from September 2022 commissioned by the European Parliament, on the other hand.
56. This is followed by an exchange of correspondence between the parties regarding the admissibility of these documents submitted outside the deadlines set for the submission of their conclusions and respective pieces.
57. On October 3, 2022, the Contentious Chamber informs the parties that it will give them the opportunity to express themselves on these documents at the beginning of the hearing.

25 According to the complaint form, the complainants are asked to inform the APD of the existence of any complaint(s) possibly lodged with other bodies. This appeal to the Council of State not being lodged at the time of the complaint submission to the APD, the second complainant was requested to clarify this to the Contentious Chamber.

I.2.6. Hearing of the Parties on January 10, 2023

58. On January 10, 2023, the parties were heard by the Contentious Chamber. During the hearing, and as reflected in the minutes, the Contentious Chamber indicated that it was authorized to take cognizance of all relevant documents. No document was excluded from the proceedings as long as the exercise of the rights of defense in relation to them was made possible, whether during the hearing or, if necessary, thereafter. The parties will not revisit this point.
59. On January 27, 2023, the minutes of the hearing were submitted to the parties. The Contentious Chamber received no comments from them on these minutes, the parties indicating—respectively on January 29, 2023 (for the complainants) and February 3, 2023 (for the defendant)—that these minutes reflect the discussions that took place during the hearing.

I.3. Decision 61/2023

60. On May 24, 2023, the Contentious Chamber, composed of Mr. Hielke Hijmans, President, Mr. Yves Poullet, and Mr. Christophe Boeraeve, Members, adopted Decision 61/2023.
61.
By virtue of this decision, the Contentious Chamber decides:
- Under Article 100.1, 8 of the LCA, to prohibit the defendant from processing the personal data of the first complainant and Belgian accidental Americans in application of the "FATCA" agreement and the Law of December 16, 2015 regulating the communication of information related to financial accounts by Belgian financial institutions and the SPF Finances within the framework of an automatic exchange of information at the international level and for tax purposes.
- Under Article 100.1, 5° of the LCA, to issue a reprimand to the defendant regarding Article 14.1-2 combined with Article 12.1 of the GDPR, accompanied by a compliance order based on Article 100.1, 9° of the LCA requiring the provision of GDPR-compliant information on its website;
- Under Article 100.1, 5° of the LCA, to issue a reprimand to the defendant regarding the violation of Article 35.1 of the GDPR, accompanied by a compliance order based on Article 100.1, 9° of the LCA requiring the conduct of a DPIA as defined in Article 35 of the GDPR;
- The evidentiary documents attesting to the ordered compliance are to be communicated to the Contentious Chamber within 3 months from the date of the notified decision;

- Under Article 100.1, 5° of the LCA, to issue a reprimand to the defendant for the violation of Articles 5.2 and 24 of the GDPR.

I.4. Appeal Against Decision 61/2023 Before the Market Court

62.
By application dated June 14, 2023, the defendant filed an appeal for suspension and annulment of Decision 61/2023 with the Market Court. The APD is the defendant in this appeal.

63. On June 27, 2023, the complainants filed a request for voluntary intervention.

64. In its defense before the Market Court, the APD develops various arguments in support of which it requests the Court to declare the defendant's appeal admissible but unfounded.

65. It also invites the Court, to the extent that it has any doubts regarding any of the points raised, to refer the following preliminary questions to the CJEU:

- 1°) "Can national legislation approving an international agreement between a Member State and a third country establish a 'public interest' within the meaning of Article 26, §1, d) of Directive 95/46/EC if that third country does not guarantee effective reciprocity?"
- 2°) "Does the transfer of personal data to the tax authority of a third country under national legislation approving an international agreement between the Member State in question and that third country violate Article 6, §1, b) of Directive 95/46/EC to the extent that the purposes of the processing of personal data, as derived from the agreement in question, are expressed in vague terms, such as 'observance of international tax rules' or 'implementation of obligations arising from the American law 'FATCA' aimed at combating tax evasion by American nationals'?"
- 3°) "Does the transfer of personal data to the tax authority of a third country under national legislation approving an international agreement between the Member State in question and that third country violate Article 6, §1, b) of Directive 95/46/EC to the extent that the third country has not established adequate safeguards to prevent the data in question from being used for purposes other than those provided for in the agreement?"
- 4°) "Does the transfer of personal data to the tax authority of a third country under national legislation approving an international agreement between the Member State in question and that third country violate Article 6, §1, c) of Directive 95/46/EC to the extent that the national legislation and the international agreement in question do not contain provisions and criteria that establish an explicit link between the..."

communication of personal data concerning financial accounts and potential fraud or tax evasion?

- 5°) "Does the transfer of personal data to the tax authority of a third state under national legislation approving an international agreement between the member state in question and that third state violate Article 6, §1, e) of Directive 95/46/EC to the extent that there are no adequate safeguards in place to prevent the data in question from being retained longer than necessary to achieve the purposes pursued once the data is transferred to the tax authority of that third state?"
- 6°) "In the event of an international agreement between a member state and a third state concerning the transfer of personal data to the tax authority of that third state, must the 'adequate safeguards' within the meaning of Article 26, §2 of Directive 95/46/EC be included in the international agreement itself?"
- 7°) "Can Article 96 of Regulation (EU) 2016/679 of the Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), taken in isolation or read in conjunction with Article 4, paragraph 3 of the Treaty on European Union and/or Article 351 of the Treaty on the Functioning of the European Union, be interpreted to mean that member states have an obligation to make their best efforts to amend, replace, or revoke international treaties to which they are parties that do not comply with the provisions of this regulation?
- If so, can a member state that in 2023 has not made its best efforts to amend, replace, or revoke an international treaty, to which it is a party, that does not comply with the provisions of Regulation (EU) 2016/679, invoke Article 96 of this regulation to justify behavior incompatible with this regulation?"

I.5. The rulings of the Market Court of June 28 and December 20, 2023

66. On June 28, 2023, the Market Court issues an interim ruling (2023/AR/801) by which it suspends the execution of decision 61/2023 of the Contentious Chamber with immediate effect, until it rules on the merits of the annulment appeal filed.

26 Pursuant to Article 108.1, paragraph 2 of the LCA, decisions of the Contentious Chamber are indeed, except in exceptional cases, provisionally enforceable: "Except for the exceptions provided by law or unless the Contentious Chamber decides otherwise by a specially reasoned decision, the decision is provisionally enforceable, notwithstanding appeal. The decision to erase data in accordance with Article 100, §1, 10°, is not provisionally enforceable."

67.
On December 20, 2023, the Market Court issues a ruling (2023/AR/801) by which it annuls decision 63/2021 of the Contentious Chamber and rules that the case is referred back to the Contentious Chamber "composed differently," for it to rule again, in a reasoned manner, on the merits, taking into account the considerations developed in its ruling.

68. Regarding these considerations, the Market Court criticizes the Contentious Chamber for not having sufficiently justified its decision in violation of Articles 2 and 3 of the Law of July 29, 1991 concerning the formal justification of administrative acts. More specifically, the Market Court indicates that this requirement for justification has not been met since "nothing indicates that said decision took into account the reports of the General Inspectorate and the concrete analysis carried out by this service; it does not justify the reasons why it deviates from the findings made therein regarding the legality of the data processing by the SPF Finances" (point 35 of the ruling). The Court states in this regard that the sovereign assessment of the Contentious Chamber must be accompanied by a duty of enhanced justification when it deviates from the findings of the SI. Since the Contentious Chamber requested an investigation report, the parties involved can legitimately expect that this report will be taken into account by the Contentious Chamber in its assessment. Consequently, the Contentious Chamber must justify the reasons why it does not follow the findings or conclusions of the SI (point 30 of the ruling).

69. The Market Court specifically points out the following:

- Regarding compliance with the principle of purpose, the decision is based solely (§ 164) on a passage from report WP 234 of the Article 29 Working Party and on a doctrinal article written by the president of the Contentious Chamber himself concerning an analysis by the CJEU, namely on general and theoretical references. In doing so, decision 61/2023 does not take into account the concrete analysis carried out by the SI which noted (1) that the CPVP had in its two opinions been able to assess the legitimacy of the fiscal purposes and the necessity of the transfer of data to third countries due to an important public interest of Belgium and in view of the reciprocity of exchanges; (2) that the CSAF had likewise authorized the defendant to transmit the requested data to the IRS and had on that occasion been able to assess the admissibility of the fiscal purposes of the processing, the proportionality of the data processed, and the security of the processing; and (3) that pursuant to Article 111 paragraph 1 of the LCA, the authorizations granted by the sectoral committees of the CPVP retain their legal validity in principle.
- In its examination of the principles of necessity and minimization, the Court also points out the overly general nature of the European sources (opinions of the Article 29 Working Party, study of the European Parliament) used by the Contentious Chamber. It concludes that the latter did not take into account the analysis carried out by the SI which noted that both the CPVP and the CSAF had favorably assessed the necessity and proportionality of the data transfers. The Court is also of the opinion that the decision did not take into account the concrete responses provided by the DPO of the defendant to questions 6, 7, and 8 included in the supplementary report of the SI specifically related to the concrete assessment of the principle of data minimization.
- Finally, regarding the rules concerning the framework for the transfer of data to the IRS, the Market Court notes that concerning the "appropriate safeguards" provided for in Article 46.2 a) of the GDPR, decision 61/2023 considers that these must be included in the international agreement itself and examines them in light of the Guidelines 02/2020 of the EDPB. In doing so, the Court notes that the

Contentious Chamber did not take into account the safeguards identified by the SI, particularly in its supplementary report, arising from the fact that:

o Article 3.7 of the "FATCA" agreement refers to the "confidentiality obligations and other safeguards provided by the OECD Multilateral Convention (Articles 21 and 22 – page 3/22 of the supplementary report of the SI);

o Article 3.8 of the "FATCA" agreement provides that each competent authority shall notify the other in writing when it is convinced that the latter has established the appropriate safeguards (page 3/22 of the supplementary report of the SI);

o The responses provided by the DPO of the SPF Finances to questions 1 to 4 posed by the SI regarding the safeguards put in place and notably the notification made by the Belgian tax administration to the American tax authority regarding the establishment of the safeguards (response to question 2).

70. Regarding any potential preliminary questions, the Court indicates in the operative part of its ruling, "that at this stage, there is no need to refer preliminary questions to the Court of Justice" (page 52 of the ruling).

I.6. Background of the resumption procedure leading to this decision

I.6.1. The decision of March 20, 2024, on the composition

71.

Following the ruling of the Market Court on December 20, 2023, the president of the Contentious Chamber H. Hijmans27 decides, on March 20, 2024, to assign the resumption of the procedure in this case to a panel composed of the following three members: Yves Poullet as the president of the panel, Christophe Boeraeve, and Jelle Stassijns.

27 The Contentious Chamber means the president designated by the House of Representatives in accordance with Chapter 3 of the LCA, more specifically Article 39.

72.

This decision is based on Article 43 of the Rules of Procedure (RoI) of the Data Protection Authority (APD) which grants the president of the Contentious Chamber the authority to allocate cases among its members and to decide whether, in a given case, the Contentious Chamber shall sit with 3 members.

73.

This decision is justified as follows:

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"fundamental principles of the protection of personal data are at stake, such that the case must be handled by a panel composed of 3 members": it should be noted that the terms "fundamental principles of the protection of personal data" specifically refer to Article 43 of the RoI;

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the language of the proceedings in this case is French: in accordance with the principles of good administration and in the spirit of the legislation regarding the use of languages, it is preferable that the majority of the panel, including its president, be part of the French-speaking linguistic role of the Contentious Chamber;

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one of the French-speaking members has – or may be perceived as having – a conflict of interest within the meaning of Article 58 of the RoI of the APD.

74.

In support of these elements, President H. Hijmans concludes that the renewal of the composition of the panel of the Contentious Chamber can necessarily only be partial.

I.6.2. Resumption of the Examination on the Merits

75.

On May 30, 2024, the Contentious Chamber notifies the parties of the resumption ab ovo of the examination on the merits of the complaint and sends them an invitation to submit their conclusions regarding the grievances listed below. It recalls the joinder of complaints No. 1 and No. 2 that it carried out by its letter of January 20, 2022. The final schedule for the exchange of arguments from the parties is set, after modification by email on June 11, 2024, as follows: August 7 and October 4, 2024, for the defendant and September 5, 2024, for the complainants.

28 Art. 43 of the RoI: Cases brought before the Contentious Chamber are allocated by its president among the members of the Contentious Chamber. The member to whom the case is assigned sits alone. The Contentious Chamber sits with three members if the president decides so. He makes this decision taking into account the nature of the complaint and the violation of the fundamental principles of the protection of personal data. In light of the circumstances described in the previous paragraph, the member to whom a case is assigned may, however, request the president to sit with three members. The president ensures assistance by appointing officials from the administration of the APD, who are part of the secretariat of the Contentious Chamber.
29 It follows from Article 58 of the RoI that the authority to decide whether a member of the Contentious Chamber has a conflict of interest lies with the president of the Contentious Chamber. The conflict of interest is further defined as follows: "A conflict of interest arises when the impartial and objective exercise of the function/mandate or the respect for the principles of fair competition, non-discrimination, and equal treatment is compromised due to a shared interest with a person or entity mentioned in the case to be examined."
30 This email follows a request for modification of deadlines by the defendant. However, the Contentious Chamber did not grant the defendant's request to organize only one round of conclusions starting with the complainants and concluding with the defendant.

76.
The grievances on which the parties are invited to defend themselves are identical to those raised by the Contentious Chamber in its letter of January 20, 2022 (points 41 et seq.), with the exception of the grievance concerning non-compliance with Article 20 of the LTD, regarding which the Contentious Chamber invites the parties to defend themselves "provided that this grievance is maintained by the complainants, who abandoned it during the exchange of submissions that led to the annulled decision 61/2023 of the Contentious Chamber by the Court of Markets."
77.
The Contentious Chamber further invites the parties to clarify the applicability of Article 96 of the GDPR as well as the existence of appropriate safeguards established regarding data transfers to the IRS, indicating the specific provisions on which they rely, whether they are based on provisions of Directive 95/46/EC, the GDPR, or other texts applicable at the time of the alleged facts as well as at present.
78.
Finally, the Contentious Chamber particularly invites the parties to take into account in their respective arguments the considerations expressed by the Court of Markets in its annulment ruling of December 20, 2023, regarding the findings made by the SI, notably those highlighted by the Court in point 34 of its ruling.
79.
On May 30, 2024, the complainants notify the Contentious Chamber that they wish to be heard at the end of the exchange of submissions in application of Article 98 of the LCA in conjunction with Articles 48 to 54 of the RoI of the APD.
80. On August 5, 2024, the Contentious Chamber receives the main submissions from the defendant.
81.
On September 3, 2024, the Contentious Chamber informs the parties of the decision made on March 20, 2024, by Mr. Hielke Hijmans regarding the renewed composition of the Contentious Chamber mentioned in point 72.
82.
On September 5, 2024, the Contentious Chamber receives the submissions from the complainants.
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The complainants note that the Contentious Chamber is otherwise composed as requested by the

Court of Markets in its ruling of December 20, 2023.

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The complainants state that the banks are not parties to the case (see the defendant's criticism in this regard below) not "due to a conflict of interest with the complainant's counsel" but because it is not the financial institutions that are responsible for processing in relation to the processing that consists of transferring personal data to the IRS.

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Regarding Article 96 of the GDPR, the complainants consider that the conditions for its application are not met and that none of the texts put forward by the defendant to attempt to demonstrate that the "FATCA" agreement would be compliant with the applicable Union law as of May 24, 2016 withstands analysis, particularly in light of the primacy that should be given to the case law of the CJEU in its ruling C-175/22.

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The complainants believe that the "FATCA" agreement does not contain the minimum guarantees required by Article 46.2 a) of the GDPR. They also emphasize that regarding Article 49.1 d) initially invoked by the defendant, it cannot be applied in this case.

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The complainants also argue that the defendant fails to fulfill its information obligation in violation of Article 14 of the GDPR and the principle of transparency.

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The complainants consider that the defendant has committed a violation of Article 35 of the GDPR by not conducting a DPIA.

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The complainants also believe that Articles 5.2 and 24 of the GDPR have been violated in this case.

83. On October 4, 2024, the Contentious Chamber receives the additional submissions serving as summary conclusions from the defendant. The defendant having submitted second additional submissions serving as summary conclusions, the summary of its arguments is set out below in point 86.

84. On October 18, 2024, the Contentious Chamber addresses the parties, noting that the additional and summary submissions from the defendant contain a number of requests directly addressed to the complainants and their counsel.31 In order to have a complete file, the Contentious Chamber decides to grant the complainants a final deadline until November 4, 2024, to respond. It adds that if the complainants were to react, an equal deadline will be granted to the defendant for a final reply.

85. On November 4, 2024, the complainants submit additional conclusions.

86. On November 19, 2024, the Contentious Chamber receives the second additional submissions serving as summary conclusions from the defendant.

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The defendant contests that the Contentious Chamber is "otherwise composed" as requested by the Court of Markets in its ruling of December 20, 2023.

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The defendant requests that the case be suspended pending the intervention of the financial institutions in the proceedings. Their absence, according to the defendant, constitutes a violation of the principle of equality enshrined in Articles 10 and 11 of the Constitution, as neither the defendant nor the APD are authorized to compel them to intervene in the case.

31 The defendant requests the production of specific documents (see below). It also requests that the complainants' counsel recuse themselves due to a conflict of interest on their part.

as they play an essential role in the chain of processing leading to the disputed transfers to the IRS.

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The defendant requests the plaintiffs to produce the decision of the CNIL dated May 23, 2022, by which the latter closed a complaint similar to that leading to the present decision. As will be detailed in point 91, this document was produced on November 29, 2024, by the plaintiffs.

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The defendant believes that the conditions of Article 96 of the GDPR are met and that the "FATCA" agreement, read in conjunction with the Law of December 16, 2015, with which it is inseparable, complies with the applicable EU law as of May 24, 2016. The disputed transfers to the IRS, for which it does not deny being a data controller, are therefore not tainted by any illegality and can be carried out.
-
The defendant argues that without prejudice to the application of Article 96 of the GDPR, the "FATCA" agreement is compliant with the GDPR and that on its basis and that of the Law of December 16, 2015, the transfers to the IRS are lawful.
-
The defendant defends itself against any breach of the information obligation that it believes is imposed on banks. Nevertheless, it adequately informs the data subjects via its website.
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The defendant is of the opinion that it was not required to conduct a DPIA given the pre-analysis it had carried out.
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The defendant considers that it has not violated the accountability principle enshrined in Articles 5.2 and 24 of the GDPR.

I.6.3. The invitation to the hearing and the hearing of the parties

87. On November 28, 2024, the parties are informed that the hearing is scheduled for December 11, 2024.

88. The Contentious Chamber specifies in its invitation letter that it is thus granting the plaintiffs' request for a hearing and therefore summons the parties. The Contentious Chamber does not grant the request made by the defendant in point 75 of its second additional conclusions, which serve as summary conclusions, to reject the plaintiffs' request to be heard on the grounds that this hearing would be unnecessary since the Contentious Chamber remains composed of two members, including the acting president, who attended the hearing on January 10, 2023, as part of the phase of the procedure that led to decision 61/2023.

89. The Contentious Chamber adds that it does not grant, as of the date of sending and in the current state of the file, the request to suspend the case pending the intervention of the...

financial institutions also raised by the defendant in the operative part of its supplementary conclusions serving as summary conclusions. The Contentious Chamber notes that at the date of the invitation, the financial institutions are neither parties nor intervenors in the proceedings.

90. Finally, regarding the defendant's request to suspend the case pending the production by the complainants of the decision issued by the president of the CNIL on May 23, 2022, the Contentious Chamber observes that in response to the request made to them by the defendant in its supplementary and summary conclusions of October 2, 2024, the complainants indicate that they do not hold this decision nor are they its recipients. The Contentious Chamber further notes that the documents requested by the defendant through its conclusions have not been produced by the complainants at the end of the additional schedule for the exchange of conclusions specifically provided for this purpose. Without granting, at the date of its sending and in the state of the file, the defendant's request for suspension on this ground, the Contentious Chamber grants the complainants a final deadline for the production of the documents until December 5, 2024, considering that it must have all possibly relevant documents for the resolution of the dispute (or at least cannot be deprived of them).

91. On November 29, 2024, the complainants produce the decision of the president of the CNIL dated May 23, 2022.32

92. On December 11, 2024, the parties are heard by the Contentious Chamber. At the end of the hearing, the Contentious Chamber decides to continue the case pending the production by the defendant of the document "Notification of adequacy of data safeguards and infrastructure" signed by both the defendant and the IRS. Indeed, the said document produced in the defendant's file bore only the signature of the Belgian authorities dated January 10, 2017. The Contentious Chamber indicates

that the case will be deliberated once the document is received.
93. On December 17, 2024, the defendant produces the signed copy by both parties (the IRS on one hand and the defendant on the other) of the "Notification of adequacy of data safeguards and infrastructure" mentioned above.
94. On December 24, 2024, the minutes of the hearing are submitted to the parties. Both parties inform the Contentious Chamber (respectively on January 20, 2025, for

32 This decision pronounces the closure by the National Commission on Informatics and Liberties (CNIL), that is, the French data protection authority, of the complaint by the French Association of Accidental Americans seeking the suspension of automatic transfers of tax data carried out between France and the United States under the international agreement concluded on November 14, 2013, between the Government of the French Republic and the Government of the United States of America, ("FATCA agreement"). The CNIL states that the French Council of State has already ruled on the matter in a decision dated July 19, 2019 (see supra note 24) in which it concluded on the compatibility of the "FATCA" agreement with the GDPR. The CNIL indicates that after studying the arguments of the complaint, it appears to it that nothing authorizes it to challenge the position established by the French supreme administrative jurisdiction.

the defendant and on January 23, 2025, for the complainants) that this hearing report does not call for any remarks from them.

II. Motivation

II.1. Regarding the Jurisdiction of the Litigation Chamber of the DPA

95. The GDPR has notably entrusted the data protection authorities ("supervisory authorities") of the EU with the mission of handling the complaints submitted to them (Article 57.1.f of the GDPR).
96. When processing complaints, the data protection authorities must contribute to the consistent application of the GDPR throughout the EU.
97. In this case, the one-stop-shop mechanism provided for in Article 56 of the GDPR does not apply in light of Article 55.2 of the GDPR, which states that "when processing is carried out by public authorities or private bodies acting on the basis of Article 6, paragraph 1, point c) or e), the supervisory authority of the concerned Member State is competent. In this case, Article 56 does not apply."
98. The complaint submitted for examination by the Litigation Chamber indeed concerns the communication (transfer) (which constitutes processing within the meaning of Article 4.2 of the GDPR) of personal data (within the meaning of Article 4.1 of the GDPR) by a Belgian public authority (the defendant) to a foreign public authority (the IRS) in execution of the "FATCA" agreement and the Belgian Law of December 16, 2015.
99. Thus, since it involves assessing the compliance of a bilateral intergovernmental agreement with data protection rules, even if this agreement is similar in content to other "FATCA" bilateral agreements signed by the United States with other EU Member States, the DPA is solely competent under Article 55 of the GDPR and Article 4 of the LCA. The same applies to any other data protection authority in the EU seized of the same issue.
100. Contrary to what is provided when the one-stop-shop mechanism applies, the data protection authorities of the EU do not have oversight over the draft decision of the DPA in this case (Article 60.1-3 of the GDPR). In the event of differing views regarding the application of the GDPR, no relevant and reasoned objection within the meaning of Article 60.4 of the GDPR can be raised by another data protection authority against the draft decision of the DPA, and no binding decision33 made under the application of

33 Article 65.1 of the GDPR: In order to ensure the correct and consistent application of this regulation in specific cases, the committee [read the European Data Protection Committee – EDPB] adopts a binding decision in the following cases:

Article 65 of the GDPR by the European Data Protection Board (hereinafter "EDPB") will only come into play in the event of disagreement between data protection authorities regarding the application of the GDPR to the case at hand. This finding applies to the decision of the DPA but also to decisions

that have been made or will be made in the future by other EU data protection authorities on the same issue.
101. Among the competencies of the EDPB is also the ability to issue opinions based on Article 64-2 of the GDPR. However, the request for such an opinion must concern a question of general application and not a specific case/processing.
102. The non-applicability of the one-stop-shop mechanism and the lack of competence of the EDPB to decide on the compliance of the "FATCA" agreement with the applicable data protection regulations in the EU does not exempt the DPA, quite the contrary, from applying the GDPR in the most consistent manner possible.
103. To this end, the Litigation Chamber will give the utmost regard to the relevant rulings of the CJEU.
104. The Litigation Chamber will also take into account the relevant Guidelines and opinions adopted and made public both by Article 29 Working Party and by the EDPB, of which it was/is a member and to the adoption of which it participated as a (administrative) data protection authority. Regarding the EDPB, it follows from the missions assigned to it under Article 70 of the GDPR that it has an essential role to play concerning the consistent application of the rules set forth by the GDPR regarding cross-border data flows, particularly through the adoption of Guidelines (see also recital 139). Certainly, the Guidelines of the EDPB are not legally binding, at least not for their recipients. On the other hand, they bind the data protection authorities that adopted them, which cannot depart from them without a clear reason, under penalty of creating legal uncertainty for their recipients, both for the data subjects and for the data controllers who would have complied with them (following the position of the data protection authorities under whose supervision, without prejudice to the jurisdiction of the courts, these

a) when, in the case referred to in Article 60, paragraph 4, a concerned supervisory authority has made a relevant and reasoned objection to a draft decision of the lead supervisory authority and the lead supervisory authority has not addressed the objection or has rejected this objection on the grounds that it is not relevant or reasoned. The binding decision concerns all matters that are the subject of the relevant and reasoned objection, including whether there is a violation of this regulation;
34 Article 64.2 of the GDPR: Any supervisory authority, the chair of the committee [read the European Data Protection Board – EDPB] or the Commission may request that any question of general application or producing effects in several Member States be examined by the committee with a view to obtaining an opinion, particularly when a competent supervisory authority fails to comply with the obligations relating to mutual assistance in accordance with Article 61 or the obligations relating to joint operations in accordance with Article 62.
35 See in this regard, in addition to the reference to its advisory mission to the European Commission regarding the level of protection in third countries, letters c), i), j) and s) of Article 70 of the GDPR as well as Article 64 e) and f) of the GDPR, all of which specifically relate to the role of the EDPB regarding such flows.

data controllers are subject to). The Contentious Chamber must therefore invoke them when it deems them relevant in light of the complaint it is currently addressing. The same applies to the opinions of the Article 29 Working Party.36
105. The Contentious Chamber adds that it is aware that other data protection authorities as well as other administrative jurisdictions, appeal bodies of said data protection authorities where applicable, have already ruled, in various ways, on the same issue of the transfer of personal data to the IRS in execution of "FATCA" agreements. As each data protection authority remains exclusively competent, it independently assesses the merits of the complaint submitted to it and is not bound by the positions taken by its European counterparts solely because they may have previously been seized of similar complaints. As already mentioned, consistency must nonetheless be sought.
106. In this regard, and even if it will refer to the judgments of the CJEU and the Guidelines adopted by European data protection authorities under the auspices of the Article 29 Working Party and the EDPB, the Contentious Chamber adds, as necessary, that it is not authorized to refer questions to the CJEU for preliminary rulings (Article 267 TFEU) even if it were to consider, as it did in its first decision,

that an interpretation established by the CJEU of a provision of the GDPR is necessary for the resolution of the dispute before it, as well as to avoid divergent applications of the GDPR in light of similar complaints.

II.2. Regarding the composition of the Contentious Chamber

107. As stated in point 71, the president of the Contentious Chamber H. Hijmans adopted on March 20, 2024, a decision regarding the composition of the Contentious Chamber for the resumption of the case, based on Article 43 of the RoI.37

36 Article 30.1 a) of Directive 95/46/EC entrusted the Article 29 Working Party (Group 29) with the task of examining any questions concerning the implementation of national provisions adopted pursuant to this directive, with a view to contributing to their uniform implementation. Pursuant to Article 30.1 b), Group 29 was tasked with providing an opinion to the European Commission on the level of protection in third countries.

37 The Contentious Chamber communicated the decision of March 20, 2024, to the parties on September 3, 2024. The Contentious Chamber believes that it cannot be criticized for only communicating this decision on that date. It is indeed not required to communicate the composition of its bench to the parties in advance, and the document was part of the procedural file that the parties could request, as indicated in the letter from the Contentious Chamber dated May 30, 2024. In any case, assuming, quod non, that it would have been required to do so, the lack of communication of this decision to the parties as of May 30, 2024, has no impact on its validity.

108. This decision was made by President H. Hijmans in accordance with Article 43 of the RoI, the LCA referring in its Article 33.238 to the RoI for all matters concerning the composition of the Litigation Chamber.

109. Regarding this composition, the Litigation Chamber notes that the defendant believes that the 2 members who had already sat during the adoption of decision 61/2023 are in a conflict of interest, that they constitute the majority of the renewed seat, and that one of them (Mr. Y. Poullet) now additionally presides over it, which is all the more questionable. The defendant adds that the appointment of the president is, moreover, a privilege of the House of Representatives. In summary, the defendant argues that this composition, which includes only one new member, does not meet the condition of "Litigation Chamber otherwise composed" as stated by the Market Court in its ruling of December 20, 2023, and is also contrary to the principle of impartiality.

110. In the operative part of its second additional conclusions, which serve as summary conclusions, the defendant thus requests the Litigation Chamber to "declare that Mr. Yves Poullet does not demonstrate the powers he claims, that the Litigation Chamber does not comply with the ruling of the Market Court of December 20, 2023, in that it is not otherwise composed, and that Mr. Yves Poullet must recuse himself." It requests to "re-schedule the case with a Litigation Chamber otherwise constituted."

111. As for the complainant, he concludes that the Litigation Chamber is indeed "otherwise composed" in accordance with the request of the Market Court and submits to the competence of the Litigation Chamber in this regard.

112. As specified in the decision of March 20, 2024 (points 71 and following), the composition of the Litigation Chamber for the resumption of this case is based on a number of considerations which are explained below.

113. Regarding the decision to sit with 3 members: the compliance with GDPR of transfers of personal data carried out by a public administration in execution of an intergovernmental agreement governing automatic exchange of information in tax matters concluded with the United States is a significant issue concerning the protection of personal data transferred to a third country outside the European Union and is situated within a context related to a public interest of the State, as the Market Court emphasized in its ruling of June 28, 2023, in particular. This issue has, as provided in Article 43 of the aforementioned RoI, justified the first sitting with 3 members. The first decision having been adopted with such a sitting, it did not seem pertinent to the president (H. Hijmans)

38 Article 33 of the LCA: 1. (…) The president or one of the members of the Litigation Chamber sits as

a sole member unless the president of the Litigation Chamber decides to sit with three members in accordance with the provisions of the internal regulations. § 2. Otherwise, the internal regulations specify everything concerning the composition of the Litigation Chamber during sessions and the methods of work.

of the Contentious Chamber to reduce its composition to a single member. This composition of 3 members is in line with the practice39 of the Contentious Chamber (based on its RoI as just recalled) which is, except for rare exceptions, to handle cases on the merits, that is, those that present a significant issue and require the exchange of conclusions, with a composition of 3 members.40

114. Even assuming that the Contentious Chamber deviated from its practice and opted for a single-member composition, this member would necessarily have had to belong to the French-speaking linguistic role of the Contentious Chamber, the language of the procedure being French in this instance (see below). Two scenarios would then have arisen: (1) since the only French-speaking member who did not sit during the adoption of decision 61/2023 had a conflict of interest or could be perceived as such (see below), one of the two French-speaking members who had already sat would have sat alone; or (2) President H. Hijmans being the only member of the Contentious Chamber considered to be bilingual41 or not exclusively belonging to one or the other linguistic role, the only alternative would have been for President H. Hijmans to sit alone. These options would therefore not have complied with the condition set by the Court of Markets for a "Contentious Chamber composed differently" since in either case, the member sitting alone would have already sat during the adoption of decision 61/2023.

115. As for the language of the present procedure, it is undisputed that it is French. The complaint was filed in French (the documents submitted in support of it, including the correspondence exchanged with the defendant, were also in French) and there followed correspondence from the Contentious Chamber in French, an investigation by the SI in French, and conclusions submitted by each of the parties in French. The parties also expressed themselves in this language during the hearings and decision 61/2023 was adopted in French as well.

116. Regarding the decision to maintain a composition predominantly made up of French-speaking members42 (that is, 2 out of 3), the Contentious Chamber, in respect of the principle of legal certainty, followed the practice it had adhered to until then and to which it

39 This practice is known to the public as the decisions of the Contentious Chamber are published on its website, with decisions on the merits being selectable based on search criteria based on the type of decisions.

40 Decisions on the merits are those, which, unlike those adopted in execution of Article 95.1 of the LCA, involve the parties in the context of an exchange of conclusions and can impose the corrective measures and sanctions identified in Article 100.1 of the LCA, that is, all corrective measures and sanctions provided for by the GDPR, including processing bans, reprimands, or fines, whereas in execution of Article 95.1 of the LCA, the corrective measures and sanctions that can be imposed are limited.

41 Article 40.1 paragraph 1 of the LCA: "The management committee consists of as many French-speaking members as Dutch-speaking members, except for the president of the Contentious Chamber."

42 Article 40.1, paragraph 4 of the LCA: "The six members of the Contentious Chamber are appointed in equal numbers by linguistic role and at least one member must possess functional knowledge of German." These 6 members (3 belonging to the French-speaking linguistic role, 3 to the Dutch-speaking role) do not include the president.

had publicly committed itself under its Note on language policy43.

This practice consists of assigning the case to a panel predominantly composed of members belonging to the linguistic role of the language of the case in the event of a panel of 3 members, with the president being considered - as already mentioned - as not specifically belonging to any of these roles or to both. The Contentious Chamber made this Note public on its website from January 1, 2021, to December 17, 2024.44 At the time of the decision taken on March 20, 2024, regarding the renewed composition of the Contentious Chamber in this case, this note had therefore been publicly available for more than 3 years already. The president of the Contentious Chamber (H. Hijmans) applied its content reproduced below, considering that there were no elements justifying a deviation from it45.

117. The application of the RoI on this point thus offers, in the event of a procedure in the French language as in this case, the following possibilities:
- either the Contentious Chamber is composed of president H. Hijmans (bilingual), one French-speaking member, and a 3rd member who is either French-speaking or Dutch-speaking (option 1);

43
https://www.autoriteprotectiondonnees.be/publications/note-relative-a-la-politique-linguistique-de-la-chambre-contentieuse.pdf
44 This note has now been removed from the APD website in light of the ruling 144/2024 of the Constitutional Court dated November 28, 2024 (role number 8110: In the matter of the preliminary questions regarding Article 57 of the law of December 3, 2017 "establishing the Data Protection Authority," posed by the Court of Appeal in Brussels.
45 See in this sense the ruling of the Markets Court dated March 19, 2025 (2024/AR/1690): In this ruling, the Markets Court reproaches the Contentious Chamber for not having followed its own policy note that it had published on its website. In this sense, the Court writes “die (read the contested decision) derhalve niet in lijn is met de eigen beleidsnota die de GBA op haar website vermeldt” (Free translation: this decision is therefore not in line with the own policy note that the APD published on its website). The Court adds “Aansluiting kan hier worden gezocht bij rechtspraak van de Raad van State die stelt dat de rechtszekerheidsbeginsel vereist dat een administratieve overheid (zoals de GBA) niet zonder objectieve en redelijke verantwoording mag afwijken van haar eigen beleidslijnen die zij bij de toepassing van de reglementering aanhoudt” (point 22) (Free translation: one can align here with the jurisprudence of the Council of State which stipulates that the principle of legal certainty requires that an administrative authority (such as the APD) cannot deviate from its own policies in the application of the regulation without objective and reasonable justification).

- or the Contentious Chamber is composed, in the absence of president H. Hijmans, of two French-speaking members and a 3rd member who is either French-speaking or Dutch-speaking (option 2).
118. The application of these two scenarios led in this case, given the conflict of interest (or the perception of such a conflict) concerning the 3rd French-speaking member of the Contentious Chamber who was the only one not to have sat during the adoption of decision 61/2023 (points 73 and 122), to the following options:
- a Contentious Chamber composed of president H. Hijmans who had already sat in decision 61/2023, a French-speaking member who had already sat in decision 61/2023, and a new 3rd member: either to a panel composed of two members who had already sat including president H. Hijmans (option 1);
- a Contentious Chamber composed of two French-speaking members who had already sat in decision 61/2023 and a third new member who must necessarily be Dutch-speaking, with any 3rd French-speaking member being excluded due to conflict of interest: either as in option 1, to a panel composed of two members who had already sat but without president H. Hijmans (option 2).
119. In the absence of a specific provision regarding this, president H. Hijmans chose to recuse himself. This decision, in addition to being within his discretionary power, is no more questionable than the one that would have consisted of continuing to sit. It is therefore option 2 that was adopted, which led, as would have been the case in option 1, to a necessarily partial renewal of the composition of the Contentious Chamber.
120. Regarding the quality of president that Mr. Y. Poullet holds in the renewed composition, the Contentious Chamber is of the opinion that following the defendant's criticism according to which the function of president is the privilege of the House of Representatives, the composition of the Chamber

should always include president H. Hijmans. This position is untenable, as the president may be prevented or absent, situations that are also provided for both by the RoI46 and by the aforementioned Note on language policy47.

121. As for the fact that it is indeed a member who has previously sat who now presides over the panel (Mr. Y. Poullet), the Contentious Chamber has also followed its Note on language policy here. It follows that the presidency of the panel belongs either to president H. Hijmans who is bilingual, or in his absence, to a member belonging

46 See Article 44 of the RoI: “In case of absence or impediment, the president of the Contentious Chamber is replaced, when he must sit, by another member he has designated for this purpose.”

47 The excerpt from the Note on language policy of the Contentious Chamber cited in point 117 above explicitly mentions: “If the president does not sit, (...).

regarding the linguistic role in which the case is handled. The language of the procedure being French in this instance, the presidency of the renewed bench therefore returns to a francophone member – who has already sat for the reasons that have just been outlined regarding this aspect.

122. As for the conflict of interest concerning the only francophone member who did not sit for the adoption of decision 61/2023, the Contentious Chamber specifies that this prerogative to exclude one of the members of the Contentious Chamber for a reason of conflict of interest falls under the authority of the president of the Contentious Chamber (Article 58 of the already cited RoI).

123. In conclusion, since the Contentious Chamber has only 2 francophone members who can potentially sit – those who have already sat for the adoption of decision 61/2023 – President H. Hijmans had no choice, in compliance with the provisions of the LCA, the RoI, and the Language Policy Note of the Contentious Chamber, but to designate them, as they are essential for a composition of the Contentious Chamber "otherwise composed" of three members, two of whom are francophone, the language of the procedure being French. A 3rd member, necessarily Dutch-speaking, completed the bench.

124. As indicated in the decision of March 20, 2024, it follows that the modification of the bench of the Contentious Chamber adopting this decision is necessarily partial and that it cannot be reproached for not having complied with the request of the Market Court for a "Contentious Chamber otherwise composed."

125. The Contentious Chamber adds that in any case, and without prejudice to what precedes, when sitting with 3 members – to whom in this case no concrete grievance of a lack of impartiality is raised – they adopt a collegial decision. This collegiality meets the requirement of the Market Court to base the decision on strong motivation, and it is nowhere provided that the voice of the president of the bench is predominant.

126. Therefore, there is no need to grant the request of the defendant to reassign the case to a Contentious Chamber otherwise constituted, nor to the request for Mr. Yves Poullet to recuse himself.

II.3. Regarding the absence of financial institutions in the procedure

127. The defendant criticizes "the absence of intervening parties in the case" (title 6.2 of its second additional conclusions serving as summary conclusions), thereby targeting the

48 The excerpt from the Language Policy Note of the Contentious Chamber cited in point 116 above explicitly mentions: "If the president does not sit, he is replaced – in the capacity of a member sitting alone – by a member of the linguistic role in which the case is handled."

49 In a ruling of February 22, 2023 (2022/AR/,889), the Market Court has already taken into account the fact that a complete renewal of the bench of the Contentious Chamber could not be carried out given the limited number of members belonging to either linguistic role.

financial institutions. As already mentioned (point 86), the defendant even requests that the Contentious Chamber suspend the examination of the complaint pending the inclusion of the latter.

128. Given their role in the chain of processes leading to the transfer of data to the IRS, the defendant believes that "it was up to the complainants to direct their complaints against the financial institutions" (point 12 of the second additional conclusions serving as summary conclusions) while acknowledging

that the procedure before the APD does not provide for forced intervention "so that only the complaining parties can direct their complaint towards the parties they choose arbitrarily." The defendant adds that this situation deprives it of the ability to exercise its rights of defense in the same manner as the complainants, who can choose their target while depriving it of the possibility of calling other parties to the case. According to the defendant, there is therefore a violation of Articles 10 and 11 of the Constitution.

129. As for the complainants, they conclude that the financial institutions are not parties to the case not "due to a conflict of interest with the complainants' counsel" as claimed by the defendant (points 136-137) but because it is not the financial institutions that are responsible for the alleged processing consisting of transferring data to the IRS.

130. As stated in points 87 and following, the Contentious Chamber did not, in its invitation letter to the hearing of November 28, 2024, given the state of the file at that date, grant the defendant's request for suspension. Noting that the financial institutions were neither parties nor intervened in the case, the Contentious Chamber summoned the parties, heard them, and took the matter under deliberation.

131. The Contentious Chamber cannot indeed require either party to intervene in the procedure. In the current state of the legislation, no mechanism for forced intervention comparable to that known to the courts of the judicial order is provided for by its procedure (which is not, except for exceptions that do not apply here, subject to the Judicial Code). The Contentious Chamber also notes that the SI to whom it requested an investigation did not extend the scope of its investigation by including the financial institutions as it is, in exercising its own discretionary power, authorized to do so in accordance with Article 72 of the LCA. The absence of involvement of the financial institutions thus results from an autonomous choice of the SI, which cannot be attributed to the Contentious Chamber. Furthermore, the Contentious Chamber is not competent to hear grievances arising from a violation of Articles 10 and 11 of the Constitution invoked by the defendant and thus to exercise a constitutional review of its procedure as such.

For as much as necessary, the Contentious Chamber adds that it cannot require that a new investigation ex officio be conducted by the SI including the financial institutions.

provided by the legislator in light of these provisions. This review falls outside its material competence as defined by the LCA and the GDPR.

132. The Contentious Chamber is of the opinion that the inclusion of only the defendant, to the exclusion of the financial institutions, does not in any case exclude the relevance of examining the complaint and making a decision against the latter at the conclusion of the present procedure, which has been conducted in accordance with the principles of impartiality, independence, and adversarial proceedings and which is not tainted by the absence of the banks in the case.

133. In the following section dedicated to the quality of data controller of the defendant (title II.4), the Contentious Chamber demonstrates that the defendant is subject to specific obligations in its capacity as data controller concerning the processing it carries out, namely the transfer of personal data to the IRS (a quality of data controller that the defendant explicitly acknowledges). The fact that the banks are also subject to a number of obligations arising in turn from their status as data controllers regarding the collection of data and their transmission to the defendant does not exempt or diminish, ipso facto, the defendant's own responsibilities. If this were to be legitimately the case, the Contentious Chamber takes this into account in its decision.

134. More generally, it is not the responsibility of the APD to involve all actors related to an issue. The Contentious Chamber recalls that the Market Court, which hears appeals of its decisions, does not sanction the procedural choice of the complainant or the authority not to involve all related parties and not to request an investigation of the SI for all parties. On the other hand, the Market Court believes that proceedings and sanctions should be directed against a party that is recognized as a data controller, which is the case for the defendant in this instance.

135. In a ruling dated December 13, 2024, the Administrative Court of the Grand Duchy of Luxembourg, seized of an appeal against a decision adopted by the Administration of Direct Contributions (ACD) also relating to the sending of personal data to the IRS in application of the

"FATCA" agreement and relevant Luxembourg legislation, indicates in the same vein the following:

51 See in this sense the reasoning of the Contentious Chamber regarding the obligation to inform under title II.6.3. The Contentious Chamber takes into account, in accordance with the GDPR (Article 14), the extent to which the data subject would have already received the information, in this case from the financial institutions.

52 This decision follows an appeal directed against a judgment rendered by the Administrative Court of the Grand Duchy of Luxembourg on September 29, 2023, by which said court declared itself incompetent to hear the subsidiary appeal for reform directed against a decision of the director of the Administration of Direct Contributions (ACD) dated March 22, 2021, which rejected a request to stop the automatic exchange of information between the tax administration of the Grand Duchy of Luxembourg and that of the United States in application of the "FATCA" agreement signed with the Grand Duchy approved by a law of July 24, 2015.

“In this case, the appellants essentially contest the legality of the transfer of data to the United States of America (cf. ‘this data transfer disregards several key principles of the right to personal data protection’ in the appellants’ request addressed to the ACD), but do not contest the communication of the same data by Luxembourg financial institutions to the ACD. However, in light of Article 3, paragraph (3), of the law of July 24, 2015 cited above, it is the ACD, as the author of the said transfer of collected data to the United States, that is to be considered responsible for this processing.

It is therefore appropriate to dismiss as unfounded the State's criticism regarding the lack of intervention by the Luxembourg financial institutions involved in the collection of the data subject to the transfer, given that the personal data processing carried out by them is not the subject of the appellants' criticisms. It should be added that the State has not commented on the legal consequences it intended to attach to this criticism and that, in this case, there is, in any event, no obligation on the part of the citizens to pursue all potential responsible parties for the alleged violation.”

136. Because the defendant raised it in its conclusions, the Contentious Chamber further adds the following. The defendant emphasizes that during the hearing before the Contentious Chamber on January 10, 2023 (which preceded the adoption of decision 61/2023), the counsel for the complainants specified that the complainants had not filed a complaint against the financial institutions due to a conflict of interest, as his firm or he himself was also the counsel for several of these financial institutions. Consequently, the defendant concludes that it is necessary, regarding the counsel for the complainants, to terminate their intervention in this case, in respect of the principle of independence and loyalty.

137. The Contentious Chamber notes that this request is directly addressed to the counsel for the complainants, who have maintained their intervention in this case despite this request. As far as necessary, the Contentious Chamber indicates that it is not competent to conclude on the existence or non-existence of a conflict of interest concerning the complainants' lawyers, irrespective of the disagreement between the parties regarding the statements made during the hearing on January 10, 2023 in this regard. The question of whether the complainants' lawyers should recuse themselves in this matter does not fall within its competence, nor does the competence to order the complainants' counsel to withdraw.

53 The Contentious Chamber limits itself to noting that the minutes of the hearing on January 10, 2023, mention the following: “Upon reflection by Mr. van Gyseghem on why the banks were not implicated by the complaints filed, Mr. V. Wellens explains that they were not due to a conflict of interest, as his firm is the counsel for banks as well” (page 5 of the minutes). The Contentious Chamber also recalls, as mentioned in point 59, that the counsel for the complainants did not raise any reservations or comments on these minutes.

It does not appear to the Contentious Chamber that the existence of a conflict of interest on the part of the complainants' advisors would taint the present decision with illegality, the question of the absence of financial institutions not affecting it as explained above.

138. In conclusion on this matter, the Contentious Chamber considers that it is rightly not suspending

the examination of the complaint given the absence of financial institutions in the case and that it adopts the present decision regarding the sole defendant.

II.4. Regarding the status of data controller of the defendant

139. The Contentious Chamber notes that throughout the proceedings, the defendant indicates that it holds the status of data controller with respect to the transfer of personal data to the IRS in support of Article 13.2 of the Law of December 16, 2015, which explicitly qualifies it as such (see in particular point 17 of its second additional and summary conclusions).

140. As this is a determining qualification under the GDPR and for the obligations arising therefrom, the Contentious Chamber will below verify the status of data controller of the defendant, notwithstanding the latter's acknowledgment in this regard concerning the transfer to the IRS.

141. The Contentious Chamber thus observes that Article 13.2 of the Law of December 16, 2015 provides that:

"§ 2. For the application of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC, and of the law of July 30, 2018 on the protection of natural persons with regard to the processing of personal data, each declaring financial institution and the SPF Finances are considered to be 'data controllers' of 'personal data' concerning the information referred to in this law that relates to natural persons."

142. The defendant is therefore expressly qualified as a data controller under the Law of December 16, 2015. Since the amendment made by the Law of November 20, 2022, there is an explicit reference to the GDPR.

54 Brussels Court of Appeal, Market Court Section, 19th Chamber A, Market Chamber, judgment of February 23, 2022 - 2021/AR/65.

55 It is the Contentious Chamber that emphasizes this.

143. Article 4.7 of the GDPR states that a data controller is "the natural or legal person, public authority, service, or other body which, alone or jointly with others, determines the purposes and means of the processing." Article 4.7 adds that "where the purposes and means of such processing are determined by Union law or the law of a Member State, the data controller may be designated or the specific criteria for its designation may be provided for by Union law or by the law of a Member State." This is the case for the defendant under Article 13.2 of the aforementioned Law of December 16, 2015.

144. As the EDPB emphasizes in its Guidelines on the concepts of data controller and processor in the GDPR, the Contentious Chamber considers that when the data controller is specifically identified by law, this designation is decisive in defining who acts as the data controller. This indeed presupposes that the legislator has designated as data controller the entity that is truly able to exercise control. On the other hand, the Contentious Chamber cannot subscribe to the complainants' argument that since the Belgian State negotiated the "FATCA" agreement, it is responsible for the resulting processing. As is the case with the Belgian Law of December 16, 2015, the status of data controller of the defendant arises from the fact that the "FATCA" agreement entrusts it (as the "Competent Authority") with the processing that consists of transferring data to the IRS.

145. In its defense, the defendant highlights that it does not have access to the content of the data "ballot" it receives from financial institutions (here from the complainant's bank Z) for the purpose of transferring this data to the IRS and this, as part of an organizational measure aimed at ensuring the security and integrity of the data, limiting its intervention to a logistical role of "preparation" for the sending. As already mentioned, the defendant nonetheless acknowledges its status as data controller (point 139). It cannot evade its obligations as a data controller due to the lack of access to said data.

146. As far as necessary, the Contentious Chamber recalls that the circumstance that the defendant does not have access to the communicated data has no impact on its status as a data controller.

56 It is the Contentious Chamber that emphasizes this.

57 European Data Protection Board (EDPB), Guidelines 07/2020 on the concepts of data controller

and processor in the GDPR,
https://edpb.europa.eu/system/files/2022-02/eppb_guidelines_202007_controllerprocessor_final_fr.pdf (point 23).
58 This is notably evident from the second additional conclusions submitted in the context of the resumption of the case leading to the present decision (point 61 for example) and from the minutes of the hearing of December 11, 2024.

of data controller as clarified by the CJEU in its judgment Google Spain and Google of May 13, 2014, as well as in its judgment IAB of March 7, 2024.59
147. In conclusion, and in support of the combined reading of Article 4.7 of the GDPR and Article 13.2 of the Law of December 16, 2015, the Contentious Chamber holds the qualification of data controller against the defendant regarding the processing of data at issue raised by the complainants, namely the communication (transfer) of personal data to the IRS.
148. As for financial institutions (such as the complainant's bank Z in this case), they are not, as already mentioned, parties to the proceedings (Title II.3). Nevertheless, they play an important role in the chain of data processing that occurs in the context of the execution of the "FATCA" agreement and the Law of December 16, 2015. As the defendant points out (see point 17 of its second additional conclusions serving as summary conclusions), it is they who, in the first instance, ensure the status of account holders subject to the obligation to communicate data to the defendant. They are the ones who collect the required data pursuant to Article 2.2 of the "FATCA" agreement and Article 5 of the Law of December 16, 2015, and then transmit it to the defendant, who in turn performs the transfer to the IRS. In this regard, financial institutions are also classified as data controllers by the Belgian legislator for the purposes of the Law of December 16, 2015. As stated in point 133, the Contentious Chamber takes into account, in compliance with the GDPR, the possible distribution of obligations provided by law between financial institutions on one hand and the defendant on the other, and the consequences thereof. In other words, if there were to be consequences for the defendant in terms of obligations arising from obligations specific to financial institutions, the Contentious Chamber takes this into account in the present decision.

59 Judgment of the CJEU of May 13, 2014, C-131/12, Google Spain and Google, ECLI:EU:C:2014:317, paragraphs 22 – 41, and particularly paragraphs 22 and 34:
“22. According to Google Spain and Google Inc., the activity of search engines cannot be considered as processing of data that appears on third-party web pages displayed in the search results list, given that these engines process the information accessible on the Internet as a whole without distinguishing between personal data and other information. Furthermore, even assuming that this activity should be qualified as ‘data processing’, the operator of a search engine cannot be considered as ‘responsible’ for this processing, since it is not aware of the said data and does not exercise control over it.”
“34. Moreover, it should be noted that it would be contrary not only to the clear wording but also to the objective of this provision, which consists of ensuring, through a broad definition of the notion of ‘controller’, effective and complete protection of the data subjects, to exclude from this the operator of a search engine on the grounds that it does not exercise control over the personal data published on third-party web pages.”
See also the judgment C-25/17 of the CJEU, Jehovan Todistajat, EU:C:2018:551, paragraph 69 and the judgment C-210/16 of the CJEU, Wirtschaftsakademie Schleswig-Holstein, C-210/16, EU:C:2018:388, paragraph 38, as well as the Guidelines 7/2020 of the EDPB already cited regarding the notions of data controller and processor in the GDPR, paragraph 45.
See also the judgment of the CJEU of March 7, 2024, C-604/22, IAC v. Data Protection Authority, ECLI:EU:C:2024:214, paragraph 69.

II.5. Regarding Article 96 of the GDPR
149. Article 96 of the GDPR is undeniably at the heart of the discussion regarding the legality of the personal data transfers to the IRS denounced by the complainants.
150. Thus, the SI raises the applicability of Article 96 of the GDPR and decides not to pursue its

investigation further, due to the lack of apparent violation of the GDPR, noting, as already stated in points 31 and following, that the CPVP and the CSAF had positively assessed the Law of December 16, 2015, and authorized the flow.

151. As for the defendant, it argues based on Article 96 of the GDPR, and in line with the findings of the SI recalled above, that the "FATCA" agreement, inseparable from the Law of December 16, 2015, complies with the applicable EU law as of May 24, 2016. The defendant therefore considers itself, in execution of Article 96 of the GDPR, authorized to base the transfer to the IRS of the data of the first complainant and those of the accidental Americans represented by the second complainant, on the basis of these texts (point 86).

152. In light of the findings of the SI, the arguments of the defendant supporting this article, and their contestation by the complainants, the Contentious Chamber finds it necessary to examine the objective, scope, and conditions of application of Article 96 of the GDPR. It undertakes this in the following paragraphs.

153. Article 96 of the GDPR reads as follows:

"International agreements involving the transfer of personal data to third countries or to international organizations that were concluded by the Member States before May 24, 2016, and that comply with Union law as applicable before that date, remain in force until their amendment, replacement, or repeal."

154. The Contentious Chamber recalls that by opting for a regulation (the GDPR) intended to replace a directive (Directive 95/46/EC), the European co-legislators chose to strengthen the harmonization of personal data protection rules within the EU. Unlike the directive, the regulation is indeed directly applicable in the internal legal order of each Member State. The GDPR also pursues the objective of enhancing the effectiveness of the right to data protection, which has been elevated to the status of a fundamental right in the meantime by the Charter of Fundamental Rights of the EU of December 7, 2000 (Article 8).

155. By providing for the application of the GDPR on May 25, 2018, two years after its entry into force on May 24, 2016 (Article 99 of the GDPR), and the repeal of Directive 95/46/EC

60 Recital 102 of the GDPR: "This regulation (GDPR) is without prejudice to international agreements concluded between the Union and third countries aimed at regulating the transfer of personal data, including appropriate safeguards for the benefit of the data subjects."

On that same date (Article 94 of the GDPR), the European co-legislators not only granted a two-year compliance period for the new obligations of the GDPR but also clearly indicated that, as of May 25, 2018, ongoing data processing must comply with all provisions of the GDPR. Recital 171 of the GDPR illustrates this objective and provides in this regard that "processing already underway at the date of application of the regulation should be brought into compliance with it within two years after its entry into force."

156. This compliance is essential for achieving the strong harmonization objective pursued by the GDPR and for strengthening the protection of the fundamental right it implements. In the absence of compliance of ongoing processing before the application of the GDPR with it, two protection regimes would coexist. This would, by its very nature, be contrary to the very nature of the regulation and a fortiori, to that of a fundamental right.

157. The regime provided for by Article 96 of the GDPR stands out as an exception in this regard, as it allows for the maintenance of international agreements concluded before May 24, 2016 (provided that they comply with EU law applicable at that date) until their possible modification, replacement, or revocation, even if they are not compliant with the GDPR.

158. The Contentious Chamber is of the opinion that it is in light of the ratio legis of the GDPR as a whole, and in particular the transitional provisions highlighted above (Articles 94 and 99), that the regime provided for by Article 96 of the GDPR should be understood, both in terms of its material scope (ratione materiae) and its temporal application, as well as ultimately, in the assessment of the satisfaction of the essential condition it poses, namely "compliance with Union law as of May 24, 2016."

159. As for the material scope, only the content of the international agreement concluded by the Member State is targeted by Article 96 of the GDPR, whose wording unequivocally addresses "international agreements involving the transfer of personal data to third countries."
160. Without prejudice to any conclusions that may be drawn regarding compliance, the "FATCA" agreement does not provide for a specific provision regarding the obligation to inform, for example, and thus, this obligation is necessarily excluded from the scope of Article 96 of the GDPR. The defendant is therefore bound by Articles 12 and 14 of the GDPR (regarding indirect collection – see below Title II.6.3). As for the obligations arising from Article 35 of the GDPR (DPIA) as well as Articles 5.2 and 24 (accountability), these are new obligations that will fully apply. They are indeed nonexistent in the agreement.

61 The Contentious Chamber clarifies as needed that it does not state here that Article 96 of the GDPR would only apply for a period of two years.

“FATCA” of 2014 and arising from the obligations imposed on the defendant in its capacity as data controller since May 24, 2018.
161. In other words, the application of Article 96 of the GDPR is limited to the content of the agreement alone. The wording of Article 96 is clear on this point, and this interpretation is also consistent with the rationale of Article 96, which, as the Contentious Chamber will explain below, aims to preserve the rights acquired by third countries under said agreements, not to exempt the defendant from its autonomous obligations arising from the GDPR.
162. The Contentious Chamber specifies here from the outset that the principle of accountability (which consists of the data controller implementing the technical and organizational measures necessary to meet the requirements of the GDPR and to account for them) includes for the defendant the obligation to demonstrate that it was in a position to invoke the application of Article 96 of the GDPR, the principle of accountability covering the entirety of the GDPR text.
163. The Contentious Chamber will thus verify whether the defendant is indeed justified in concluding that the “FATCA” agreement complies with the EU law applicable as of May 24, 2016, and demonstrates this. The Contentious Chamber indeed considers that it is first required to verify whether the “FATCA” agreement is compliant with the EU law applicable as of May 24, 2016. Only if it concludes that this is not the case will it examine the compliance of the transfers made by the defendant with the GDPR, and consequently the defendant's right to continue these transfers in execution of the agreement. The Contentious Chamber believes that this interpretation is the only one that respects the intention of the European co-legislators to grant member states a longer period to comply with their international commitments, as evidenced by the preparatory work of the GDPR (see below).
164. Thus, the Contentious Chamber does not subscribe to the analysis of the French Council of State which, seized of an appeal against a decision of the CNIL following a complaint also relating to the “FATCA” agreement, has, in a ruling of July 19, 2019, provided a different interpretation of Article 96 of the GDPR:
“It is clear from these provisions that the authors of the regulation have fully determined the conditions of the relationship between European Union law and agreements concluded prior to its signing that involve the transfer of personal data to third countries. For the application of this article (namely Article 96 of the GDPR), it is necessary, in the first instance, to ascertain whether the agreement of November 14, 2013 complies with the provisions of the regulation of April 27, 2016, which are of direct effect, and only in the event that this is not the case…”
62 See footnote 24.

case, to verify, at a later stage, whether this agreement complies with Union law as it was applicable before the signature of the regulation.”
165. The Contentious Chamber does not subscribe any further to the interpretation made by the defendant herself in her decision of October 4, 2021. Thus, after indicating to the complainant on March 30, 2021, that it was his responsibility to demonstrate that the “FATCA” agreement violated

“Directive 95/46/EC” (point 16), the defendant reiterates in her decision of October 4, 2021, the terms of the ruling of the French Council of State of July 19, 2019, which states that it is necessary to first verify the compliance of the “FATCA” agreement with the GDPR (point 18). The Contentious Chamber notes that the defendant has, however, modified her interpretation in the conclusions submitted in the context of the present procedure and now shares the interpretation that the Contentious Chamber outlines in point 163 above.

166. These divergences show that while it may seem clear in its formulation and provides for a very specific regime, Article 96 of the GDPR is neither uniformly understood nor uniformly applied. This difference is not trivial since, according to one reading or another, the reference text is either Directive 95/46/EC (repealed for 7 years) or the GDPR (a regulation offering enhanced protection) which would fill the gaps of Directive 95/46/EC if it were not to be fully respected.

167. Provided that they comply with EU law applicable as of May 24, 2016, international agreements involving transfers of personal data to third countries remain in force “until their modification, replacement, or repeal,” even, as has already been pointed out, if they do not comply with the GDPR.

168. However, the Contentious Chamber considers for the reasons developed below, that it would be contrary to Union law to consider that this regime of Article 96 is intended to apply indefinitely in time.

169. Article 96 of the GDPR aims to preserve the rights of third countries: it is certain that negotiating an international agreement takes time and that the rights acquired by a third country party to an international agreement cannot be simply and immediately revoked due to the entry into force of new legislation when that agreement was compliant with EU law at the time of its conclusion. The preparatory works of the Council, cited by the defendant, also state that Article 96 “guarantees legal certainty to data controllers and avoids unnecessary administrative burdens for Member States. It also takes into account the fact that Member States are dependent on the cooperation of the third country or the relevant international organization to modify existing agreements.”

170. Without prejudice to what has just been stated, EU Member States are nonetheless required to comply with EU law. This obligation arises from Article 4.3.

of the Treaty on European Union (TEU) which notably enshrines the principle of the loyal cooperation of Member States. The article 4.3 of the TEU is binding on them, including their independent data protection authorities tasked with missions based on applicable European law (article 8.3 of the Charter of Fundamental Rights of the Union and articles 51 et seq. of the GDPR).

171. Article 96 of the GDPR is in line with article 351 of the Treaty on the Functioning of the EU (TFEU) in this regard, with respect to which the CJEU has already ruled that:

- On the one hand, “the rights and obligations arising from a convention concluded prior to the date of accession of a Member State between that Member State and a third State are not affected by the provisions of the treaty. This provision [read article 351 of the TFEU] aims to clarify, in accordance with the principles of international law, that the application of the treaty does not affect the commitment of the Member State concerned to respect the rights of third States arising from a prior convention and to observe its obligations.”
- On the other hand, practices must be brought into compliance with European law, the Member State concerned being required to use all appropriate means to eliminate the identified incompatibilities “unless this practice is necessary to ensure the execution by the concerned Member State of obligations towards third States arising from a convention concluded previously.”

172. It follows from this position of the CJEU that “the meaning of the two paragraphs [read from article 351 TFEU] have been reconciled, and it is now safe to affirm that art. 351(1) TFEU provides temporary protection to allow the Member States not to incur international responsibility while the ultimate goal established by art. 351(2) TFEU (that is, the removal of

63 Article 4.3 TEU: Under the principle of loyal cooperation, the Union and the Member States respect and assist each other in fulfilling the missions arising from the treaties. The Member States take all general or specific measures necessary to ensure the execution of the obligations arising from the treaties or resulting from the acts of the institutions of the Union. The Member States facilitate the accomplishment by the Union of its mission and refrain from any measures that could jeopardize the

achievement of the Union's objectives.
64 See in this sense: the CJEU judgment of June 15, 2021, Facebook Ireland e.a. v. Gegevensbeschermingsautoriteit, C-645/19, ECLI:EU:C:2021:483, para 60.
65 Article 351 TFEU: The rights and obligations arising from conventions concluded prior to January 1, 1958 or, for acceding States, prior to the date of their accession, between one or more Member States, on the one hand, and one or more third States, on the other hand, are not affected by the provisions of the treaties. Insofar as these conventions are not compatible with the treaties, the Member State or States concerned shall use all appropriate means to eliminate the identified incompatibilities.
66 CJEU, Judgment of March 3, 2009, C-205/06, ECLI:EU:C:2009:118, Commission / Austria, para 33. This judgment concerns article 307, second paragraph, of the Treaty establishing the European Community (repealed by article 351 TFEU). Article 307: "The rights and obligations arising from conventions concluded prior to January 1, 1958 or, for acceding States, prior to the date of their accession, between one or more Member States, on the one hand, and one or more third States, on the other hand, are not affected by the provisions of this treaty. Insofar as these conventions are not compatible with this treaty, the Member State or States concerned shall use all appropriate means to eliminate the identified incompatibilities."
67 CJEU, judgment of March 28, 1995, C-324/93 The Queen / Secretary of State for the Home Department, ex parte Evans Medical and Macfarlan Smith, ECLI:EU:C:1995:84, p 33.

(all incompatibilities) is achieved in a sustainable (for the Member State involved) and lawful (from an international law perspective) manner 68".
173. The Contentious Chamber cannot therefore subscribe to an interpretation according to which Article 96 of the GDPR would allow, without any time limit, the continued application of international agreements concluded before May 24, 2016 - even if they were compliant with EU law at that date - without any further alignment with the GDPR. Following such an interpretation, the co-legislators would have permitted, in disregard of the aforementioned CJEU case law, the coexistence, without time limit, of international agreements compliant with the state of EU law frozen as of May 24, 2016 (including Directive 95/46/EC, which was repealed on May 24, 2018) on the one hand, and international agreements concluded after that date, which must comply with the GDPR on the other hand.
174. The Contentious Chamber further notes that Article 49.5 of the GDPR contains the same terms of "until their amendment, replacement or repeal." Article 45.9 thus provides that "the decisions adopted by the Commission based on Article 25, paragraph 6, of Directive 95/46/EC [i.e., adequacy decisions] remain in force until their amendment, replacement or repeal by a decision of the Commission adopted in accordance with paragraph 3 or 5 of this Article"69.
175. The European Commission - which has the exclusive authority to adopt an adequacy decision - has nonetheless reviewed the 11 existing adequacy decisions in light of the GDPR. According to its report of January 15, 202470, the Commission decides to maintain the adequacy decisions adopted for the 11 concerned countries and territories, noting that its review has demonstrated that the data protection frameworks in place in these countries and territories have continued to converge towards the EU framework and have strengthened the protection of personal data to which they apply. It notes that the GDPR has inspired positive changes such as the introduction of new rights for data subjects as well as the strengthening of the independence and powers of data protection authorities.
176. The European Commission also emphasizes that "the adequacy decisions [some of which date back, as of the date of the GDPR's entry into force, more than 20 years (Canada, Switzerland)] have laid the groundwork for closer cooperation and greater regulatory convergence between the EU and like-minded partners. By allowing the free flow of personal data, these decisions have opened

68 It is the Contentious Chamber that emphasizes: https://www.europeanpapers.eu/europeanforum/court-of-justice-finally-rules-on-analogical-application-art-351-tfeu
69 It is the Contentious Chamber that emphasizes.
70 Report of the Commission to the European Parliament and the Council on the first review of the functioning of adequacy decisions adopted based on Article 25, paragraph 6, of Directive 95/46/EC COM/2024/7 final. https://eur-lex.europa.eu/legal-content/FR/TXT/PDF/?uri=CELEX:52024DC0007

of commercial channels for EU operators, notably by complementing and amplifying the benefits of trade agreements, as well as facilitating cooperation with foreign partners in a wide range of regulatory areas.

177. The analogy with Article 96 of the GDPR is not perfect. However, the content of Article 45.9 of the GDPR on the one hand and this review of adequacy decisions carried out by the European Commission—given that these adequacy decisions also create, in a certain way, a framework that has been in place for years facilitating the communication of personal data from the Union to third countries—on the other hand are indicators. They testify to the fact that the ultimate goal—regardless of the grace period granted under both Article 45.9 and Article 96 of the GDPR—is the elimination of the coexistence of two distinct protection regimes. To this end, it was the responsibility of the European Commission (competent for adequacy decisions) to contribute to this, which it did promptly by initiating a review of the adequacy decisions it had previously adopted in light of the requirements of the GDPR. It is up to the Member States to diligently do the same regarding the international agreements they have concluded.

178. The Contentious Chamber is aware that the Belgian State, in its capacity as negotiator, is not a party to this procedure. Nevertheless, it notes that the longer time passes, the less acceptable the inertia of the States is in this regard. As early as 2021, data protection authorities—including the APD—invited EU Member States to review their international agreements in light of the GDPR.71 As of the date of the adoption of this decision, nearly 9 years have passed since the GDPR came into force, and 7 since its application began. The Contentious Chamber notes in this regard that no indication of the Belgian government's willingness to request a revision of the "FATCA" agreement has been brought to its attention by the defendant in the context of this case, nor has the defendant, a privileged interlocutor of the IRS, at any time conducted this assessment to assist the Belgian government in initiating a request for revision.

179. Regarding data protection authorities such as the APD, a reading of Article 96 of the GDPR that would allow its application without time limits, combined with the absence of any renegotiation of the agreement, would also imply that the APD assesses the compliance of these international agreements with EU law applicable as of May 24, 2016.

71 Statement 04/2021 of April 13, 2021 on international agreements, including transfers: https://edpb.europa.eu/system/files/202205/edpb_statement042021_international_agreements_including_transfers_fr.pdf
The EDPB considers that "in order for the level of protection of natural persons guaranteed by the GDPR (…) not to be compromised when personal data is transferred outside the Union, it is necessary to take into account the objective of bringing these agreements into compliance with the GDPR requirements (…) applicable to data transfers when this is not yet the case. The EDPB therefore invites Member States to assess and, where appropriate, review their international agreements involving international transfers of personal data, such as those related to taxation (for example, the automatic exchange of personal data for tax purposes), (…) that were concluded before May 24, 2016 (for agreements relevant to the GDPR). (…) The EDPB recommends that Member States take into account, for this review, the GDPR (…), the relevant guidelines of the EDPB applicable to international transfers [the EDPB cites its Guidelines, as well as the case law of the Court of Justice, notably the Schrems II judgment of July 16, 2020].

years after this date, particularly in light of a Directive 95/46/EC that has been repealed for a number of years, which will only increase over time. The Contentious Chamber is of the opinion that the longer time passes, the less acceptable it is for data protection authorities to be limited in the exercise of the mission entrusted to them by the GDPR since May 25, 2018, a mission which, as previously emphasized, consists precisely of contributing to the effective and uniform application of the GDPR. In the already cited Schrems II judgment, the CJEU emphasizes the following regarding the competence of supervisory authorities as enshrined in Articles 8.3 of the Charter and 57.1 a) of the GDPR:
“(...) Consequently, each of them [read the supervisory authorities] is vested with the competence to verify whether a transfer of personal data from the Member State to which it belongs to a third country complies with the requirements set out by this regulation. (...) The exercise of this mission is of particular importance in the context of a transfer of personal data to a third country, since, as is evident from the very wording of Recital 116 of this regulation, ‘when personal data crosses the external borders of the Union, this may increase the risk that individuals are unable to exercise their rights related to data protection, in particular to protect themselves against the unlawful use or disclosure of such information’” (points 107 and 108 of the judgment).
180. Thus, the failure of Member States to implement their obligation to cooperate adversely affects the effectiveness of the right to data protection (through its oversight by an independent data protection authority guaranteed by the Charter of Fundamental Rights of the EU in Article 8.3) at a time when the CJEU is particularly demanding regarding the protection that must be guaranteed by international agreements on the one hand and the role of data protection authorities on the other.
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The CJEU imposes very strict conditions on international agreements that impact the exercise of the rights to privacy and the protection of personal data enshrined in Articles 7 and 8 of the Charter. More specifically, it follows from Opinion 1/15 of the CJEU rendered on the draft PNR agreement between Canada and the EU (as well as from Judgment C-817/19 of June 21, 2022) and from the Schrems II judgment that “the communication

72 The Contentious Chamber specifies that when it cites this judgment, it does so to draw lessons regarding the importance of regulating cross-border data flows and the role of data protection authorities in this regard, including when the purposes of the flows are not commercial.
73 Article 8.3 of the Charter of Fundamental Rights of the EU: Compliance with these rules (i.e., the right to data protection as enshrined in paragraphs 1 and 2) is subject to the control of an independent authority.
74 CJEU, Opinion 1/15 of July 26, 2017 (EU-Canada PNR Agreement), ECLI:EU:C:2017:592.
75 CJEU, Judgment C-817/19 of June 21, 2022, League of Human Rights, ECLI:EU:C:2022:491.

The transfer of personal data to a third party, such as a public authority, constitutes an interference with the fundamental rights enshrined in Articles 7 and 8 of the Charter, regardless of the subsequent use of the information provided. The same applies to the retention of personal data as well as access to said data for use by public authorities. In this regard, it matters little whether the information concerning private life is sensitive or whether the individuals concerned have suffered any potential disadvantages due to this interference.
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Any limitation on the fundamental rights enshrined in the Charter (including the fundamental right to data protection in Article 8) must meet the conditions of Article 52.1 of the Charter, which states that "Any limitation on the exercise of the rights and freedoms recognized by this Charter must be provided for by law and respect the essential content of those rights and freedoms. In accordance with the principle of proportionality, limitations may only be imposed if they are necessary and genuinely meet objectives of general interest recognized by the Union or the need to protect the rights and freedoms of others."
181. Thus, it would be reductive to consider that the question of the temporal application of Article 96 of the GDPR would only arise if the DPA (through its Contentious Chamber) or other data protection authorities were to conclude that the "FATCA" agreement was compliant with Union law as applicable

on May 24, 2016. As such, Article 96 limits the effective exercise by data protection authorities, here the DPA, of the missions entrusted to them by the GDPR.
182. In its decision of December 13, 2024, already mentioned regarding the qualification of data controller, the Administrative Court of the Grand Duchy of Luxembourg applies Article 96 of the GDPR by explicitly qualifying it as a transitional provision.
"The provision of Article 96 of the GDPR essentially constitutes a transitional provision that allows Member States to continue to apply international agreements that provide for the transfer of protected personal data to third countries and that they had concluded before May 24, 2016, the date of entry into force of the GDPR, even if the terms agreed in these agreements do not correspond to the standards set by the GDPR, in order to avoid that the continuation of the execution of said agreements encounters new requirements."
76 It is the Contentious Chamber that emphasizes this.
77 Opinion of the CJEU of July 26, 2017 (EU-Canada PNR Agreement), ECLI:EU:C:2017:592, paras 123 and 124 and the cited judgments: see, in this sense, judgments of May 20, 2003, Österreichischer Rundfunk e.a., C-465/00, C-138/01 and C-139/01, EU:C:2003:294, points 74 and 75; of April 8, 2014, Digital Rights Ireland e.a., C-293/12 and C-594/12, EU:C:2014:238, points 33 to 35, as well as of October 6, 2015, Schrems, C-362/14, EU:C:2015:650, point 87).

or stricter provisions of the new Community regulation. The exemption from compliance with the GDPR allowed by this provision is nevertheless conditioned by the respect of "Union law as it [was] applicable before [May 24, 2016]," that is to say, the standards applicable before May 24, 2016. Furthermore, this exemption is only intended to last until the modification, replacement, or repeal of these prior international agreements.
183. This passage from the judgment, and in particular the qualification of Article 96 as a transitional provision, leads the Contentious Chamber to the following question: if Article 96 of the GDPR is indeed a transitional provision, is it permissible for this transitional period to potentially last indefinitely and de facto deprive the individuals concerned of the enhanced protection offered by the GDPR? Does this lack of a time limit for a transitional regime not contradict the general principles of transitional law characterized, indeed, by the non-retroactivity of the norm but without having the effect (and thus allowing) that the benefit of enhanced protection is indefinitely denied to the individuals concerned? If it is potentially indefinitely transitional, does Article 96 of the GDPR not establish a pure and simple derogatory and permanent regime to the GDPR, the compatibility of which with the Charter of Fundamental Rights of the Union must be questioned? Any provision of a Union regulation, namely Article 96 of the GDPR in question here, must itself be compatible with said Charter.
184. Regardless of the question of the temporal application of Article 96, the role and responsibility of the Belgian State (as with any other Member State that is a signatory to a "FATCA" agreement comparable to that signed by the Belgian State) does not exempt the data controller, such as the defendant, who intends to rely on Article 96 of the GDPR, from examining whether the conditions for invoking Article 96 are met and demonstrating to the competent supervisory authority (here the APD) that this is the case. Indeed, the recourse to Article 96 of the GDPR intrinsically implies, by the condition it imposes (to respect EU law as applicable on May 24, 2016), that the data controller carries out this assessment.
185. "Union law as applicable on May 25, 2016" includes primary law such as Article 16 TFEU and Articles 7, 8, and 47 of the Charter of Fundamental Rights of the EU as well as Directive 95/46/EC. As necessary, the Contentious Chamber specifies that

78 Article 7 of the Charter of Fundamental Rights of the EU - Respect for private and family life: Everyone has the right to respect for their private and family life, their home, and their communications.
79 Article 47 of the Charter of Fundamental Rights of the EU - Right to an effective remedy and to access to an impartial tribunal: Everyone whose rights and freedoms guaranteed by Union law have been violated has the right to an effective remedy before a tribunal in compliance with the conditions provided for in this article. Everyone is entitled to have their cause heard fairly, publicly, and within a

reasonable time by an independent and impartial tribunal established by law. Everyone has the possibility of being advised, defended, and represented. Legal aid is granted to those who do not have sufficient resources, insofar as this aid is necessary to ensure effective access to justice.

The use of the terms “as applicable on May 25, 2016” does not mean that this right is fixed in its interpretation as of May 25, 2016. Article 96 exempts from compliance with the GDPR (under certain conditions) by not adding new regulatory text regarding data protection to those applicable as of May 24, 2016, in order to preserve, as previously noted, the rights that the third country derives from the agreement concluded with it. However, it does not exempt from including in the examination of the condition of compliance with EU law as of May 24, 2016, the potentially evolving interpretation that the CJEU provides for the key concepts of data protection – including in relation to the GDPR when it concerns concepts common to both texts.
186. In conclusion, clarifying the scope of Article 96 of the GDPR directly aligns with the requirement for uniformity and legal certainty, in a context where this provision is subject to divergent interpretations within the Union, even as the GDPR aims to ensure a harmonized application of the right to data protection and the CJEU has clearly stated that data transfers to third countries must comply with Articles 7, 8, and 47 of the Charter of Fundamental Rights of the EU. Article 96 does not exempt data controllers who carry out data transfers to third countries under international agreements concluded before May 24, 2016, either totally or indefinitely from the GDPR. Article 96 of the GDPR constitutes only a temporary and strictly conditioned derogation, contingent upon compliance with the applicable Union law prior to May 24, 2016. Necessarily restrictive in interpretation, it provides for a transitional regime under conditions, the objective of which is “to ensure comprehensive and coherent protection of personal data within the Union” on the one hand and to avoid any legal vacuum on the other hand. Avoiding this legal vacuum does not equate, for the reasons that the Contentious Chamber has outlined above, to assessing compliance with EU law as interpreted on the fixed date of May 24, 2016. Thus, the data controller, such as the defendant, who intends to rely on Article 96 of the GDPR must include the relevant developments in the case law of the CJEU in its assessment of the condition of compliance with EU law as of May 24, 2016. It must be able to demonstrate that, at the end of this rigorous, documented, and updated assessment, it is justified in relying on Article 96 of the GDPR. This assessment will not exempt it, as the Chamber...
80 This objective is expressly stated in Recital 95 of Directive 2016/680/EU, in relation to Article 61 of this directive, which is identical to Article 96 of the GDPR.
Article 61 - Relationship with international agreements concluded prior to the area of judicial cooperation in criminal matters and police cooperation: “International agreements involving the transfer of personal data to third countries or to international organizations that were concluded by the Member States before May 6, 2016, and that comply with Union law as applicable before that date, remain in force until they are amended, replaced, or revoked.”
Recital 95 provides that “in order to ensure comprehensive and coherent protection of personal data within the Union, it is necessary that international agreements concluded by the Member States before the date of entry into force of this directive and that comply with the relevant provisions of Union law applicable before that date, remain in force until they are amended, replaced, or revoked.” (It is the Contentious Chamber that emphasizes this).

The contentious matter will be further developed in the decision, nor to carry out a DPIA nor its ongoing duty of accountability. In doing so, the data controller could also contribute to the renegotiation process of the agreement. Member States, including the Belgian State, are obliged to do so in execution of their duty of loyal cooperation under Article 4.3 TEU, applied in light of Article 351 TFEU and Article 8 of the Charter of Fundamental Rights of the EU.
II.6. Regarding the grievances invoked
187. As outlined in the procedural retroacts, the Market Court emphasizes that the Contentious Chamber did not sufficiently take into account the findings of the SI in its decision 63/2021,
188. As the Market Court highlights in its ruling of December 20, 2023, the Contentious Chamber, having chosen to refer to the SI in this case, must take into account the findings of the latter and

provide reasons for deviating from them if applicable. The Contentious Chamber believes that it could indeed only depart from the material findings of the SI based on contrary evidence. However, it remains free to substitute its legally reasoned assessment for that of the SI, based on the material findings that the latter has made in the exercise of its investigative powers.

189. Thus, as it will outline below, the Contentious Chamber does not overlook the opinions of the CPVP 61/2014 and 28/2015, nor the authorization of the CSAF 52/2016, nor the other elements collected by the SI in the course of its investigation. In exercising the competence it has to determine compliance with the GDPR in its capacity as an administrative litigation body of the APD, the Contentious Chamber has its own interpretation and will draw, as appropriate, reasoned legal consequences from it.

190. The Contentious Chamber notes that the first report of the SI does not conclude on the compliance of the "FATCA" agreement with Union law before May 24, 2016. The SI considers, based on the aforementioned texts, that it is not appropriate for it to continue its investigations, explicitly invoking Article 64.2 of the LCA in this regard and concluding that there is no "apparent violation of the GDPR."

191. In its supplementary investigation report, the SI concludes that, in its opinion, there are no elements indicating a lack of guarantees regarding the protection of transferred data or a lack of reciprocity in the exchanges.

II.6.1. Can the defendant rely on Article 96 of the GDPR?

II.6.1.1.
Introduction

192. The Contentious Chamber examines the compliance of the transfers reported by the complainants, taking into account Article 96 of the GDPR. It therefore verifies whether, as the defendant claims, the "FATCA" agreement complies with Union law as of May 24, 2016, and whether it authorized the defendant to transfer the data of the first complainant to the IRS and allows it to continue these transfers regarding the personal data of accidental Americans defended by the second complainant.

193. As the Contentious Chamber has just outlined, the condition of Article 96 does not only involve compliance with Directive 95/46/EC but more generally compliance with EU law, including Article 8 of the Charter of Fundamental Rights.

194. Regarding compliance with Directive 95/46/EC, the Contentious Chamber emphasizes from the outset that the data exporter, such as the defendant, transferring personal data to a third country must, in addition to complying with the rules concerning the specific framework for cross-border data flows, also respect all applicable obligations and principles of protection. Thus, the defendant cannot transfer data for a purpose that does not meet the requirements of Article 6.1. b) of Directive 95/46/EC nor transfer personal data that would be neither adequate, nor relevant, and not excessive in relation to that purpose without violating Article 6.1. c) of said Directive.

195. Recital 102 of the GDPR specifies regarding Article 96 that the agreement must contain appropriate safeguards for the benefit of the data subjects.[81]

196. The defendant does not dispute that Article 96 of the GDPR applies only to the "FATCA" agreement. However, it adds that the Law of December 16, 2015 is inseparable from it and that therefore, "analyzing the 'FATCA' agreement within the framework of Article 96 of the GDPR requires an analysis of said law" (point 24 of its second supplementary and summary conclusions). It argues that the "FATCA" agreement is compliant with the applicable Union law as of May 24, 2016, and that consequently, both the agreement and the Law of December 16, 2015 remain valid under application.

81 Recital 102: "This Regulation (GDPR) is without prejudice to international agreements concluded between the Union and third countries for the purpose of regulating the transfer of personal data, including appropriate safeguards for the benefit of the data subjects." It is the Contentious Chamber that emphasizes this. If the French wording of this recital is not the clearest, reading the English and Dutch versions clarifies that these agreements must contain appropriate safeguards for the benefit of the data subjects. Indeed, where the French version uses the wording "the agreements (...) including

appropriate safeguards," the English and Dutch versions explicitly link these agreements to the safeguards, stating that they must be included in these agreements. The English version states "agreements (…) including appropriate safeguards for data subjects" and the Dutch version, the most explicit, mentions "internationale overeenkomsten waarin passende waarborgen zijn opgenomen" [international agreements in which appropriate safeguards are included].

of Article 96. According to the defendant, this compliance arises, as noted by the SI, from the analyses carried out by the CPVP in its opinions 61/2014 and 28/2015, as well as from the deliberation of 52/2016 of the CSAF. The defendant also invokes the ruling of the French CE dated July 19, 2019, which indicates that the "FATCA" agreement is not contrary to the GDPR, as well as a deliberation of September 17, 2015, from the CNIL that authorized the implementation of a data processing consisting of a transfer to the IRS of data collected in execution of the French "FATCA" agreement, the content of which is similar to that signed by the Belgian State. It also relies on the decision of the CNIL dated May 23, 2022, already cited, which closes a complaint filed by the French AAA aimed at suspending data transfers to the IRS in execution of the French "FATCA" agreement. Finally, the defendant relies on the ruling of the Constitutional Court dated March 9, 2017, which rejects the annulment appeal directed against the Law of December 16, 2015. All these texts would, according to the defendant, attest to the compliance of the "FATCA" agreement, read in conjunction with the Law of December 16, 2015, with the applicable Union law as of May 24, 2016.
197. The Contentious Chamber considers, for the reasons it develops below, that the "FATCA" agreement, even read and applied in conjunction with the Law of December 16, 2015, is not compliant with the applicable EU law as of May 24, 2016. It is not compliant with the principles of purpose and proportionality notwithstanding the findings of the SI and the arguments of the defendant. The agreement also does not contain, in addition to the guarantees of compliance with the principles of purpose and proportionality, the other guarantees required by Directive 95/46/EC as explicitly stated, specifically regarding data transfers to a third country within the framework of the automatic exchange of data by Group 29 since 2015.82 Therefore, it concludes that the "FATCA" agreement is not compliant with Union law as applicable on May 24, 2016, within the meaning of Article 96 of the GDPR.
198. The Contentious Chamber notes that it is undisputed that opinions 61/2014 and 28/2015 of the CPVP concern the draft law that will lead to the future Law of December 16, 2015. They are therefore not opinions on the "FATCA" agreement as such, which the CPVP explicitly regrets in its opinion 61/2024 (point 8 of the opinion).83 As for the deliberation 56/2015 of the CSAF, it authorizes, under conditions, transfers to the IRS in execution of the Law of December 16, 2015, but does not rule on the "FATCA" agreement itself.
199. The defendant reproaches the APD for artificially separating the "FATCA" agreement from the 2015 Law. This is not the case. The APD must examine whether the condition set out in Article 96 of the GDPR, namely the compliance of the "FATCA" agreement with Union law as of May 24, 2016, is established and

82 Group 29, Guidelines for Member States on the criteria to ensure compliance with data protection requirements in the context of the automatic exchange of personal data for tax purposes, WP 234 of December 16, 2015. It is the Contentious Chamber that emphasizes this.
83 The CSAF also indicates that the CPVP was not consulted regarding the "FATCA" agreement in point 8 of its deliberation 52/2016.

demonstrated. The entire ratio legis of Article 96 is linked to the fact that an international agreement is complex to modify and that States are dependent on the goodwill of the third State. It is therefore indeed the "FATCA" agreement that is at issue, not the law of December 16, 2015, which does not bind the third State, here the United States. Commitments must be made by the Parties to the agreement, and while certain data protection guarantees are included in the Law of December 16, 2015, they only bind, as the case may be, the defendant and not necessarily the third State to which the data is transferred - whose commitments must be included in the agreement. The Litigation Chamber will therefore examine the compliance of the transfer carried out by the defendant in light of

the relevant provisions of the "FATCA" agreement and the Law of December 16, 2015, when these are relevant.
II.6.1.2.
Regarding the principle of purpose
200. The principle of purpose as enshrined in Article 6.1.b) of Directive 95/46/EC requires that data be collected for specified, explicit, and legitimate purposes and not be processed subsequently (including when transferred to a third State) in a manner incompatible with those purposes. This principle is also enshrined in Article 8.2 of the Charter of Fundamental Rights84 and must be applied in accordance with the requirements of Article 52 of the Charter.
201. The "purpose" is the sufficiently determined, specific, and of course legitimate reason for which the data is processed: it is the objective or intention of the data processing. An interest, on the other hand, is the broader interest that a data controller may have in the processing, or the benefit that the data controller derives - or that society could derive - from the processing, such as improving the enforcement of tax legislation or combating tax evasion85.
202. The sufficiently determined nature of the purpose depends on the ability to analyze whether and conclude that the processing of the data is indeed necessary for achieving the purpose, as required by the principle of proportionality enshrined in Article 6.1.c) of Directive 95/46/EC. Thus, under the guise of "purpose," a general or broadly defined objective, even if its legitimacy is not disputed, leaves too much latitude to the data controller and does not allow for effective application of either the principle of purpose or the principle of proportionality.
203. As early as 2015, the Article 29 Working Party, of which the EDPS was a member, specified in its document WP 234 specifically dedicated to the requirements for data protection

84 Article 8.2 of the Charter of Fundamental Rights of the EU: These data must be processed fairly, for specified purposes and based on the consent of the data subject or under another legitimate basis provided by law. Everyone has the right to access data collected concerning them and to obtain its rectification.
85 See Article 29 Working Party, Opinion 06/2014 on the notion of legitimate interest pursued by the data controller within the meaning of Article 7 of Directive 95/46/EC, WP217 of April 9, 2014, section III.3.1 (page 26).

regarding data in the context of automatic data exchange that “any international agreement should clearly identify the purposes for which the data is collected and validly used. The formulation of the purpose (“tax fraud / improvement of tax compliance”), for example, may seem vague and insufficiently clear, leaving too much leeway to the competent authority.”
➢ The purpose in the FATCA Agreement
204. Regarding the “FATCA” agreement, the Contentious Chamber notes that the “purposes” of the automatic data exchange specified in the introduction of the agreement are worded as follows: (a) the improvement of international tax rules – a formulation pointed out as too broad in the aforementioned opinion – and (b) the implementation of obligations arising from the U.S. law “FATCA.”
205. Such formulations are at best the expression of a general objective, certainly legitimate. However, they do not constitute a specific and determined purpose(s) – in the sense of Article 6.1.b) of Directive 95/46/EC – of the processing of personal data intended to enable the achievement of this objective.
206. In this regard, the Contentious Chamber is not unaware that the “FATCA” agreement is part of, as mentioned in the statement of facts, other international commitments of the Belgian State, including the fight against tax fraud and evasion for which the automatic data exchange is established and to which the “FATCA” agreement refers (see below). However, this context, and more generally these other commitments, do not result in the “FATCA” agreement necessarily being compliant with EU law applicable as of May 24, 2016.
207. Article 3.7 of the “FATCA” agreement provides that “All information exchanged shall be subject to the confidentiality and other protections provided for in the Convention, including the provisions limiting the use of the information exchanged.” “Convention” refers to the OECD Convention on Mutual Administrative Assistance in Tax Matters already cited. The Contentious Chamber notes that as such,

this article of the FATCA Agreement does not specify what the specific and determined purpose of the concerned data processing would be, here the transfer to the IRS. It proceeds by reference to the OECD Convention, the purposes of which have

86 See the following recitals of the FATCA agreement: “Whereas the government of the Kingdom of Belgium and the Government of the United States of America (…) desire to conclude an agreement to improve international tax compliance through mutual assistance in tax matters based on an effective infrastructure for the automatic exchange of information” and “Whereas, the Parties desire to conclude an agreement to improve tax compliance and provide for the implementation of FATCA based on domestic reporting and reciprocal automatic exchange pursuant to the Convention [read the Convention on mutual administrative assistance in tax matters done in Strasbourg on January 25, 1988](…).

were deemed imprecise by the APD87. This indirect reference lacks clarity and predictability for the individuals concerned.

208. As for Article 3.8 of the "FATCA" agreement, it states that "Following the entry into force of this Agreement, each Competent Authority shall provide written notification to the other Competent Authority when it is satisfied that the jurisdiction of the other Competent Authority has in place (i) appropriate safeguards to ensure that the information received pursuant to this Agreement shall remain confidential and be used solely for tax purposes, and (ii) the infrastructure for an effective exchange relationship (including established processes for ensuring timely, accurate, and confidential information exchanges, effective and reliable communications and demonstrated capabilities to promptly resolve questions and concerns about exchanges or requests for exchanges and to administer the provisions of Article 5 of this Agreement). The Competent Authority shall endeavor in good faith to meet, prior to September 2015, to establish that each jurisdiction has such safeguards and infrastructure in place."

209. Upon reading this provision, it is understood that the Parties to the "FATCA" Agreement must mutually confirm that they have established safeguards to ensure that the information received remains confidential and will only be processed for "tax purposes." The Litigation Chamber can only note the vagueness of this "purpose," as the CPVP had done in its opinion 61/2024 precisely, when it indicated regarding the first version of the draft law that would lead to the Law of December 16, 2015, that the mere mention in the draft law of the automatic exchange of information "for tax purposes" did not meet the requirements of the principle of purpose (points 11 and following of the opinion, point 9 of opinion 28/2015). The defendant cannot, any more than the SI can, assert that the CPVP would have considered that the purposes of the FATCA agreement as such would comply with the requirements of Article 6.1.b) of Directive 95/46/EC and Article 8.2 of the Charter of Fundamental Rights.

➢ The purpose in the Law of December 16, 2015

210. In its opinion 61/2014 on the draft law that would lead to the Law of December 16, 2015, the CPVP clearly highlights that the mere mention of an exchange "for tax purposes" does not meet the requirements of the principle of purpose. The CPVP requests that the purposes of investigation and criminal prosecution in taxation matters be specifically excluded (point 11 and following of the opinion, point 12 in particular).

211. In the opinion of the CPVP, the OECD Convention referred to in Articles 3.7 and 3.8 of the "FATCA" agreement does not indeed exclude the use of the data transferred for purposes

87 Note that the Authorization and Advisory Center of the APD has since issued opinion 51/2024, which is particularly critical regarding the purposes of the OECD Convention, which it does not consider sufficiently determined:
https://www.autoriteprotectiondonnees.be/publications/avis-n-51-2024.pdf

of investigation and criminal prosecution but conditions this use on the agreement of the Party that communicates the data. Article 17.2 of the draft Law of December 16, 2015 has, at the request of the CPVP, thus been amended and provides in its final version that "the competent Belgian authority may not authorize a jurisdiction to which the information is transferred to use it for purposes other than the establishment or collection of the taxes mentioned in the treaty, the procedures or prosecutions concerning these taxes, decisions on appeals related to these taxes, or the control of the above" (points 9 and following of opinion 28/2015). Through this paragraph, it becomes somewhat clearer regarding the purposes of the transfers to the IRS. However, the question of what is meant by "prosecution" in the United States where the data is transferred remains, in the eyes of the Litigation Chamber, somewhat undetermined.

212. The Litigation Chamber points out that in its deliberation 52/2016, the CSAF indicates that it "therefore considers that Article 17 of the Law of December 16, 2015 must be interpreted in such a way that (the authorization) for the reuse (by jurisdictions of the United States other than tax authorities) of data obtained for non-tax matters (for example, judicial assistance in criminal matters, money laundering, corruption, or the fight against terrorism), or for transfer to countries without an adequate level of data protection is a priori excluded" (point 30 of the deliberation).

➢ Conclusion

213. In conclusion, the Litigation Chamber finds that the "purpose" of the data processing resulting from the "FATCA" agreement is neither specific nor sufficiently determined in the "FATCA" agreement itself (point 209). Under the terms of the Law of December 16, 2016, it is "specified" only by the reference that Article 3.7 of the agreement makes to the OECD Convention - the purposes of processing of which are not deemed sufficiently specific and determined under the terms of opinion 51/2024 of the APD - as well as by Article 17.2 of the law, the exact contours of which remain imprecise.

214. The Litigation Chamber considers, contrary to the conclusions of the CPVP in its opinion 28/2015 and the authorization 52/2016 of the CSAF, that in such circumstances where the purpose of the transfers of personal data to the IRS is neither specific nor determined in the "FATCA" agreement on the one hand, and where this purpose is very indirectly mentioned and remains imprecise under the terms of the Law of December 16, 2015 on the other hand, the transfer to the IRS by the defendant does not meet the requirements of the principle of specific and determined purpose as defined in Article 6.1.b) of Directive 95/46/EC. Neither the Litigation Chamber nor the data subject whose data is sent to the IRS are in

measure to identify the purpose(s) for which the data is sent to the IRS and for which it may be processed once in its hands[88].

215. Thus, in response to the observation of the Market Court regarding this, the Contentious Chamber notes that neither the opinions of the CPVP nor the authorization of the CSAF addressed the purpose of the FATCA agreement as such. On the contrary, the CPVP and the CSAF emphasized that the agreement had not been submitted to them. As for the favorable assessment made by its predecessors regarding the Law of December 16, 2015, the Contentious Chamber considers, particularly in light of a thorough examination of the purposes of the OECD Convention to which it refers, that they are not sufficiently determined, including with regard to subsequent processing once the data is transferred.

216. Regarding the authorization 52/2016 of the CSAF in particular, the Contentious Chamber does not overlook that Article 111 of the LCA mentions, as the Court points out, that "the authorizations granted by the sectoral committees of the Commission for the Protection of Privacy (CPVP) before the entry into force of this law retain their legal validity." However, this Article 111 adds that this retention is "without prejudice to the control powers of the Data Protection Authority." Therefore, the Contentious Chamber is authorized, in the context of the examination of the complaint leading to this decision, to re-examine this authorization and to detach itself from it if necessary. In any case, this authorization was granted under conditions that the Contentious Chamber will later note in the decision have not been met since 2016 (see points 233 and 300).

217. Without prejudice to the above, the Contentious Chamber further holds that this very indirect "determination" is in any case fragile as it is dependent on texts distinct from the "FATCA" agreement as such – a text that is the only one binding the Parties to each other – and therefore this determination is conditioned by the maintenance of the applicability of these texts and their content.

II.6.1.3.

Regarding the principle of proportionality
218. The Contentious Chamber recalls that under the principle of proportionality enshrined in Article 6.1. c) of Directive 95/46/EC, only data that is adequate, relevant, and not excessive for the achievement of the purpose may be processed. It is not sufficient that they are simply useful, and it is necessary to consider less intrusive alternatives to satisfy this principle.

88 If the defendant also produces the written notification signed by both the Belgian State and the IRS by which each Party (the Belgian State on one side, and the United States on the other) acknowledges the respect of its respective obligations in terms of confidentiality, this document does not call into question the finding of the Contentious Chamber.

219. As the complainants point out, the transfer of data to the IRS in the context of the implementation of the "FATCA" agreement is a system of automatic and annual data transfer based on the criterion of American nationality and reportable bank accounts (Article 2 of the "FATCA" agreement and Article 5 of the Law of December 16, 2015) without any indication that any tax law has been violated. This is not a system of data transfer on an ad hoc basis operated at the request of the American authorities and based on the presence of indications necessitating such data transfer considering the purposes pursued.
220. The Contested Chamber is of the opinion that this system as provided for in the "FATCA" agreement does not satisfy the principle of proportionality, particularly in support of the case law of the CJEU which, on several occasions, has had the opportunity to indicate, including on preliminary questions, how this principle should be applied in light of treatments comparable to those denounced by the complainants.
221. Thus, by a judgment of April 8, 2014, the CJEU ruled that the retention of data generated or processed in the context of the provision of publicly accessible communication services or public communication networks was disproportionate in that this obligation applied "even to persons for whom there is no indication that their behavior could have a link, even indirect or remote, with serious offenses." It concluded that the EU legislator had exceeded the limits imposed by respect for the principle of proportionality in light of Articles 7, 8, and 52,1 of the Charter of Fundamental Rights of the EU and invalidated Directive 2006/24/EC on this basis.
222. Following this judgment, the data protection authorities, including the CPVP at the time, gathered within Group 29, adopted at the end of 2015 the aforementioned opinion WP 234, in which the Group argues that there is no reason to limit the CJEU's considerations to measures adopted solely in the context of the fight against terrorism. Other public policy measures aimed at pursuing distinct objectives, notably through the collection of personal data, are also subject to the same respect for the principle of proportionality of Article 6.1.c) of Directive 95/46/EC then in force.
223. The data protection authorities emphasize the necessary respect for this principle, including in the context of "FATCA," in the following terms: "while this case concerned the necessity and proportionality of certain counter-terrorism measures, the 'Article 29' group is of the opinion that the balancing exercise prescribed by the Court of Justice applies to any public policy implemented (notably tax cooperation policies) that impacts the rights to the

89 CJEU, judgment of April 8, 2014 C-293/12 and C-594/12, Digital Rights Ireland and Seitlinger et al., ECLI:EU:C:2014:238, para 58:
https://eur-lex.europa.eu/legal-content/FR/TXT/PDF/?uri=CELEX:62012CJ0293

protection of personal data. It is therefore imperative, in tax cooperation agreements, to demonstrate that the data exchange provided for is necessary and that it concerns the minimum amount of data required to achieve the intended objective.90
224. The Article 29 Working Party further specifies that "consequently, tax cooperation agreements should include provisions and criteria that explicitly link the exchange of information and, in particular, the communication of personal data concerning financial accounts to potential tax evasion and exempt low-risk accounts from reporting obligations. In this regard, these criteria should be applicable ex ante to determine the accounts (and the information) that should be reported."

225. In 2017, the European Data Protection Supervisor (EDPS)91 stated similarly when emphasizing in its Guide for assessing the necessity of measures limiting the fundamental right to data protection92 that "measures that may prove useful for the given objective are not all desirable nor can they all be considered necessary in a democratic society. It is not sufficient for the measure to be merely convenient or cost-effective." The EDPS also indicated that the annual nature of the reporting under the "FATCA" agreement demonstrates that the reporting is not based on indications of evasion or fraud but is carried out systematically.93
226. On February 24, 2022, the CJEU issued a ruling94 in which it expressly states that a generalized and indiscriminate collection of personal data for the purposes of combating tax evasion is not permissible.

90 Article 29 Working Party, Guidelines for Member States on the criteria to ensure compliance with data protection requirements in the context of the automatic exchange of personal data for tax purposes, WP 234 of December 16, 2015. It is the Contentious Chamber that emphasizes this.
91 The European Data Protection Supervisor (EDPS) is the equivalent of a national data protection authority for the institutions of the European Union. See Regulation (EU) 2018/1725 of the European Parliament and of the Council of October 23, 2018, on the protection of individuals with regard to the processing of personal data by the institutions, bodies, and agencies of the Union and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC.
92 https://www.edps.europa.eu/sites/default/files/publication/17-06-01 necessity toolkit final fr.pdf
93 See also a 2018 study commissioned by the European Parliament which states that the reporting requirements under the "FATCA" agreement are not sufficiently limited in light of the risk of tax evasion. The study concludes that "the limitations introduced by FATCA within the European Union through IGAs [intergovernmental agreements] currently seem, in certain circumstances, neither necessary nor proportionate, as they do not restrict reporting obligations to individuals suspected of tax fraud. Conversely, these limitations introduced by FATCA would constitute 'necessary and proportionate measures' provided that the United States supplies, on a case-by-case basis, evidence that American expatriates are using the Union's financial system to engage in tax fraud abroad. In the absence of such evidence, the limitations of FATCA appear to go beyond what is strictly necessary to achieve the objective of combating tax fraud abroad." The updated version of this study concludes similarly. https://www.europarl.europa.eu/RegData/etudes/IDAN/2022/734765/IPOL IDA(2022)734765 EN.pdf
94 CJEU, Judgment of February 24, 2022, C-175/20, Valsts ieņēmumu dienests (Processing of personal data for tax purposes), ECLI:EU:C:2022:124. See also judgment C-817/19, Ligue des droits humains (PNR), already cited, of June 21, 2022: "115. Regarding the principle of proportionality, the protection of the fundamental right to respect for private life at the Union level requires, in accordance with the Court's consistent case law, that exceptions to the protection of personal data and limitations thereof operate within the limits of what is strictly necessary. Furthermore, a general objective cannot...

against tax fraud by a tax administration is not permitted. The concerned administration must refrain from collecting data that is not strictly necessary in light of the purposes of the processing (point 74 of the judgment). The administration must also consider whether its requests can be more targeted based on more specific criteria.95 Thus, even in the exercise of the public interest mission entrusted to the data controller, the CJEU specifies that it cannot proceed with the generalized and undifferentiated collection of data and must question the possibility of further targeting its requests using specific criteria (points 74-76 of the judgment).
227. Furthermore, it follows from this judgment that the recipient of the data request has the obligation to examine the validity of the request and to verify whether it is legally authorized to respond. Otherwise, the recipient of the request risks violating its own obligations arising from the right to data protection.
228. The defendant argues that this case law is not relevant because it does not involve generalized and undifferentiated collection nor subsequent transfers that could also be classified as such. In execution of the "FATCA" agreement, the data processing, according to the defendant, concerns a

specific category of persons, namely those of American nationality, and among them, some would not be affected if the amount of their bank account does not reach the reportable threshold. However, the defendant emphasizes that the Constitutional Court precisely considered in its judgment of March 9, 2017 (see below) that "the collection of information in execution of the 'FATCA' agreement is proportionate insofar as the law defines in its annexes the criteria taken into account to determine which data must be communicated (...)". The judgment of the Constitutional Court would, according to the defendant, therefore be all the more in line with the CJEU judgment of 2022, which uses the same terms of "proportionality" and "criteria".
229. The Contentious Chamber considers that in line with the case law of the CJEU from 2014 cited above, the lessons from this judgment C-175/2020 are, on the contrary, quite relevant. Applied to the case at hand, it follows for the Contentious Chamber that, as the data protection authorities pointed out immediately after the judgment of June 8, 2014, to respect the principle of proportionality in the context of a data exchange - automatic moreover - and without a link to a tangible evasion indicator, it is appropriate, as a criterion, at a minimum to exclude the categories of persons or accounts that may be exempted from the reporting obligation under "FATCA" as well as those that
can be pursued without taking into account the fact that it must be reconciled with the fundamental rights concerned by the measure, by performing a balanced weighting between, on the one hand, the general objective and, on the other hand, the rights at stake.
95 The CJEU makes these considerations in light of the request made by the Latvian tax administration to an economic operator to provide it for a specified period with data relating to advertisements for the sale of private cars published on its website, as well as to restore permanent access to the data of these sales advertisements and, failing that, to communicate to it monthly the data relating to said advertisements (points 14-16 of the judgment).

present a very low risk of evasion. Thus, if the targeted individuals are not actually taxable in the United States under the tax regime applicable to non-residents, provided that their foreign income does not exceed the established threshold, the transfer of their personal data will not be proportionate. This situation is likely to apply to accidental Americans since they are, by definition, non-residents.
230. The transfer of data to the IRS, as opposed to a specific processing on an ad hoc request, concerns a priori all individuals of American nationality. The generalized nature of the processing must be assessed in light of the recipients of the norm itself, who can form an identified group. If the stated purpose is to combat tax evasion (at the very least, the assessment of proportionality is made difficult in any case given the lack of a sufficiently precise purpose (see above) based on American nationality and that the processing concerns the data—even if listed—of all Americans residing abroad (in this case in Belgium), the processing is generalized. Just as the CJEU considered that the communication of data relating to advertisements from all sellers of used vehicles or the permanent availability of this data via the Internet constituted a generalized collection, similarly, the transfer of personal data of all Americans living in Belgium is generalized.
231. The transfer to the IRS also appears very little differentiated to the Contentious Chamber since it targets all Americans regardless of any indication related to the purpose for which the transfer to the IRS occurs, namely tax evasion, except for the "exception" related to reportable accounts. The Contentious Chamber emphasizes that from its perspective, the circumstance that the personal data to be collected and subsequently transferred are listed is not a relevant and sufficient "criterion" for targeting that differentiates the concerned Americans among themselves with regard to this purpose.
232. The only exception related to reportable accounts referred to in point A of Part I of Annex II of the "FATCA" agreement is not, in reality, a true exception since banks can exempt themselves from it. It is indeed specified that "low-value accounts, specifically those under 50,000 US dollars, are not subject to reporting procedures, unless the reporting financial institution decides otherwise."
233. If this option exists, it is because the sending of data related to these accounts is not truly necessary within the meaning of Article 6.1.b) of Directive 95/46/EC. Deliberation 52/2025 of the CSAF already indicated in this regard that "the Committee therefore notes the optional nature of this threshold. The applicant was, however, able to indicate that financial institutions had confirmed their use of it. In order to avoid an excessive number of accounts being communicated to the United States,

the Committee invites financial institutions to apply the threshold of 50,000 US dollars (...) to ensure the proportionality of the processing" (point 16 of the

(deliberation). While the CSAF indeed targets banks, its deliberation is nonetheless directed at the defendant who was warned. In this regard, the defendant cannot, especially considering deliberation 52/2016, shield itself as it does in its conclusions behind the behavior of banks that do not exercise the option available to them. It is indeed incumbent upon it, in its capacity as data controller, to transfer only the relevant and non-excessive (thus necessary) data to the IRS and to remind financial institutions of this duty.
234. In the context of automatic exchange, it was immediately identified, from the OECD Convention, that there was a risk of receiving irrelevant data and that this risk should be avoided. In the "FATCA" agreement, Annex II thus establishes the principle of a regular review of the categories of persons and/or reportable accounts (with regard to the threshold amount) that would present a low risk of tax evasion, which should be excluded from the automatic exchange of data concerning them. Given this requirement, it is all the more questionable that the defendant transfers personal data of account holders that are not reportable on the grounds that banks would collect them and/or that it would not have access to the content of the data. How can the defendant then, as it defends itself before the SI in particular, ensure compliance with the principle of minimization?
235. As necessary, the Contentious Chamber mentions that this ruling is indeed subsequent to May 24, 2016, as are certain documents that the Contentious Chamber has mentioned above. For the reasons it has set out in section II.5, the ex tunc effect of rulings made on preliminary questions, the Contentious Chamber takes into account how the key concepts of data protection are interpreted by the CJEU, including the interpretation of the concepts of the GDPR that are common to Directive 95/46/EC, and even more so when, as in this case, it is merely a confirmation, in a fiscal context this time, of jurisprudence that has existed since 2014.

96 Extract from the Explanatory Report of the OECD Convention (Article 6): 62. A characteristic feature of automatic exchanges of information is that they concern a mass of particular information of the same nature relating, usually, to payments from the State providing the information and to taxes withheld at source in that State. Information of this type can be obtained periodically, within the framework of the system specific to that State, and transmitted systematically and regularly. The automatic exchange of information helps to improve tax honesty and to detect fraud that would otherwise remain undetected. States must strive to exchange information in the most efficient manner possible due to its significant volume.
63. If taxpayers are aware of this arrangement and, consequently, of the nature of the information exchanged, they will be led to better comply with their tax obligations, and the number of cases as well as the amount of underreporting in income declarations should decrease after a few years. However, there may be ways to maximize efficiency and minimize costs, for example, by limiting the automatic exchange to areas where tax honesty is weakest, by modifying, after a few years of exchange, the nature of the information exchanged, and by using standardized forms (see also paragraph 66 below).
97 See in this sense Annex II of the FATCA agreement: “This Annex II may be modified by a mutual written decision entered into between the Competent Authorities of Belgium and the United States: (1) to include additional Entities and accounts that present a low risk of being used by U.S. Persons to evade U.S. tax and that have similar characteristics to the Entities and accounts described in this Annex II as of the date of signature of the Agreement.”

236. In support of the case law of the CJEU that it has just outlined as applied to the case at hand, the Contentious Chamber finds that the principle of proportionality enshrined in Article 6.1b) of Directive 95/46/EC is not respected. The defendant does not demonstrate that only adequate, relevant, and non-excessive personal data, even if these data are listed (whether in the "FATCA" agreement (Article 2.2) or in the Law of December 16, 2015 (Article 5)), are transferred to the IRS, as their transfer is not, in certain circumstances, capable of achieving the intended purpose (without prejudice to the considerations expressed by the Contentious Chamber regarding the purpose).

237. Given the primacy in law of this case law of the CJEU98 concerning the principle of proportionality, the Contentious Chamber can only note that the opinions of the CPVP, the deliberation of the CSAF, the deliberations of the CNIL, or the decision of the French Council of State of July 19, 2019, could not support the defendant's conviction that the "FATCA" agreement was indeed compliant with EU law applicable on May 24, 2016. The defendant cannot invoke them since their conclusions, particularly on proportionality, are contrary to what the CJEU expects in terms of respect for this principle. This also applies to the ruling of the Constitutional Court of March 9, 2017, on which the defendant particularly relies. In this regard, the Contentious Chamber notes that, in any event, this ruling could not support the defendant's conviction that the "FATCA" agreement and the Law of December 16, 2015, comply with EU law applicable on May 24, 2016. Given the matter that the Court had to consider99, the Contentious Chamber believes that it cannot be inferred that by concluding as it did that the interference satisfied the conditions of Article 8 § 2 of the ECHR - without ruling on Article 8 of the Charter of Fundamental Rights while it was referenced in the matter100 - the Constitutional Court would also have concluded on the compliance not only of the Law of December 15, 2016, but also of the "FATCA" agreement with both Directive 95/46/EC in a comprehensive manner and with the Charter of Fundamental Rights of the EU.

98 See, for example, regarding this primacy: CJEU, judgment of September 14, 2017, C-628/75, The Trustees of the BT Pension Scheme and the cited references: ECLI:EU:C:2017:687
99 In its judgment of March 9, 2017, the Constitutional Court notably responds to a 5th plea "based on the violation of Article 12 of the contested law (namely the Law of December 16, 2015), Article 8 of the European Convention on Human Rights, Articles 7, 8, and 52 of the Charter of Fundamental Rights of the European Union, as well as Article 4, paragraph 3 of the law of December 8, 1992, relating to the protection of privacy in regard to the processing of personal data." In this regard, Article 4.1 paragraph 3 reads as follows: "Personal data must be adequate, relevant, and not excessive in relation to the purposes for which they are obtained and for which they are subsequently processed."
100 Regarding the examination in light of the Charter of Fundamental Rights of the EU, the Contentious Chamber finds no trace of it in the ruling. However, Article 8 of the Charter of Fundamental Rights of the EU offers broader protection than that of Article 8 of the ECHR, including the principle of purpose (8.2.) as well as the requirement for independent oversight (8.3). Article 52.3 of the Charter of Fundamental Rights states that "insofar as this Charter contains rights corresponding to rights guaranteed by the European Convention for the Protection of Human Rights and Fundamental Freedoms, their meaning and scope shall be the same as those guaranteed by that Convention. This provision shall not prevent Union law from providing more extensive protection."

238. The Contentious Chamber also notes that the Constitutional Court concludes that this argument is unfounded, particularly based on the consideration that "the collection of information allows for the achievement of the objective of the law and is proportionate insofar as the law defines in its annexes the criteria taken into account to determine which data must be communicated (point A of Part I of Annex II)." For the Contentious Chamber, the objective of the law does not equate to a purpose of processing, and the listed data are not a criterion (point 236). Regarding the reference to the aforementioned Annex II, it is, as already mentioned, merely an option (points 232-233). The Contentious Chamber is not unaware that the annulment judgments of the Constitutional Court rejecting annulment appeals are binding on the courts concerning the legal questions resolved by these judgments. However, as it has already mentioned, this must yield to the primacy of EU law (including the case law of the CJEU).

II.6.1.4.

Other guarantees for the benefit of the data subjects

239. In addition to the fact that the data processing it provides for must respect the principles of purpose and proportionality already discussed, the FATCA agreement must, to meet the requirement of Article 96 of the GDPR and as provided for in Recital 102, contain a certain number of other guarantees for the benefit of the data subjects. The mere violations of the principles of purpose and proportionality render the transfer under the FATCA agreement and the Law of December 16, 2015

unlawful. Nevertheless, the Contentious Chamber notes, without being exhaustive in this regard, that other required guarantees in the agreement are lacking.
240. In its already cited opinion WP 234, Group 29 identified these guarantees resulting from the application of Directive 95/46/EC concerning automatic data transfers for tax purposes.
241. Thus, in addition to the principles of purpose and proportionality, WP 34 retains the requirement of proportionality in retention periods (Article 6.1 of the opinion). The Contentious Chamber will examine compliance with this principle also from the perspective of the GDPR, and the considerations it expresses in point 259 also apply regarding Directive 95/46/EC, as the GDPR has not modified the requirements of this principle. No retention period is provided, even by reference to relevant parameters, in the FATCA agreement. There is no commitment from the IRS in this regard.

242. WP 234 also retains a requirement of transparency. Information compliant with Articles 10 and 11 of Directive 95/46/EC must be provided in the agreement. Here too, the Contentious Chamber refers to the examination it conducts on this point regarding the GDPR (points 262 et seq.). Even if the information elements required by Directive 95/46/EC are more limited than those required by Article 14 of the GDPR, the "FATCA" agreement contains no guarantees in terms of information, particularly from the IRS.
II.6.1.5.
Conclusion on compliance with EU law applicable as of May 24, 2016
243. In support of the above, the Contentious Chamber is of the opinion that the elements invoked by the defendant in support of the compliance of the "FATCA" agreement with EU law as of May 24, 2016 did not allow it to conclude that it could continue to transfer data to the IRS based on Article 96 of the GDPR. The defendant does not demonstrate that the conditions for the application of Article 96 were and are met, whether the "FATCA" agreement alone, or even with the Law of December 16, 2015, complies with the applicable Union law as of May 24, 2016.
II.6.2. Transfers to the IRS and compliance with the GDPR
II.6.2.1.
Principles
244. It follows from the above developments that the "FATCA" agreement is not, to date, more compliant with the GDPR than it was with EU law before May 24, 2016, regarding the principles of purpose and minimization enshrined in Articles 5.1.b) and 5.1.c) of the GDPR, which translate in the GDPR the principles of purpose and proportionality of Articles 6.1.b) and 6.1.c) of the GDPR. The Contentious Chamber has just concluded that the data transfers carried out under the "FATCA" agreement were neither compliant with Article 6.1.b) nor with Article 6.1.c) of Directive 95/46/EC nor with Articles 8 and 52 of the Charter of Fundamental Rights of the EU (sections II.6.1.3 and II.6.1.4).
245. The transfer of data to the IRS also does not meet the requirements for the regulation of cross-border data flows to third countries such as the United States as required by Chapter V of the GDPR.

101 “Clear and appropriate information should place data subjects in a position to understand what is happening to their personal data and how to exercise their rights, as foreseen by Articles 10 and 11 of the Directive.”

102 By third country, we mean any country that is not a member of the European Economic Area (EEA). The transfer of personal data of the first complainant by the defendant to the IRS is a transfer to a third country within the meaning of the GDPR.

246. As the parties highlight in their respective conclusions, Chapter V of the GDPR organizes a cascading system among different instruments that can be mobilized by a data controller or a processor to transfer personal data to a third country.103 This system follows the framework of data transfer regulations established by Directive 95/46/EC.104 Thus, in the absence of an adequacy decision as defined in Article 45 of the GDPR, the data controller may only transfer personal data to a third country if it has provided appropriate safeguards and on the condition that the data subjects have

enforceable rights and effective legal remedies as defined in Article 46.1 of the GDPR. These appropriate safeguards can take various forms, including that of a legally binding instrument (Article 46.2.a) of the GDPR). Finally, in the absence of an adequacy decision and appropriate safeguards, a transfer of data to a third country may only occur if one of the derogations listed in Article 49 of the GDPR applies. If the requirements of Articles 45 to 49 of the GDPR are not met, the transfer of personal data to a third country outside the EEA is prohibited.

247. It is undisputed that there is no adequacy decision covering the transfer of data from the first complainant (and more broadly from Belgian accidental Americans, whose interests the second complainant defends) to the IRS in the United States, as the "Privacy Shield" decision105 – which was invalidated by the CJEU in the aforementioned "Schrems II" ruling – does not apply to this type of transfer, nor does the adequacy decision of July 10, 2023106, which the parties do not contest.

II.6.2.2.

Application of Articles 46.1 and 46.2.a) of the GDPR

248. It has already been mentioned that, without prejudice to Article 96 of the GDPR which it invokes primarily, the defendant relies in this case on Article 46.2.a) of the GDPR since the transfer of data from the defendant to the IRS is based on a legally binding and enforceable instrument between it and the IRS that does not require any authorization from the DPA, namely the "FATCA" agreement on the one hand and the Law of December 16, 2015 on the other.

249. It follows from Article 46.2.a) of the GDPR that the appropriate safeguards must be included in the legally binding instrument.107 Article 46.2.a) is indeed worded as follows:

103 See Kuner, in Kuner et al. The EU General Data Protection Regulation: A Commentary, OUP 2020, p. 846.

104 For a comparison between Directive 95/46/EC and the GDPR, Kuner, in Kuner et al. The EU General Data Protection Regulation: A Commentary, OUP 2020, p. 758.

105 Commission Implementing Decision (EU) 2016/1250 of July 12, 2016, pursuant to Directive 95/46/EC of the European Parliament and of the Council on the adequacy of the protection provided by the EU-U.S. Privacy Shield, OJ 2016, L 207/1.

106 Commission Implementing Decision (EU) 2023/12795 of July 10, 2023, determining, in accordance with Regulation (EU) 2016/679 of the European Parliament and of the Council, the adequate level of protection for personal data provided by the EU-U.S. Data Protection Framework, OJCE of September 20, 2023, L-231/118.

107 See also the Guidelines 02/2020 of the EDPB already cited, p.21 et seq.

“appropriate safeguards (…) may be provided (…) by a legally binding and enforceable instrument between public authorities or bodies”108. They may be based on a binding national law standard, but the reference to it must be explicit109.

250. Although these appropriate safeguards are not mentioned as such in Article 46 of the GDPR nor in its Recital 108, they must be of a nature to ensure that individuals whose personal data are transferred to a third country benefit from a level of protection that is substantially equivalent to that guaranteed within the EU by the GDPR and that this level of protection is not compromised110.

251. In its Guidelines 02/2020111, the EDPB lists, in support of Article 44 of the GDPR and the case law of the CJEU, particularly the aforementioned Schrems II judgment, the minimum safeguards that must be included in the legally binding instrument (Article 46.2.a of the GDPR).

252. These reinforce those that Article 29 Working Party had outlined in its document WP 234 back in 2015. More than mere recommendations, these are minimum safeguards that must be included in the international agreement in execution of Article 42.a), and it is the defendant's responsibility to demonstrate that they are indeed in place and effective continuously. The EDPB includes therein the enforceable rights and effective remedies required by Article 46.1 of the aforementioned GDPR.

253. These minimum requirements particularly concern (1) the definitions of key concepts, (2) the fundamental principles regarding data protection, (3) the rights of data subjects, (4) the limitation of onward transfer and sharing of data, (5) effective remedies, (6) control mechanisms, and (7) accountability.

254. The Litigation Chamber will not exhaustively examine each of the minimum safeguards that must be provided by the "FATCA" agreement. Indeed, the absence of a certain number of them is sufficient to conclude the illegality of the transfers made on the basis of it.
255. Definition of key concepts (point 2.2. of the EDPB Guidelines): it is essential that the parties agree on the definition of key concepts of processing.

108 It is the Litigation Chamber that emphasizes this.
109 See point 14 of the EDPB Guidelines 02/2020.
110 See in this sense the CJEU judgment of July 16, 2020, C-311/18, Facebook Ireland and Maximilian Schrems (the "Schrems II" judgment), points 92 and 96; EDPB Guidelines 2/2020, points 6 and 12.
111 EDPB, Guidelines 2/2020 of December 15, 2020, on Article 46, paragraph 2, point a), and paragraph 3, point b), of Regulation (EU) 2016/679 for the transfer of personal data between public authorities and bodies established in the EEA and those established outside the EEA: https://www.edpb.europa.eu/system/files/2021-06/edpb_guidelines_202002_art46guidelines_internationaltransferspublicbodies_v2_fr.pdf (point 12).

data provided for by the agreement that binds them and that these concepts are defined therein. Failing this, the effectiveness of any other guarantee could be compromised. The EDPB thus lists the definitions of the following important concepts: "personal data," "processing of personal data," "data controller," "processor," "recipient," and "sensitive data."
256. The Dispute Chamber notes that the "FATCA" agreement contains none of these. While Article 1 of the agreement is exclusively dedicated to definitions (1 letter a) to z) + letter aa) to mm), none relate to the concepts of data protection, whereas the very principle of the agreement is based on a chain of processing of personal data. The agreement refers to "information," which demonstrates the importance of agreeing on what constitutes personal data among these, if applicable. Thus, while of course the defendant is bound by the definitions contained in the GDPR (and the Law of December 16, 2015), this is not the case for the IRS that will receive the data. The agreement also does not mention any American legislation that would define these concepts.
257. Principle of purpose limitation (point 2.3.1 of the EDPB Guidelines): on this point, the Dispute Chamber refers to the conclusions it has issued under Title II.6.1.3 above. Furthermore, the "FATCA" agreement does not contain the type of data processing that is transferred and processed under the agreement.
258. Principle of minimization and accuracy (point 2.3.2 of the EDPB Guidelines): regarding compliance with the principle of minimization, the Dispute Chamber refers to its conclusions above (Title II.6.1.4).

112 Point 16 of the EDPB Guidelines 02/2020.
113 See page 6 of WP 234 and point 18 of the EDPB Guidelines 02/2020: the international agreement must delineate its scope and specify the purposes for which personal data is processed (transferred), including compatible purposes for subsequent processing and ensure that the data will not be subjected to further processing for incompatible purposes.
114 See Title 2.1 of the EDPB Guidelines 02/2020.
115 See page 6 of WP 234 and points 21 et seq. of the EDPB Guidelines 02/2020. The categories of personal data that are transferred and processed under the agreement must be clearly mentioned in the international agreement, while ensuring that this mention only concerns data that is adequate, relevant, and limited to what is necessary in relation to the purposes for which they are transmitted and subsequently processed. In practice, compliance with this principle leads to preventing the transfer of inadequate or excessive data. Moreover, the transferred data should be accurate and up to date with regard to the purposes for which they are processed. It is therefore important that the international agreement provides that the party making the transfer ensures that the data transferred under the agreement is accurate and, where applicable, up to date.
116 Furthermore, the agreement should provide that if either party learns that inaccurate or outdated data has been transmitted or is being processed, that party must inform the other party without delay.

Finally, the agreement should ensure that when it is confirmed that the transmitted or processed data is inaccurate, each party processing the data will take all reasonable measures to rectify or delete said data.

259. Principle of limitation of data retention (point 2.3.3 of the EDPB Guidelines)117 118:
The Dispute Chamber notes that the "FATCA" agreement contains no commitment regarding the limited retention of data processed and transferred under the agreement, nor does it specify a maximum retention period. Indeed, as the defendant highlights in its conclusions, the Law of December 16, 2015, provides for a retention period of 7 years on its part (Article 15.3 of said law). This period established by Belgian legislation only binds the defendant. This does not demonstrate that the IRS would also be required to have a proportionate retention period for the transferred data. However, the data must remain protected once in the United States, which the defendant must, as mentioned, ensure. In its conclusions, the defendant presents a table listing several retention periods applicable to the IRS, which it itself qualifies as "guidelines," including a period for which it indicates that it is "generally" 5 years (point 66 of the defendant's second supplementary and summary conclusions). Aside from the fact that nothing is stated in the agreement itself, the Dispute Chamber is unable to assess the proportionality of these periods in relation to the purposes of the processing.

260. Rights of the data subjects119: In accordance with Article 46.1 of the GDPR and Recital 108, the international agreement must guarantee enforceable and effective rights for the data subject. This implies that the agreement should include all the rights that data subjects benefit from, including specific commitments made by the Parties to guarantee these rights. For these rights to be effective, the international agreement must provide mechanisms that ensure their practical application. Furthermore, any violation of the rights of the data subject must be accompanied by an appropriate remedy.120

117 See pages 6 and 7 of WP 234 and point 24 of the EDPB Guidelines 02/2020: the international agreement must contain a clause regarding data retention. This clause must specify that personal data is retained in a form that allows identification of data subjects only for as long as necessary for the purposes for which it was transferred and subsequently processed. When a maximum retention period is not set in the national legislation of the parties, a maximum period should be established in the text of the agreement.

118 On the importance of setting a compliant retention period, see Opinion 2/2015 issued by the European Data Protection Supervisor (EDPS) regarding the agreement between the EU and Switzerland on the automatic exchange of tax information: "The indication of an explicit duration for the retention of personal data collected and exchanged would have ensured that the data is retained for the strictly necessary duration to pursue legitimate political objectives and, once that is done, that it is deleted, thereby fully restoring individual rights. If this is not the case, the large-scale and continuous exchange of tax information concerning the citizen would lead to vast archives that are difficult to control and could be detrimental to citizens."
https://www.edps.europa.eu/sites/default/files/publication/15-07-08 eu switzerland exsum fr.pdf and https://www.edps.europa.eu/sites/default/files/publication/15-07-08 eu switzerland fr.pdf

119 See page 7 of WP 234 and title 2.4, points 27 and following of the EDPB Guidelines 02/2020.

120 In this regard, the EDPB details that the international agreement must clearly describe the obligations of the parties regarding transparency (title 2.4.1 of the EDPB guidelines). The agreement must also guarantee the data subject the right to obtain information about all personal data that is processed and to have access to it. Finally, the agreement must include a clause stating that the receiving body will not make automated individual decisions, including profiling, producing legal effects concerning the data subject or significantly affecting them solely based on automated processing within the meaning of Article 22 of the GDPR. When the purpose of the transfer includes the possibility for the receiving body to make such decisions, the conditions for such decision-making must be defined in the agreement and comply with Article 22. 2-4 of the GDPR.

261. The Dispute Chamber notes that the "FATCA" agreement does not mention the rights of the data

subject, whether it be the right to information, the right of access, the right to rectification, the right to erasure, the right to restriction, or the right to object. It also does not provide any indication of when these rights can be invoked and the modalities for exercising them.
262. Regarding the right to information, which is absent from the FATCA agreement, the defendant cannot argue that this obligation to inform arises from the Law of December 16, 2015, or from the GDPR, since precisely, its position is that it is exempt from this information as it would solely pertain to the banks (see Title II.6.3). However, the minimum guarantee required by Article 46.2.a) of the GDPR is formulated as follows: "the public body transferring (here the defendant) the data should inform the data subjects individually in accordance with the notification requirements set out in Articles 13 and 14 of the GDPR," specifying in this regard "that a general information notice on the website of the public body in question will not be sufficient."
263. An obligation to inform should also rest on the IRS to whom the data is transferred in execution of the agreement. In this regard, the defendant does not demonstrate that this requirement is met, and as indicated, this duty to inform does not arise from the agreement.
264. As for the other rights, the Dispute Chamber can only note that they are not included in the agreement nor do they arise from the texts to which the agreement refers. The Dispute Chamber notes that the complainants emphasize that the IRS website, which does address the "FATCA" agreement, does not contain information regarding these rights. Regarding the right of access (a pillar of data protection law), the international agreement should specify that individuals have the right to request the recipient public body to confirm whether personal data concerning them is being processed and, if so, to access that data as well as specific information regarding the processing, including the purpose, categories of data, recipients of the data, retention periods, and avenues for redress. This is not the case.
265. With regard specifically to the required reference to Article 22 of the GDPR, the defendant argues that it does not carry out processing that falls under this provision. This circumstance, even if verified, is irrelevant. Indeed, what is required as a guarantee in the agreement is the commitment of the Parties, including the data recipient (i.e., the IRS), not to carry out such types of processing, hence the importance, as mentioned, of identifying the types of processing as indicated in point 257. This guarantee is not provided by the agreement.

266. The rights of the data subjects are neither enshrined nor do they arise from the "FATCA" agreement - it does not satisfy Article 46.1.a) of the GDPR which, as a reminder, requires "that data subjects have enforceable rights and effective legal remedies." The defendant remains unable to demonstrate that these rights are indeed enforceable and effective.
267. Regarding legal remedies: to ensure these enforceable and effective rights, the agreement must provide a system that allows data subjects to continue to benefit from remedy mechanisms after their data has been transferred to a country outside the EEA. These remedy mechanisms must allow data subjects whose rights have been violated to file a complaint and have it adjudicated.
268. The Dispute Chamber can only note on this point that the defendant does not demonstrate that such remedy mechanisms exist for the data subjects affected by the reported processing once the data has been transferred, including Belgian accidental Americans.
269. Control mechanism: to ensure that all obligations created under the international agreement are respected, the agreement must provide for independent oversight to verify that it is applied correctly and to monitor violations of the rights provided in this agreement. The Dispute Chamber notes that no evidence is provided by the defendant on this point other than the reference to a Peer Review system (response to question 2 of the SI – supplementary investigation report) which does not present the required guarantees. Such a mechanism does not arise from the agreement.

II.6.2.3.

Conclusion

270. Under "Sufficient Guarantees" as per its terms, the defendant relies on the opinions of the CPVP, the authorization of the CSAF, and the ruling of the Constitutional Court of March 9, 2017, which the Dispute Chamber has already dismissed during the discussion regarding the principles of purpose and

proportionality. These defenses are therefore not capable of challenging the Dispute Chamber's finding that many of the guarantees required by Article 46.2.a) of the GDPR are lacking since these guarantees specifically include compliance with the principle of proportionality on the one hand and it has not been demonstrated that the condition of Article 46.1 of the GDPR (effective and enforceable rights with legal remedies) is satisfied.

271. As highlighted by the SI (page 3/22 of its supplementary report), Article 3.7 of the "FATCA" agreement refers to confidentiality obligations and other guarantees provided by the

121 Points 50 and following of the Guidelines 02/2020 of the EDPB.

122 Points 56 and following of the Guidelines 02/2020 of the EDPB.

OECD Convention (Articles 21 and 22). The SI further notes that Article 3.8 of the "FATCA" agreement provides that each competent authority shall notify the other in writing when it is convinced that the latter has established appropriate safeguards (page 3/22 of the supplementary investigation report of the SI).

272. The defendant has indeed produced the document titled "Notification of adequacy of Datasafeguards and infrastructure" signed by both herself and the IRS, respectively on January 10, 2017, for the defendant and on January 24, 2017, for the IRS. The said notification reads as follows: "This constitutes the notification required by Article 3.8 of the agreement between the Government of the United States of America and the Kingdom of Belgium to enhance compliance with international tax obligations and to implement FATCA (the "Agreement") and, once signed, will serve to inform the other party that our respective jurisdictions have established (i) appropriate safeguards to ensure that the information received under the Agreement will remain confidential and will only be used for tax purposes and (ii) the necessary infrastructure for an effective exchange relationship including established processes to ensure timely, accurate, and confidential information exchanges, reliable and effective communications, and demonstrated capabilities to quickly resolve issues and concerns regarding exchanges or requests for exchanges and to administer the provisions of Article 5 of the Agreement" (Free Translation).

273. The Litigation Chamber notes that this notification is dated 2017 and that no indication has been given to the Litigation Chamber that the commitments made under this notification, which is over 8 years old, are being maintained and updated. But above all, the content of this notification does not attest to safeguards equivalent to those required by Article 46.1 and Article 46.2 a) of the GDPR. Thus, regarding compliance with purpose, the Litigation Chamber has in any case contested the sufficiently specific and determined nature of the "tax purposes" referred to in the text and for which the data could be processed once transferred (this being specified by Article 17 of the Law of December 16, 2015). The "confidentiality" (in addition to not being further specified in what it covers), the commitments made regarding "infrastructure" as well as the reference to Article 5 of the agreement, if they refer to commitments regarding security123, do not concern the safeguards that the Litigation Chamber has found to be lacking in the "FATCA" agreement, such as data retention limitations, recognition of rights, remedies, or a control mechanism.

123 See in this regard Opinion 51/2024 of the APD already cited in footnote 67.

The "Competent Authority Arrangement" mentioned in the SI as well as the Data Safeguard Workbook (also mentioned in the SI regarding the pre-analysis referred to in Title II.6.4 and which it itself indicates relates to security) linked to this Article 3.8 do not alter the view of the Contentious Chamber. They indeed implement precisely - without their binding status being attested - Article 3.8, the content of which is deemed insufficiently aligned with the guarantees required by Articles 46.1 and 46.2 a) of the GDPR.

274. In conclusion, the Contentious Chamber notes in support of the above, as the Slovak data protection authority similarly did before it, that the defendant does not demonstrate that the appropriate safeguards required by Article 46.2 a) of the GDPR (as well as by Article 46.1) that it invokes are provided by the "FATCA" agreement. Consequently, the Contentious Chamber finds a violation of Articles 46.1 and 46.2 a) on the part of the defendant.

II.6.2.4.
Regarding Article 49 of the GDPR
275. The Contentious Chamber notes that in its decision of October 4, 2021, the defendant relied on Article 49.1 d) of the GDPR (point 18). In the context of the present procedure, however, it invokes Article 46.2 a) of the GDPR. Thus, while initially it invoked the exception of Article 49.1 d) of the GDPR, which presupposes the absence of safeguards as outlined above regarding the cascading system of the GDPR, the defendant subsequently invokes Article 46.2 a) of the GDPR and argues that the required appropriate safeguards are all in place. It ultimately concludes that, in reality, Article 49.1 d) of the GDPR cannot apply in this case (point 50 of the defendant's second summary conclusions).
276. As necessary, the Contentious Chamber dismisses the application of Article 49.1 d) of the GDPR in this case. It recalls that this derogation - necessarily subject to restrictive interpretation - applies only when transfers are authorized for reasons of significant public interest in a spirit of reciprocity, which transfers, however, cannot take place on a large scale and systematically as is the case here. It is indeed essential to respect the general principle that derogations under Article 49.1 d) cannot become "the rule" in practice but must be limited to specific cases.

124 Opinion of the Office for Personal Data Protection of the Slovak Republic dated August 23, 2022, addressed to the Ministry of Finance of the Slovak Republic (unofficial translation into French). This opinion follows the request for an assessment of compliance with the GDPR of international agreements on the exchange of tax information made by the EDPB in its statement 04/2021. The Slovak DPA concludes in this regard that concerning the transfer to U.S. authorities, the conditions of Chapter V of the GDPR are not met. The appropriate safeguards as set out by the EDPB in its Guidelines 02/2020 are not provided in the FATCA agreement as required by Article 46.2 a) of the GDPR.

Special Situations
125. Each data exporter must also ensure that the transfer meets the strict necessity/minimization test. The Contentious Chamber concluded under II.6.1.3 that the transfer to the IRS by the defendant did not pass this test.

II.6.3. Regarding compliance with the information obligation
277. For the reasons set out in point 160 above and resulting from the finding made in point 242, the Contentious Chamber considers that Article 14 of the GDPR applies to the defendant independently of Article 96 of the GDPR.
278. In this case, concerning personal data that it did not obtain directly from the first complainant - since it obtains them from financial institutions (this is referred to as indirect collection) - the defendant, as the data controller, must comply with Article 14 of the GDPR, unless it can invoke an exception, combined with the requirements of Article 12 of the GDPR regarding the transfer of personal data to the IRS.
279. The information to be provided pursuant to Article 14 of the GDPR is as follows 126: the identity and contact details of the data controller and, where applicable, of its representative (Article 14.1.a)); where applicable, the contact details of the data protection officer (DPO) (Article 14.1.b)); the purposes of the processing for which the personal data are intended as well as the legal basis for the processing (Article 14.1.c)); the categories of personal data concerned (Article 14.1.d)); where applicable, the recipients or categories of recipients of the personal data (Article 14.1.e)); where applicable, the fact that the data controller intends to carry out a transfer of personal data to a recipient in a third country or an international organization, and the existence or absence of an adequacy decision made by the [European] Commission or in the case of transfers referred to in Article 46 or 47, or Article 49, paragraph 1, second subparagraph, the reference to appropriate or suitable safeguards and the means to obtain a copy or the location where they have been made available (Article 14.1.f)); the duration for which the personal data will be retained or, when that is not possible, the criteria used to determine that duration (Article 14.2.a)); when the processing is based on Article 6.1.f), the legitimate interests pursued by the data controller or by a third party (Article 14.2.b));

125 EDPB, Guidelines 2/2018 of May 25, 2018, on the derogations provided for in Article 49 of Regulation (EU) 2016/679:
https://www.edpb.europa.eu/sites/default/files/files/file1/edpb_guidelines_2_2018_derogations_fr.pdf
126 Data protection authorities have agreed that all information under Article 14 of the GDPR, whether required by its §1 or §2, must be communicated to the data subject when relevant to the processing carried out. Article 29 Working Party, Guidelines on Transparency under Regulation (EU) 2016/679, WP 260 (point 23): https://ec.europa.eu/newsroom/article29/items/622227 These Guidelines were endorsed by the EDPB during its inaugural meeting on May 25, 2018:
https://edpb.europa.eu/sites/default/files/files/news/endorsement_of_wp29_documents.pdf

the existence of the right to request the data controller access to personal data, the rectification or erasure of such data, or a limitation of processing concerning the data subject, as well as the right to object to processing and the right to data portability (Article 14.2.c)); when processing is based on Article 6.1.a) or Article 9.2.a), the existence of the right to withdraw consent at any time, without affecting the lawfulness of processing based on consent before its withdrawal (Article 14.2.d)); the right to lodge a complaint with a supervisory authority (Article 14.2.e)); the source from which the personal data originates and, where applicable, a mention indicating whether it originates from publicly accessible sources (Article 14.2.f)); and the existence of automated decision-making, including profiling, referred to in Articles 22.1 and 22.4, and at least in such cases, useful information regarding the underlying logic, as well as the significance and the expected consequences of such processing for the data subject (Article 14.2.g)).
280. In support of Article 14.1 of the Law of December 16, 2015, the defendant concludes that it was legally the banks' responsibility to inform the first complainant and not hers. She indicates that in this case, Bank Z has also informed the latter. The defendant adds that notwithstanding the absence of an obligation on her part, she nonetheless informs the data subjects of transfers to the IRS through her website.
281. The Dispute Chamber is of the opinion that the obligation to inform on the part of the banks does not ipso facto exempt the defendant from her obligation regarding the processing she carries out in her capacity as data controller, particularly the transfer of data to the IRS. Indeed, even if Bank Z is legally required to inform the first complainant in accordance with Article 14.1 of the Law of December 16, 2015, Z was not required to provide all the elements that the defendant must communicate regarding her own processing.
282. The exemption from information provided for in Article 14.5.a) of the GDPR, according to which the controller must inform the data subject "unless and to the extent that" they already have that information, must also apply within the strict limits of the text. It goes without saying that Article 14.5.a) of the GDPR can only be invoked if the information has already been provided regarding the same processing concerned.

127 Article 14.1 of the Law of December 16, 2015 imposes on reporting institutions (i.e., banks) the obligation to inform the data subjects "that the information referred to by the law will be communicated to the competent Belgian authority."
128 This exemption may, in this sense, only apply to certain elements of information. This results from the unequivocal use of the terms "to the extent that" ... Group 29, Guidelines on Transparency under Regulation EU 2016/679, WP 260 (point 56): https://ec.europa.eu/newsroom/article29/items/622227 These Guidelines were endorsed by the EDPB during its inaugural session on May 25, 2018:
https://edpb.europa.eu/sites/default/files/files/news/endorsement_of_wp29_documents.pdf

283. In order to rely on Article 14.5.a) of the GDPR, the defendant must demonstrate that the banks inform about the elements of their own processing, namely the transfer to the IRS, and that all relevant elements of Article 14 of the GDPR regarding this processing are covered (a priori only the elements of Article 14.2.b) and 14.2.d) are automatically excluded).
284. In this regard, the Contentious Chamber notes that Article 14.1 of the Law of December 16, 2015 does not provide for all the elements required by Article 14.1-2 of the GDPR. The elements listed in

Article 14.1 of the Law of December 16, 2015 are relatively limited: a) the purposes of the communication of personal data, b) the ultimate recipient(s) of the personal data, c) the reportable accounts for which the personal data are communicated, d) the existence of a right to obtain, upon request, communication of the specific data that will be or have been communicated regarding a reportable account and the modalities for exercising this right, and e) the existence of a right to rectify the personal data concerning them and the modalities for exercising this right.
285. The defendant's argument that it is solely the banks' responsibility to inform (even if their obligation arises from the Law of December 16, 2015) cannot therefore be upheld.
286. Regarding the information provided in this case to the complainant, the Contentious Chamber notes, based on the submitted documents, that certain information has indeed been provided to the complainant (points 11-13) but does not cover everything required by Article 14.1-2 of the GDPR concerning the transfer to the IRS. Thus, the safeguards surrounding the transfer to the IRS are not mentioned by Bank Z (Article 14.1.f) of the GDPR), nor are the contact details of the defendant's DPO (Article 14.1.b)), the right to lodge a complaint with the DPA (Article 14.2.e), or the modalities for exercising or the limits of the right of access (Article 14.2.c)). The Contentious Chamber also notes that one of the letters refers for more information to the SPF Finances, which is in total contradiction with the defendant's position that it is solely the banks' responsibility to inform (point 11) and demonstrates the certainly limited but nonetheless certain role of the defendant and, in any case, based on complaints from the concerned individuals, the duty to ensure that the banks comply with their information obligations.
287. Article 14.5.c) of the GDPR (which the complainants reject the applicability of without it being invoked by the defendant) also provides that the information elements listed in paragraphs 1 and 2 do not need to be provided to the data subject when "the obtaining or communication of the information is expressly provided for by Union law or the law of the Member State to which the controller is subject and which provides for appropriate measures to protect the legitimate interests of the data subject."

288. In the judgment "Mäsdi" C-169/23 of November 28, 2024, the CJEU clarified and ruled that it is indeed the obtaining and communication of data that must be provided for by national law (and not the information listed in Article 14.1-2), notwithstanding the wording of the French version of Article 14.5.c) of the GDPR.[129]
289. The Litigation Chamber is of the opinion that Article 14.5.c) of the GDPR does not apply in this case, as the conditions for its application are not met, even if the processing is provided for by the "FATCA" agreement and the Law of December 16, 2015. This exception in Article 14.5.c) of the GDPR can indeed only be invoked if appropriate measures aimed at protecting the legitimate interests of the data subjects are provided for by the said regulation, which is not demonstrated by the defendant. While the latter does not invoke this provision, it also does not respond to the complainants' argument that this exception would not apply in any case.
290. No exemption from information being applicable, the Litigation Chamber will examine to what extent the defendant fully fulfills its information obligation as it claims to do via its website without even being obliged to do so through "more theoretical explanations, news, links to relevant documents, and a FAQ" (point 68 of its second supplementary and summary conclusions). The Litigation Chamber adds that in accordance with Article 12.1 of the GDPR, this information must be concise, transparent, understandable, and easily accessible, formulated in clear and simple terms. Without prejudice to the observation it will make in this regard, the Litigation Chamber emphasizes that this is all the more the case if, as it states, the defendant does not have the identity of the concerned Americans to provide them with individual information. The Litigation Chamber recalls that the EDPB requests individualized information (see above).[130]
291. The Litigation Chamber was thus able to note the following:
292. https://finances.belgium.be/fr/E-services/fatca[131]: this is a general page that describes the principle of the "FATCA" agreement in general terms as below and also includes a number of technical news items:

129 See ECLI:EU:C:2024:988, points 40 to 43:

https://eur-lex.europa.eu/legal-content/FR/TXT/PDF/?uri=CELEX:62023CJ0169.
There is indeed a language difference between the French version and, for example, the Dutch version of this provision. Indeed, while the French version of Article 14.5.c) mentions "when and to the extent that the obtaining or communication of the information is expressly provided for by Union law or the law of the Member State," the Dutch version retains the following terms: "wanneer en voor zover het verkrijgen of verstrekken van de gegevens129 uitdrukkelijk is voorgeschreven bij Unierecht of lidstaatelijk recht."
130 The Litigation Chamber is of the opinion that this individualized information can take the form of an explicit reference to the SPF Finances website through the individual information that financial institutions must provide to the data subjects.
131 Consultation of the website by the Litigation Chamber on April 23, 2025.

293. https://financien.belgium.be/fr/E-services/fatca/creation de fichiers xml fatca132: this is the "creation of FATCA XML files" page that details how FATCA XML files must be formatted according to the XSD schema defined by the American tax administration (IRS). The page is therefore addressed to financial institutions (banks) and refers to various user guides and IRS pages exclusively in English. Only the note regarding the correction process and the usage note exist in French, for example.

294. https://financien.belgium.be/fr/E-services/fatca/envoi de fichiers fatca xml133: this is the page that describes the process of sending files to the defendant and is therefore also addressed to financial institutions.

132 Same
133 Same

295. https://financien.belgium.be/fr/E-services/fatca/faq et documentation135: this section "FAQ and documentation" contains a list of numerous links referring to various relevant documents in the context of transfer or taxation by foreign tax authorities (not exclusively "FATCA"), largely in English.

296. https://financien.belgium.be/fr/E-services/fatca/faq et documentation/faq/generalites136: As an example, the General FAQ refers to a number of questions (cited in the conclusions by the defendant, as contributing to the realization of its information obligation).

297. The Litigation Chamber notes that the elements of the defendant's website do indeed provide information about the "FATCA" agreement, in particular, about the obligations imposed on Belgian banks and how they should provide the data to the defendant, which in turn will transmit it to the IRS. This information is both general and technical and is addressed for a substantial part to financial institutions and not directly to the potentially concerned citizen. Many documents are also only available in English.
298. In support of the preceding paragraphs, the Litigation Chamber observes that this information does not meet the information that must be actively provided to the individuals.

134 Same
135 Same
136 Same

concerning the meaning of Article 14.1-2 of the GDPR. The Contentious Chamber considers this to be a particularly serious breach, as the right to information is a cornerstone of data protection law. Without information, the data subject is unable to be aware of the processing of their data. Furthermore, they are deprived of the ability to exercise control over their data as permitted by the GDPR through the exercise of rights of which they are neither informed of the existence nor the modalities of exercise (see Article 14.2 e) and 14.2 c) of the GDPR).
299. Moreover, the various elements of information, whether contained in one document or another, are not easily accessible and even less comprehensible for the data subjects as required by Article

12.1 of the GDPR.
300. These findings of the Contentious Chamber align with those, as highlighted by the SI, made as early as 2016 by the CSAF in its deliberation 52/2016:

301. In conclusion of the above, the Contentious Chamber finds a breach of Articles 14.1 and 14.2, combined with Article 12.1 of the GDPR on the part of the defendant, both because it did not inform the first complainant regarding the transfer of their personal data to the IRS and due to the insufficient information it provides to the data subjects, including the accidental Belgian Americans represented by the defendant.
II.6.4. Regarding the breach of the obligation to carry out a DPIA
302. For the reasons set out in point 160 above, the Contentious Chamber considers that Article 35 of the GDPR applies to the defendant regardless of Article 96 of the GDPR, without prejudice to the fact that as early as 2015, Group 29 recommended the carrying out of a DPIA regarding data processing involved in the automatic exchange of data for tax purposes137.

137 See document WP 234 from Group 29 already cited: “Each Member State should consider implementing an agreed Privacy Impact Assessment aiming to ensure that the data protection safeguards are adequately addressed, and a consistent standard is applied for the tax cooperation agreements by all EU countries” (Free translation: Each Member State should consider implementing a privacy impact assessment to ensure that data protection safeguards are adequately addressed and that a consistent standard is applied to tax cooperation agreements by all EU countries).
138 Article 35.3 of the GDPR provides that a DPIA is required in the following three cases: (a) the systematic and thorough evaluation of personal aspects concerning natural persons, which is based on automated processing, including profiling, and on the basis of which decisions are made producing legal effects concerning a natural person or similarly significantly affecting them, (b) the large-scale processing of special categories of data referred to in Article 9.1 or personal data relating to criminal convictions and offenses referred to in Article 10, and (c) the systematic large-scale monitoring of a publicly accessible area.
139 The list of processing operations that, according to the DPA, require a DPIA under Article 35.4 of the GDPR can be found here:
https://www.autoriteprotectiondonnees.be/publications/decision-n-01-2019-du-16-janvier-2019.pdf

303. When the data controller carries out one of the processing operations listed in Article 35.3 of the GDPR138, it is required to carry out a DPIA. The same applies when the proposed processing is included in the list of processing operations requiring a DPIA adopted by the DPA in execution of Article 35.4 of the GDPR139. The processing operations referred to in the complaint are not covered by these two paragraphs of Article 35.
304. This exclusion does not exempt the data controller from verifying whether it is subject to the conditions of application of Article 35.1 of the GDPR, which provides that “where a type of processing, in particular using new technologies, and taking into account the nature, scope, context, and purposes of the processing, is likely to result in a high risk to the rights and freedoms of natural persons, the controller shall, prior to the processing, carry out an assessment of the impact of the envisaged processing operations on the protection of personal data. A single assessment may address a set of similar processing operations that present similar high risks.”
305. This obligation must be understood in the context of the general obligation of the data controller to appropriately manage the risks presented by the personal data processing it carries out. It thus falls within its accountability obligation (Articles 5.2 and 24 of the GDPR).
306. The defendant was therefore required to examine whether the transfer to the IRS necessitated the carrying out of a DPIA or not, starting from May 25, 2016, to be in compliance no later than May 25, 2018, and then to remain vigilant to any changes—factual or legal framework—that would necessitate a reassessment of the risks.
307. In this regard, the defendant specifies in its defense that when questioned about this by the SI on June 30, 2021, its DPO responded that based on a preliminary impact assessment, it was concluded that a DPIA was not necessary given the fact:

- That the law had incorporated the remarks made by the CPVP in the two opinions issued on the draft law;

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That the CSAF had issued a deliberation authorizing the transmission of data to the American tax administration and that the conditions of this deliberation have been implemented;
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That the processing complies with the requirements of the AEOI standard regarding confidentiality and data protection, as well as the defendant's information security policies based on the ISO27001 standard: the transmission of information is doubly protected, at the level of encrypted and signed files and at the level of the channel through which the information is communicated (secure MyMinfin platform for data transmission by Belgian banks and secure IDES platform for transmission to the IRS);
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That the American authorities are also required to provide the necessary security measures so that the information remains confidential and is stored in a secure environment, as provided by the "FATCA" Data Safeguard Workbook.

308. The SI did not issue any considerations regarding this response, limiting itself in its supplementary investigation report to reproducing the response of the defendant's DPO. In its conclusion, the SI does not specifically mention the DPIA provided for by the GDPR, concluding generally on the presence of safeguards concerning the protection of transferred data and on the reciprocity of exchanges.

309. As for the complainants, they believe that a DPIA should have been conducted.

310. The Contentious Chamber notes from the outset that the defendant's DPO does not specify the date on which this pre-analysis was conducted. While the SI explicitly requested that this analysis be communicated to it during the investigation, the defendant has refrained from doing so thus far. This pre-analysis is not included in the file, and the defendant therefore fails to provide evidence that it was conducted during the period in question.

311. The Contentious Chamber considers in any case that the defendant's argumentation based on this pre-analysis cannot be followed for the reasons that follow.

312. The Contentious Chamber recalls Article 35.10 of the GDPR, which provides that "when the processing carried out under Article 1, point c) or e), has a legal basis in Union law or in the law of the Member State to which the controller is subject, that law regulates the specific processing operation or the entire set of processing operations in question and a data protection impact assessment has already been carried out as part of a general impact assessment conducted in the context of the adoption of the legal basis in question, paragraphs 1 to 7 do not...

do not apply, unless Member States consider it necessary to conduct such an analysis prior to processing activities.140

313. In this regard, the Belgian legislator has provided in Article 23 of the LTD that even if an impact assessment has been conducted in the context of adopting the legal basis that underpins the legality of the processing (Article 6.1. c) or Article 6.1. e) of the GDPR), the data controller is not exempt from conducting a DPIA within the meaning of Article 35.1. of the GDPR when its conditions for application are met.

314. The Belgian legislator has thus expressly stipulated that the DPIA conducted in the context of parliamentary work does not exempt the data controller from conducting a DPIA within the meaning of Article 35 of the GDPR before the operationalization of the concerned processing activities.141 The opinions issued by the CPVP and the authorization of the CSAF regarding compliance with Directive 95/46/EC are not relevant for the purposes of a DPIA under Article 35.10 of the GDPR. It would, in any case, be contrary to Article 23 of the LTD, read in light of Article 35.10 of the GDPR, to accept that a pre-analysis based on these texts could conclude that the data controller is not required to conduct a DPIA, and thus be accepted as an exemption. The Contentious Chamber finally refers to its conclusions regarding these opinions and deliberations (Title II.6).

315. The fact that the pre-analysis also relies on the existence of other standards is not more relevant.

By themselves, these standards, which primarily guarantee a certain level of security, are not sufficient, as will be demonstrated below, to exempt the defendant.
316. The Contentious Chamber is indeed of the opinion that the transfer of data to the IRS is a processing operation likely to pose a high risk to the rights and freedoms of the individuals concerned within the meaning of Article 35.1. of the GDPR for which a DPIA was necessary.

140 It is the Contentious Chamber that emphasizes this.
141 See the preparatory works of the LTD on Article 23: "It is provided that a data protection impact assessment must be carried out before the implementation of the processing activity, even if an impact assessment has already been conducted during the drafting of the law or regulation that establishes it, in order to ensure an effective and timely analysis when all elements are brought to the attention of the data controller. All elements of the impact assessment are provided for in Article 35 of the Regulation. The assessment must contain at least a systematic description of the processing operations, the purposes, including, where applicable, the legitimate interest pursued, an evaluation of the necessity and proportionality of the processing operations in relation to the purposes, an assessment of the risks to the rights and freedoms of the individuals concerned, the measures envisaged to address the risks, including safeguards, measures, and security mechanisms aimed at ensuring the protection of personal data and demonstrating compliance with the Regulation, taking into account the rights and legitimate interests of the individuals concerned and other affected persons. When establishing the legal basis, it is often difficult to see in detail what the practical and technical security measures and mechanisms will be that are most likely to address the risks identified in the analysis. Similarly, when implementing the processing, it may turn out that the measures and mechanisms put in place generate additional risks that had not been taken into account during the initial analysis": https://www.lachambre.be/FLWB/PDF/54/3126/54K3126001.pdf (Chamber of Representatives, Parl. Doc., 54 3126/001, page 48).

317. Several criteria cited in Recital 75 of the GDPR as well as in the EDPB Guidelines on DPIA 142 attest to a potential high risk in this case.
318. Thus, the Contentious Chamber holds:
- The “systematic monitoring” 143 in that the data concerned are, except for the “exception” related to the “reportable” threshold of bank accounts, systematically transferred annually to the IRS regardless of whether there is any indication of tax evasion, in particular (Title II.6.1.3);
- The data transferred to the IRS are financial data that fall into the category of “highly personal data” 144 as defined in the aforementioned Guidelines;
- The data are processed “on a large scale” 145 in that they concern, in principle, except for limited exceptions, the data of all individuals of American nationality holding bank accounts in Belgium. The scope of the obligation and its recurrence, even annually, play a role here in assessing the “large scale” nature of the processing, alongside the number of individuals concerned and the volume of data transferred (see also Title II.6.1.3);
- The individuals concerned can be classified as “vulnerable persons” (Recital 75) insofar as an imbalance in their relationship with the defendant can be identified, and even more so with the IRS, the recipient of the data. This imbalance arises not only from the fact that this transfer is imposed on the individuals concerned without their ability to oppose it but also from the complexity of the legal framework, including the existence of potential remedies for the exercise of their rights;

142 Article 29 Working Party, Guidelines on Data Protection Impact Assessment (DPIA) and how to determine whether processing is “likely to result in a high risk” for the purposes of Regulation (EU) 2016/679, WP 248: https://ec.europa.eu/newsroom/article29/items/611236. The EDPB adopted these guidelines on May 25, 2018, as per the decision you will find here: https://edpb.europa.eu/sites/default/files/files/news/endorsement_of_wp29_documents.pdf
143 The EDPB Guidelines on DPIA define monitoring as data processing used to observe, monitor, or control the individuals concerned, including data collection via networks, for example. “Monitoring” is therefore not limited to surveillance by cameras, for instance. Furthermore, “systematic” is understood as any monitoring that meets one or more of the following criteria: the monitoring occurs according to a

system; it is prepared, organized, or methodical; it takes place within the framework of a general collection plan; it is carried out within the context of a strategy, which is the case in this instance.
144 The EDPB Guidelines on DPIA specify that beyond Articles 9 and 10 of the GDPR, certain categories of data may be considered as increasing the potential risk to the rights and freedoms of individuals. They are regarded as “sensitive” in the common sense of the term. Financial data fall into this category, especially when their disclosure is intended to combat violations that could be attributed to the individuals concerned.
145 To determine whether processing occurs “on a large scale,” the EDPB recommends in its Guidelines on DPIA to particularly consider the following factors: the number of individuals concerned, the volume of data and/or the range of different data elements processed; the duration or permanence of the processing activity as well as the geographical extent of the processing activity.

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The pursued objective (at least the fight against tax evasion) and the subsequent processing that may take place in the United States entails, according to the Litigation Chamber, a potential "crossing or combination of data sets," another criterion from the aforementioned guidelines.
319. Finally, although this does not constitute one of the 9 criteria listed by the EDPB, the transfer occurs to a third country outside the EEA whose level of data protection is not considered adequate, at least concerning the disputed processing. The defendant cannot ignore this, and this situation requires, according to the Litigation Chamber, particularly rigorous attention and risk assessment.
320. The Litigation Chamber specifies that the EDPB believes that in most cases, the data controller can consider that processing meeting 2 of the 9 criteria listed in its Guidelines requires a DPIA. Generally, the EDPB holds that the more the processing "meets criteria," the more likely it is to present a high risk to the rights and freedoms of the data subjects and consequently to require a DPIA, regardless of the measures the data controller intends to adopt.
321. Combined with one another, the presence of the 5 criteria identified in point 318 reflects a high level of risk from the contested transfer to the IRS. This high level of risk justified, according to the Litigation Chamber, that a DPIA as defined in Article 35.1 be carried out by the defendant, as has been mentioned, recommended since 2015 already (point 302). Furthermore, an assessment by the defendant of the compliance of the "FATCA" agreement with the GDPR would have allowed, if necessary, to alert the Belgian public authorities and initiate a revision of the agreement. This analysis has, by the defendant's own admission, not been carried out for reasons that the Litigation Chamber has rejected in the preceding paragraphs.
322. Therefore, the Litigation Chamber concludes that there has been a breach of Article 35.1 of the GDPR by the defendant concerning the processing denounced by the complainants.
II.6.5. Regarding the breach of Article 20 of the LTD
323. The Litigation Chamber recalls that since the complaint concerned the non-compliance with Article 20 of the LTD, it invited the parties to defend themselves regarding this grievance in its letter of May 30, 2024, "provided that this grievance is maintained by the complainants, who abandoned it during the exchange of conclusions that led to the annulled decision 61/2023 of the Litigation Chamber by the Market Court" (point 76).

324. The Litigation Chamber notes that the parties have not further concluded on this grievance in the context of the resumption of the case leading to the present decision. It observes that the subject of the complaint no longer includes it and does not rule on it.
II.6.6. Regarding the breach of accountability
325. In execution of the principle of accountability, the defendant was required, taking into account the nature, scope, context, and purposes of the processing as well as the risks, the degree of probability and severity of which varies for the rights and freedoms of individuals, to implement appropriate technical and organizational measures to ensure that the processing is carried out in accordance with the GDPR and to be able to demonstrate it (Article 24 of the GDPR).
326. In this case, the nature of the processing, its scope, and its purpose certainly presented risks to

the rights and freedoms of the data subjects (as the Litigation Chamber has demonstrated in section II.6.4 dedicated to the obligation to carry out a DPIA).

327. The Litigation Chamber finds that the defendant did not adequately assess the risks to the rights and freedoms of the first complainant and the accidental American Belgians whose interests are defended by the second complainant, nor adopt appropriate measures to address these risks.

328. The defendant could not completely ignore the repeated calls (some of which were made after the opinions and authorizations it invokes) notably from data protection authorities, including the DPA gathered within Group 29 and then the EDPB, to assess an international agreement such as the "FATCA" agreement in light of the GDPR. While some of these political calls were directed at the Belgian "negotiating" State, which is not a party to this case in that capacity, others, more technical in the form of the guidelines cited in this decision, for example, were addressed directly to data controllers like the defendant.

329. In application of its accountability obligation, the defendant, solely responsible for the flow to the IRS, had to continuously ensure compliance with the various guarantees that should frame the transfer to the IRS, particularly proportionality and information of the data subjects—two aspects on which authorization 52/2016 under conditions from the CSAF insisted—without attempting to absolve itself of these obligations by retreating behind the fact that it would only be a logistical intermediary (even if this results from an international consensus on how to transfer data, as the defendant clarified in the hearing of December 11, 2024)—even though it is.

data controller. Its responsibility cannot indeed be limited to ensuring a secure transfer of data to the IRS.

330. In light of the various breaches identified under sections II.6.2, II.6.3, and II.6.4, the Contentious Chamber finds that the defendant has failed in its accountability obligation. It concludes, in support of the above, that the defendant has violated Articles 5.2 and 24 of the GDPR (accountability) concerning the processing reported by the complainants.

III. Corrective Measures and Sanctions

331. Under Article 100.1 of the LCA, the Contentious Chamber has the power to:

1° dismiss the complaint;
2° order a dismissal;
3° pronounce a suspension of the ruling;
4° propose a settlement;
5° issue warnings or reprimands;
6° order compliance with the requests of the data subject to exercise their rights;
7° order that the concerned party be informed of the security issue;
8° order the freezing, limitation, or temporary or permanent prohibition of processing;
9° order compliance with the processing;
10° order the rectification, restriction, or erasure of data and the notification of such to the data recipients;
11° order the withdrawal of the accreditation of certification bodies;
12° impose penalties;
13° impose administrative fines;
14° order the suspension of cross-border data flows to another State or an international organization;
15° refer the case to the Public Prosecutor's Office of the King of Brussels, which will inform it of the follow-up on the case;
16° decide on a case-by-case basis to publish its decisions on the website of the Data Protection Authority.

332. Based on the case file and following its analysis, the Contentious Chamber concludes that the transfer of personal data of the first complainant by the defendant to the IRS is unlawful, as this transfer occurred in violation of the principles of purpose, minimization, and the rules of Chapter V of the GDPR, particularly Article 46.2.a) of the GDPR. The Contentious Chamber has also demonstrated that this unlawfulness generally affects the transfer of personal data of accidental American citizens defended by the second complainant.

333. In its previously cited Schrems II ruling, the CJEU states that "Article 58(2)(f) and (j) of Regulation 2016/679 must be interpreted as meaning that, unless there is a valid adequacy decision adopted by the European Commission, the competent supervisory authority is required to suspend or prohibit a transfer of data to a third country based on standard data protection clauses adopted by the Commission when that supervisory authority considers, in light of all the circumstances surrounding that transfer, that those clauses are not or cannot be complied with in that third country and that the protection of the transferred data required by Union law, in particular by Articles 45 and 46 of that Regulation and by the Charter of Fundamental Rights, cannot be ensured by other means, unless the data controller or its processor established in the Union has itself suspended the transfer or put an end to it" (paragraph 121 of the ruling).
334. Given that these processes fall within the framework of an international commitment of the Belgian State, the Contentious Chamber does not impose a prohibition but favors, in support of Articles 58.2.d) and 100.1.9° of the LCA, a future compliance, within one year from the date of this decision, by the defendant regarding the transfer of data it operates to the IRS, taking into account all considerations expressed by the Contentious Chamber concerning the principles of purpose, proportionality, and all appropriate safeguards that should frame said transfer.
335. The Contentious Chamber finds that the defendant has committed a violation of Article 14.1-2 combined with Article 12.1 of the GDPR in that the defendant has not sufficiently informed the first complainant and does not sufficiently inform accidental American citizens in Belgium and more generally the individuals concerned by the data processing carried out under the "FATCA" agreement (section II.6.3).
336. The Contentious Chamber finds that the defendant has also committed a violation of Article 35.1 of the GDPR in that the defendant did not carry out a DPIA concerning the processing reported by the complainants (section II.6.4).
337. Finally, the Contentious Chamber finds that the defendant has also committed a violation of Articles 5.2 and 24 of the GDPR in that the defendant has failed in its accountability obligation concerning the reported processing (accountability) (section II.6.6).

338. For these breaches, the Litigation Chamber issues a reprimand to the defendant based on Articles 58.2.b) of the GDPR and 100.1, 5° of the LCA. This reprimand is accompanied by a compliance order based on Articles 58.2.d) and 100.1 9° of the LCA aimed at:

- bringing the transfers of personal data carried out in execution of the FATCA agreement into compliance with the GDPR within one year from the notification of this decision, taking into account the considerations expressed by the Litigation Chamber in this decision regarding the principle of proportionality in relation to the purpose as well as the requirements of Chapter V of the GDPR (Articles 5.1.b) and 5.1.c) of the GDPR; Articles 46.1 and 46.2.a) of the GDPR);
- providing, within one year from the notification of this decision, complete, clear, and accessible information regarding the transfer of personal data to the IRS under the "FATCA" agreement on its website (Articles 12.1 and 14 of the GDPR);
- conducting, within one year from the notification of this decision, a DPIA in accordance with Article 35 of the GDPR. In this regard, the Litigation Chamber acknowledges that the GDPR does not require the publication of the DPIA and that it is at the discretion of the data controller to publish it or not. However, at least a partial publication, in the form of a summary or conclusion of its DPIA, could be considered by the defendant. Such a practice would be useful to foster trust in the transfers it carries out as a public authority and to provide assurances of accountability and transparency to the individuals concerned.146

IV. Publication of the Decision
339. Given the importance of transparency regarding the decision-making process and the decisions of the Litigation Chamber, this decision will be published on the website of the Data Protection Authority (APD). The Litigation Chamber has generally decided to publish its decisions while removing

the direct identifying data of the complainant(s) and the cited individuals, whether natural or legal persons, as well as that of the defendant(s).
340. In this case, the Litigation Chamber decides to publish this decision with the identification of the parties, excluding the first complainant.

146 See the Guidelines of the EDPB regarding the DPIA, page 21 of the French version.

341. The Litigation Chamber specifies that this publication with the identification of both the second complainant and the defendant pursues several objectives.
342. It aims, regarding the defendant, a public interest objective because this decision addresses the issue of the accountability of a federal public service (the defendant) subject to obligations arising from an international agreement ("FATCA") concluded with a third country outside the EU/EEA. The identification of the defendant is also necessary for the proper understanding of the decision and thus for the realization of the transparency objective pursued by the publication policy of the Litigation Chamber.147
343. Regarding the second complainant, the useful reading of the decision also necessitates that their identity be revealed as they represent a specific and identified category of concerned individuals. Furthermore, although this is not a predominant argument, the Litigation Chamber acknowledges that the complaint filed by the second complainant against the defendant has been reported by the press at the initiative of one of their counsel and thus made public.
344. Finally, the publication of the identity of the second complainant and the defendant also contributes to the pursuit of consistency and harmonized application of the GDPR. As stated in Title II.2, the complaint should not have been handled within the framework of the one-stop-shop mechanism provided for by the GDPR. The "FATCA" issue remains relevant and concerns well beyond Belgian borders. It is therefore not excluded that, as has already been the case, other data protection authorities in the EU/EEA may have to deal with similar complaints in the future; complaints for which knowledge of this decision may be useful, each supervisory authority exercising its powers independently as previously stated.

147 See https://www.autoriteprotectiondonnees.be/publications/politique-de-publication-des-decisions-de-la-chambre-contentieuse.pdf

filed with the registry of the Market Court in accordance with Article 1034quinquies of the Judicial Code149, or via the e-Deposit information system of the Ministry of Justice (Article 32ter of the Judicial Code).

(Signed) Yves Poullet
President of the Litigation Chamber

6° the signature of the applicant or their lawyer.
149 The application, accompanied by its annex, is sent, in as many copies as there are parties involved, by registered letter to the clerk of the court or filed with the registry.